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A wind of change for Hungary

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Summary

- **Hungary's 12 April election delivered the country's most consequential result since 2010 and a decisive mandate for change.** Péter Magyar's Tisza secured a landslide victory, winning 53.5% of the vote and an estimated 138 of 199 parliamentary seats, comfortably above the 133 required for a two-thirds constitutional majority. Viktor Orbán's Fidesz fell to 38.0%. The result gives the incoming government the legislative room to pursue institutional reform, rebuild relations with Brussels and unlock around EUR18–19bn in frozen EU funds (~11% of GDP), while also improving the chances that Hungary's EUR16bn SAFE plan can move forward. With the end-2026 RRF deadline leaving little room for delay, the election removes the main political obstacle to EU re-engagement, though the key risk now shifts to implementation speed amid potential resistance from institutions still shaped by the Orbán era.
- **The proposed policy changes point to near-term fiscal expansion, with growth increasingly supported by announced tax cuts, social measures and renewed EU financing prospects.** Tisza's announced measures - lower labor taxes for low-income earners, VAT cuts, continued pension and household support - are clearly expansionary and should support household incomes and domestic demand. This comes on top of existing pressures from the Iran-driven energy shock, which is already increasing the fiscal cost of subsidies and could add up to 0.7pp of GDP to the deficit. At the same time, improved prospects for unlocking frozen EU funds would ease financing constraints, revive investment and support a more durable recovery, with GDP growth likely to recover to around +1.6% in 2026 from 0.4% in 2025, as the investment cycle begins to turn in H2. Inflation has fallen sharply, but the disinflation looks temporary, and energy prices and rising geopolitical risks should keep the NBH on hold in the next months at 6.25% as price pressures are likely to re-emerge.
- **The forint is where the election trades first and where the upside is largest.** The forint is the primary transmission channel for political repricing, appreciating more than 2% against the euro on Monday morning to its strongest level in around four years. Pre-election FX gains appear to have been driven by regional rather than Hungary-specific factors, suggesting limited election premium was priced in – leaving room for further appreciation if the political signal reasserts itself. The Poland 2023 precedent, where PLN gained 14.5% against CZK over the 12-month election window, illustrates the scale of upside. In local bonds, repricing is likely to be more muted: the Iran-driven sell-off pushed 10Y HGB yields from 6.47% to 7.55% ,erasing any prior election premium, and any future constructive repricing would start from a higher-yield base.
- **Beyond Hungary, a political restart could ease EU decision-making and strengthen the EU's capacity to act collectively on strategic priorities.** Hungary accounts for 21 of the 48 publicly reported EU vetoes since 2011, with the pace of obstruction accelerating markedly since late 2023. In response, the EU has already shown greater ability to preserve policy continuity and act under pressure, including by using Article 122 TFEU in December 2025 to indefinitely freeze around EUR210bn in Russian central bank assets without unanimity. A more cooperative government in Budapest would likely reduce tactical veto use on Ukraine, sanctions and enlargement, lowering headline political risk and improving policy cohesion. More broadly, it would reinforce a recent trend toward stronger coordination and more effective collective action at EU level, particularly in areas such as Ukraine support, defense and common financing.

Hungary's new political era: A break from the past with a complex transition ahead

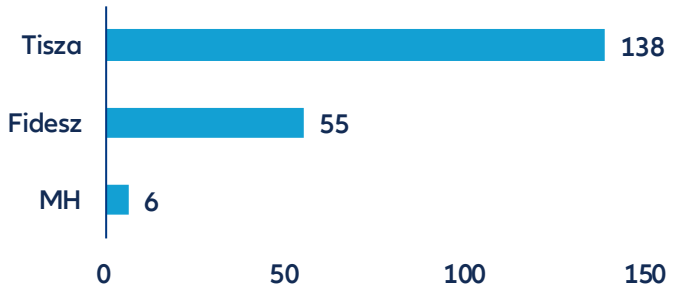
Hungary has voted decisively for political change, bringing an abrupt end to Viktor Orbán's 16-year domination of the country's political system. In a historic parliamentary election, Péter Magyar's Tisza secured a landslide victory that goes well beyond a routine alternation in power: it amounts to a clear popular mandate for a systemic political reset. With 98.72% of votes counted, Tisza won 53.48% of the vote and is estimated to secure 138 of the 199 seats in parliament, five above the 133 needed for a two-thirds constitutional majority. Orban's Fidesz, by contrast, fell to 37.95%, trailing by more than 16pps and winning just 55 seats, while the far-right Mi Hazánk was the only other party to enter parliament, with 5.88% of the vote and six seats (Figure 1). The scale of the result was underpinned by exceptionally high political mobilization: turnout is estimated at around 80%, well above both the post-transition average of 63% and the previous record of 73.51% in 2022. This was not simply an opposition victory, but an unequivocal rejection of the Orbán system by an electorate voting in unusually large numbers.

Tisza's dominance in single-member constituencies was the key factor that transformed a strong electoral win into a constitutional supermajority. Before the vote, only one major poll, Median, had suggested that a two-thirds majority was even plausible, while a simple majority appeared the more likely outcome. But Hungary's mixed electoral system rewards not only vote share but also territorial concentration and constituency performance. Tisza won 93 of 106 single-member districts, allowing it to convert a decisive but not unprecedented vote lead into an unexpectedly large parliamentary majority.

The political implications are profound. Even a simple Tisza majority would have represented a meaningful break with the past and a positive signal for Hungary's relations with the EU. But a constitutional majority materially changes the scope for institutional reset. It gives the new government full control of the legislative process and the power, if needed, to amend the constitution, reducing the ability of Fidesz-era institutional appointees to obstruct reform. This matters especially in areas that have long been at the core of Hungary's disputes with Brussels, including judicial independence, electoral law, media governance and public procurement. In that sense, the result does not merely change the government; it creates the political conditions for a broader dismantling of the institutional architecture built under Orbán, with major implications for EU funds, domestic governance and the macro outlook.

Despite the scale of the electoral mandate, the transition is likely to be gradual rather than frictionless, with risks shifting from political continuity to implementation and institutional resistance. Policy discontinuity may prove more limited than headline results suggest: Péter Magyar is not a traditional opposition outsider, having served within Hungary's EU apparatus and maintained close ties to the Fidesz establishment, which may moderate the pace of divergence on sensitive issues such as migration, sovereignty rhetoric and the terms of EU re-engagement. More fundamentally, a two-thirds majority is necessary but not sufficient for institutional reset. After more than a decade of centralization, key institutions – including the judiciary, prosecution system and governance bodies – remain deeply influenced by Fidesz-era appointments, suggesting that reform implementation could be slow, contested and politically costly, as seen in Poland after 2023. While Viktor Orbán has accepted defeat, reducing the risk of immediate political disruption, the legal and institutional architecture built during his tenure, as well as his broader domestic and international networks, may continue to shape Hungary's policy trajectory and complicate the speed and depth of the transition.

Figure 1 : Number of seats in the parliament by party



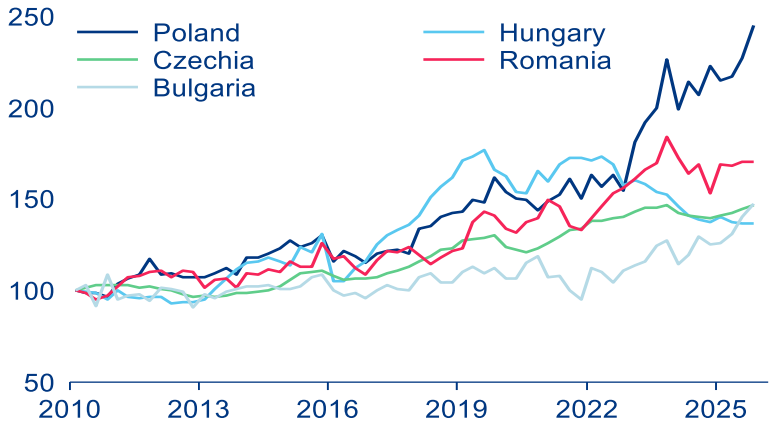
Sources: National Electoral Office, Allianz Research

The political change brings a macro reset: how much can change and how fast?

Hungary enters the election period with the weakest economic growth among the large CEE economies. Growth has stagnated, and the recovery remains narrow and unbalanced. GDP rose by just +0.3% in 2025, while the quarterly picture shows no meaningful momentum (+0.2% q/q in Q4 2025), leaving overall growth well below what would normally be consistent with Hungary's medium-term potential. The problem is not that demand has collapsed, but that it is recovering in an unhealthy way. Consumption has held up, supported by pre-election fiscal measures including tax relief, transfers and price controls. Private consumption rose by +4.8% q/q in Q4, while public consumption increased by +5.2%, buoyed by public wage hikes, food vouchers and bonus pension payments. However, this amounts to policy-driven support rather than evidence of a broad-based recovery in private-sector confidence.

Investment is the missing engine. Real gross fixed capital formation (GFCF) has fallen by a cumulative -21% from its mid-2022 peak, declining in almost every quarter since, with the latest Q4 2025 reading still contracting by -0.7% q/q. This is no longer a cyclical setback: Hungary is the only large CEE economy where investment remains materially below pre-pandemic levels. An economy can cushion growth through consumption for a time, but it cannot sustain convergence while investment remains this weak (Figure 2).

Figure 2: Investment for largest CEE economies, Index 2010=100



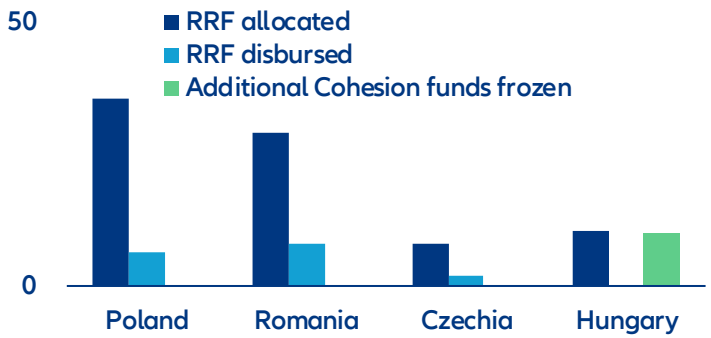
Sources: LSEG Datastream, Allianz Research

The collapse in investment has a clear explanation: Hungary's frozen EU funds. The freeze began in 2022, when the European Commission triggered the Conditionality Regulation against Hungary for the first time in the EU's history, leading to the suspension of EUR6.3bn in cohesion funding in December 2022. At the same time, approval of Hungary's Recovery and Resilience Facility (RRF) plan came with unusually strict conditions: the Council required Hungary to meet 27 so-called "super milestones" before any meaningful disbursement could take place, covering judicial independence, anti-corruption safeguards and audit and control systems. As of mid-2025, only 17 of the 27 milestones had been fully completed, while nine were only partially fulfilled and one remained unmet. Because all 27 must be satisfactorily implemented before payments can be approved, Hungary has remained effectively locked out of most of its EU recovery funding.

The amounts at stake are macroeconomically significant. Hungary's RRF envelope totals EUR10.4bn (EUR6.5bn in grants and EUR3.9bn in loans), yet only around EUR0.9bn in pre-financing has been disbursed so far – making Hungary the weakest absorber of RRF funds in the EU, with roughly 9% disbursed compared with an EU average of approximately 54%. In addition, around EUR8.4bn in cohesion funds remains frozen under the conditionality mechanism and related rule-of-law requirements (Figure 3). Hungary has already permanently lost EUR1bn because funds were not accessed within the required time window. In total, the blocked amount now stands at roughly EUR18-19bn, equivalent to around 11% of GDP. On top of this, Hungary also has around EUR16bn at stake under the SAFE defense facility. That would amount to roughly 7% of GDP, although it would come in the form of loans rather than non-repayable grants. The timing now matters as much as the amount. The RRF expires at end-

2026, with all milestones due by the end of August and all payment requests to be submitted by end-September. That leaves very little room for delay. Even under a change in government, the next administration would have only a few months to restore credibility with Brussels and satisfy the remaining conditions. This is why the election matters so much for the macro outlook: unlocking EU funds is not merely a political upside story but the key precondition for any meaningful recovery in investment.

Figure 3: NGEU funds, EUR bn



Sources: NGEU Tracker, Allianz Research

The election result materially changes Hungary's macro outlook. Tisza's landslide victory and, crucially, its two-thirds parliamentary majority significantly increase the probability of a reset in relations with Brussels and a faster effort to meet the remaining EU conditions. This does not imply an immediate economic step-change: The RRF timetable remains extremely tight, trust with the European Commission will need to be rebuilt and actual disbursements will still depend on concrete institutional reforms rather than political intent alone. But the result clearly improves the direction of travel. By removing uncertainty over the election outcome and reducing the risk of domestic political paralysis, it creates the conditions for confidence to recover and for the investment cycle to begin turning in H2 2026. Our baseline therefore remains that GDP growth can recover to around +1.6% in 2026, even amid the Iran-related energy shock. The key difference is that this recovery is now more credibly anchored in the prospect of institutional change and partial EU re-engagement. The main risk is no longer political continuity, but implementation: whether the new government can move quickly enough to deliver the reforms needed to unlock funds before the end-2026 deadline.

Tisza's party program provides some detail on policy direction, though the fiscal arithmetic remains ambitious. The platform commits to meeting the Maastricht criteria by 2030 and preparing euro adoption with a defined target date – both of which would require sustained fiscal consolidation and durable disinflation. At the same time, it pledges significant near-term spending increases: cutting the tax rate on the minimum wage from 15% to 9%, reducing VAT on prescription medicines to 0%, raising defense spending to NATO's 5% of GDP target by 2035, expanding the residential energy price cap system (*rezsicsökkentés)* and increasing healthcare spending by at least HUF 500bn per year. To fund this, the program relies on unlocking EU funds, anti-corruption savings, a 1% wealth tax on assets above HUF 1bn (~EUR2.5m) and the revenue gains from higher growth – estimating total additional fiscal room at 3.5–4.5% of GDP. Whether this arithmetic holds will depend heavily on the speed of EU fund disbursements and the pace of economic recovery, both of which remain uncertain.

Fiscal policy is likely to remain a near-term constraint even if the election result improves the medium-term outlook. Hungary entered 2026 with an already fragile budget position, after pre-election fiscal loosening and optimistic budget assumptions, and the Iran-related energy shock has made this more acute. Higher oil prices are feeding into inflation and, through a weaker forint, raising the fiscal cost of measures designed to suppress pass-through, including the reintroduction of fuel price caps, the HUF50bn heating support scheme and the broader *rezsicsökkentés* framework. We estimate these measures could add up to 0.7pp of GDP to the deficit, worsening an already weak starting point. At the same time, Tisza's campaign promises suggest that the near-term policy bias may still lean toward net easing, with tax cuts, higher defense spending, wage hikes and social support likely to offset part of any consolidation effort. This means that despite the political reset, 2026 is still likely to require a budget revision and tighter expenditure control to preserve fiscal credibility. Over the medium term, however, the

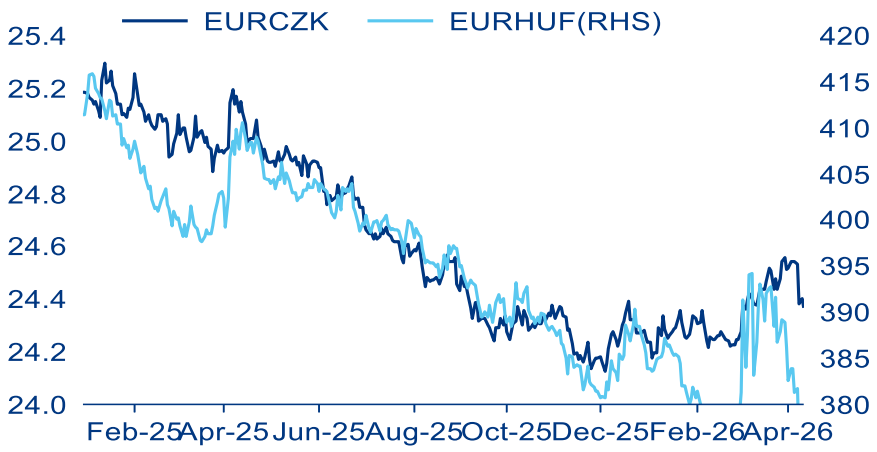
election result is clearly positive: A government with a strong mandate and better prospects for repairing relations with Brussels is more likely to unlock EU funds, reduce the need to finance investment through domestic borrowing and gradually improve the deficit and debt trajectory.

Hungary entered 2026 with much softer inflation than expected, with headline CPI falling to 1.4% y/y in February, well below the NBH's 3% target. However, this disinflation is largely technical rather than structural. It reflects favorable base effects, temporary food price declines and administrative measures ahead of the election, rather than a durable easing in underlying price pressures. As these factors unwind – notably food margin caps and the planned fuel excise increase – inflation is set to rebound. An additional source of wage pressure may come from Tisza's commitment to suspend all non-EU guest worker permits from 1 June 2026. With more than 120,000 non-EU workers currently employed in Hungary and annual quotas of around 35,000, a sudden halt to new permits could tighten labor supply in sectors that have become reliant on imported labor, adding to unit labor costs and reinforcing underlying inflation pressures at a time when the central bank has little room to respond.

The door to further easing has closed. The NBH delivered a final 25bps cut in February, bringing the policy rate to 6.25%, but the easing cycle has effectively stalled. The policy trade-off is stark: weak growth and depressed investment would normally justify further cuts, but rising energy prices, renewed inflation uncertainty and a vulnerable forint have sharply reduced room for maneuver. In Hungary, exchange-rate stability is the binding constraint as FX weakness feeds directly into inflation expectations. The Iran shock has therefore shifted the reaction function: not towards hikes, but towards a prolonged pause. Unlike other CEE economies, Hungary cannot afford to "look through" an energy shock, given its fragile inflation credibility and currency pressures. Fiscal policy is instead absorbing the first-round shock via subsidies, leaving an uncomfortable policy mix – a central bank forced to stay on hold while the government supports demand at the expense of fiscal sustainability.

The election repricing has started and FX is the clearest transmission channel. The forint is likely to be the fastest and most visible market channel through which the election outcome is expressed, and the early price action on Monday morning already points in that direction. Against the euro, the currency appreciated by more than 2%, reaching its strongest level in around four years. This is consistent with the view that FX reacts first to any repricing of Hungary's political risk premium, the prospect of a reset in relations with the EU and the possibility of unlocking frozen EU funds. That is why the upside from a constructive political outcome is more visible in EUR/HUF than in local bonds. At the same time, the appreciation seen before the election, from 2025 into early 2026, should not be overinterpreted as evidence that markets had already priced this result. That earlier move appears to have been driven largely by broader regional macro forces rather than by a specifically Hungarian story. The close co-movement of EUR/HUF and EUR/CZK suggests that, until now, the forint had behaved more like a regional CEE currency than like an idiosyncratic election trade (Figure 4).

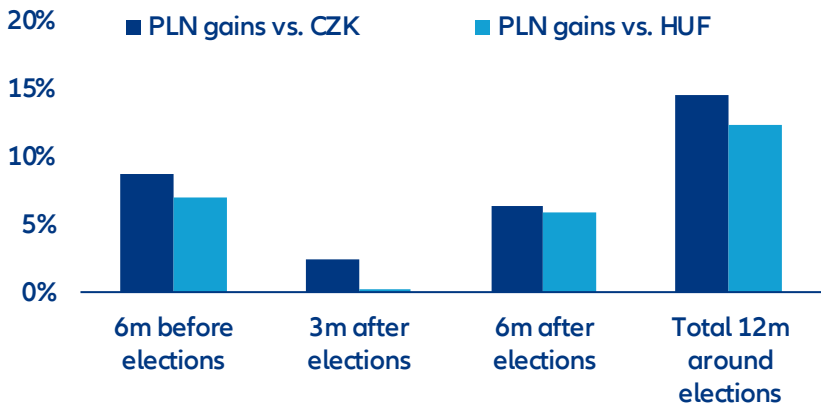
Figure 4: Czech koruna and Hungarian forint against the euro



Sources: LSEG Datastream, Allianz Research

The Iran shock has blurred what little election signal there was. HUF is among the most oil- and energy-sensitive currencies in the region, so as energy prices rose, the forint began trading much more in line with Hungary's external vulnerability than with domestic political expectations, obscuring any early signs of constructive election repricing. The closest historical comparison is Poland in 2023, where the currency reaction was much cleaner and much more clearly country-specific. In the six months before the election, the zloty gained 8.7% against CZK and 6.9% against HUF, suggesting that markets were already pricing a Poland-specific political re-rating well ahead of the vote (Figure 5). The move did not stop there: even six months after the election, PLN was still 6.3% stronger against CZK and 5.8% stronger against HUF, leaving total gains over the 12-month election window at 14.5% and 12.3%, respectively. Hungary has not yet seen anything comparable. That is why the current set-up remains asymmetric: if the political signal starts to dominate after the results of this Monday, the appreciation potential for HUF could still be substantial even from a weaker starting point, precisely because so little election premium appears to have been priced in so far.

Figure 5: Polish zloty gains in election period against Hungarian forint and Czech koruna



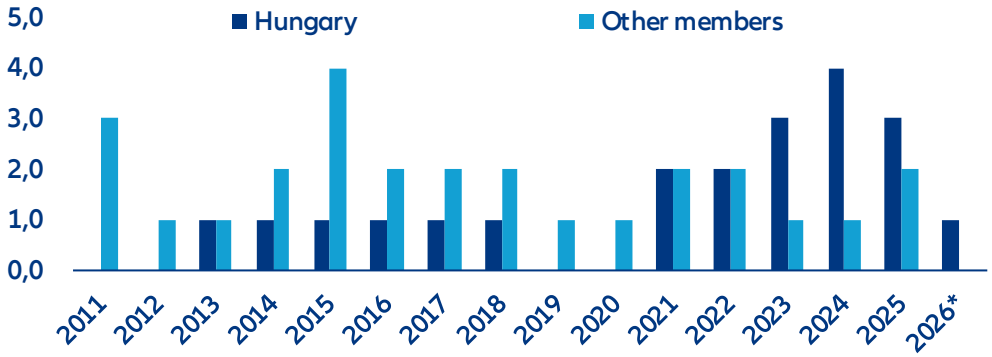
Sources: LSEG Datastream, Allianz Research

The 10Y local bond is likely the second Hungarian asset to respond to election pricing after FX, but the repricing should be more muted and less immediate. The experience of Poland in 2023 suggests that elections tend to show up much more clearly in the currency than in local bonds, where the political signal is diluted by inflation, fiscal dynamics and broader external rate moves. The same logic applies to Hungary. Earlier this year, part of a constructive election outcome had already started to enter bond pricing, with 10Y HGBs trading modestly rich to fair value, implying that some positive political premium was already embedded. Since the Iran shock, however, that limited election premium appears to have been largely erased: the sell-off in local rates pushed the 10Y yield from 6.47% on 27 February to a peak of 7.55% on 24 March (+108bp), before easing slightly to 7.25% by 31 March (+78bp vs 27 February), as markets refocused on Hungary's exposure to higher energy prices, renewed inflation risks and a more constrained monetary outlook. Rather than pointing to a market that is already strongly pricing the political change, it suggests that 10Y yields have moved back toward – or above – levels justified by fundamentals, meaning that any future constructive election repricing in bonds would start from a higher-yield base and is likely to remain smaller and less clean than in FX.

Looking further ahead, euro adoption is likely to become part of the new government's strategic policy agenda, made materially more feasible by Tisza's two-thirds majority. Moving towards formal euro adoption has been one of the key longer-term objectives associated with the Tisza party, and the constitutional supermajority now gives the incoming government the political room to make any necessary constitutional changes should it decide to pursue that path seriously. However, important technical hurdles remain. First, fiscal and debt dynamics are still incompatible with the Maastricht criteria. Second, Hungary's monetary framework is not yet aligned with eventual euro adoption: The NBH's inflation target currently stands at 3% (±1pp), above the ECB's 2% anchor, implying that any credible transition would require a gradual lowering of the target over time. In that sense, both fiscal consolidation and durable disinflation will be central to any meaningful accession strategy.

Beyond Hungary's own convergence path, the election also carries broader institutional implications for the EU. Hungary's repeated use of veto power has evolved from isolated political episodes into a structural feature of EU governance, with implications that extend beyond individual policy delays. Hungary accounts for 21 of the 48 vetoes recorded since 2011 – 44% of the total, nearly double Poland's seven – and the frequency has increased markedly since late 2023, with 11 vetoes occurring between 2023 and March 2026 (Figure 6). While these episodes have at times delayed decision-making, they have also prompted the EU to strengthen its capacity to act collectively in a more challenging geopolitical environment. In response, EU institutions and member states have demonstrated increasing flexibility in ensuring policy continuity, including by mobilizing alternative legal bases, expanding the use of qualified majority voting where possible and coordinating through coalitions when needed. In some cases, member states have proceeded effectively despite obstruction – most notably in December 2025, when Article 122 TFEU was used under QMV to freeze around EUR210bn in Russian central bank assets indefinitely, removing the biannual renewal risk and reinforcing the credibility of EU sanctions policy. Taken together, these developments point to a gradual strengthening of the EU's ability to deliver outcomes even under institutional constraints, particularly in areas of strategic importance such as Ukraine support, sanctions and financial coordination. Looking ahead, this political shift in Hungary would likely reduce the use of tactical veto threats, easing negotiations and improving day-to-day policy coordination, while reinforcing a more unified EU stance externally. This would lower political uncertainty and strengthen perceptions of EU cohesion. At the same time, the progress made in recent years in enhancing policy coordination and responsiveness is likely to endure, supporting a more effective and resilient EU governance framework.

Figure 6: Reported vetoes in EU decisions requiring unanimity, 2011-2026



Sources: EU Vetoes Tracker, Allianz Research. Note: Vetoes are defined as any reported instance of a member state blocking joint EU action under a procedure requiring unanimous agreement, spanning European Council decisions, Council of the EU configurations and intergovernmental mechanisms such as the European Peace Facility.

These assessments are, as always, subject to the disclaimer provided below.

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Happy Labor Day? How geopolitics, immigration and AI will reshape work

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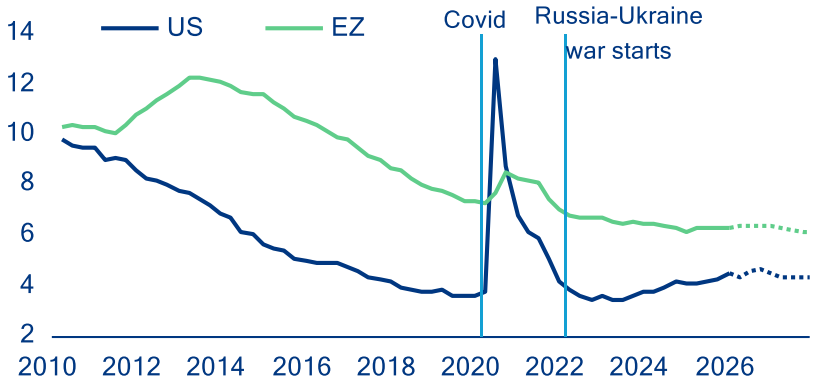
In Summary

- **US and European labor markets appear to be in good shape, with headline unemployment rates near historic lows. But three strong undercurrents (immigration policy, energy-price shock and AI) are churning beneath the calm surface.** Demand for workers had already begun to soften before the shock of the Middle East crisis: vacancy rates were easing and hiring rates cooling from uncertainty and the trade war. The shift in immigration policy in the US, the UK and Germany is adding to the mix: Fading immigration inflows have quickly translated into lower employment numbers. In the US, immigration has gone from contributing over half of job creation in 2024 to near-absent in 2025 – weighing on potential growth and risking sectoral labor shortages, while offering a short-term offset against rising unemployment.
- **The Iran shock will land unevenly on labor markets depending on countries' energy exposure and the duration of the conflict. Still, we see only a limited increase in unemployment rates in the range of 0.1-0.3pp.** If the crisis is resolved by end-May, unemployment rates would rise only in the most exposed European economies, and by +0.1pp at most, with 102,000 jobs lost in the Eurozone and half that in the US. Unlike in 2022, when labor hoarding led to falling unemployment, leaner buffers today could see any shock frontloaded into unemployment. In case of a prolonged closure of the Strait of Hormuz, the energy shock would hit Europe harder than the US, though higher labor protection standards provide some cushion: an estimated 225,000 jobs would be lost (0.13% of employment) in the Eurozone versus 126,000 (0.08%) in the US, with higher losses in Germany, Poland, Italy, France and Spain due to high energy exposure.
- **AI's labor-market effects are emerging, pointing to a K-shaped pattern, with youth and mid-level white-collar workers most at risk.** Early evidence shows pressure on younger and less experienced white-collar workers in routine cognitive tasks, while gains accrue to higher-skilled, AI-complementary roles. Since late 2022, higher AI adoption has been associated with larger increases in youth unemployment, with AI exposure explaining about 40% of cross-country variation (excluding high-unemployment economies). AI may therefore appear first not as job loss but as fewer entry points, weaker wage growth, and sharper polarization, with reallocation driven mainly by shifts in job composition rather than wage pressures in labor-intensive activities predicted by Baumol.
- **In the medium term, the AI labor-market impact will be substantial, uneven across countries and unprecedented in the scale of workforce reorganization required**. Over the next 1-3 years, AI is expected to affect 23.3% of jobs across major economies, with reorganization (10.4% of jobs) dominating augmentation (5.3%) and outright displacement (7.6%). The share of jobs affected ranges from 9.2% in Italy to 28.7% in the US, with the UK (17.7%), Germany (16.2%), France (14.7%) and Spain (12.4%) in between. That is equivalent to 52.5mn jobs in the US and 21.8mn across the major European economies. Our analysis does not account for potential AI-related job growth, which we expect to at least partially offset adverse employment effects. However, job displacement is likely to outpace job creation in the medium term, as firms adjust faster than workers, creating a temporary gap. Ultimately, whether – and how quickly – AI leads to job losses, reorganization, or new job creation will depend less on technology than on policy choices. AI-proofing policy frameworks will be critical: labor-market policies, including re- and upskilling, active labor-market programs, and social protection, will shape worker transitions. Taxation (including the relative treatment of labor and AI capital), firm incentives, and competition policy will determine whether AI is deployed to augment or replace labor and how broadly productivity gains are shared.

The buffer has thinned: labor markets and the new energy shock

Labor markets on both sides of the Atlantic have so far remained resilient despite successive shocks. In the Eurozone, the unemployment rate remained close to historical lows at 6.2% in March 2026, reflecting the job-rich post-Covid recovery and the strong employment response relative to modest growth. In the US, labor-market conditions have been weaker, with net job creation grinding to close to zero since early 2025, after dynamic outturns in 2024. However, stalling job creation mostly reflects sharply weakening labor supply amid very tight immigration policy, though plunging labor demand for federal employees has contributed, too. As a result of lower immigration inflows, the US unemployment rate has not crept up by much: from 4.1% in January 2025 to only 4.3% in March 2026.

Figure 1: Unemployment rate (%) including Allianz Research baseline forecasts.

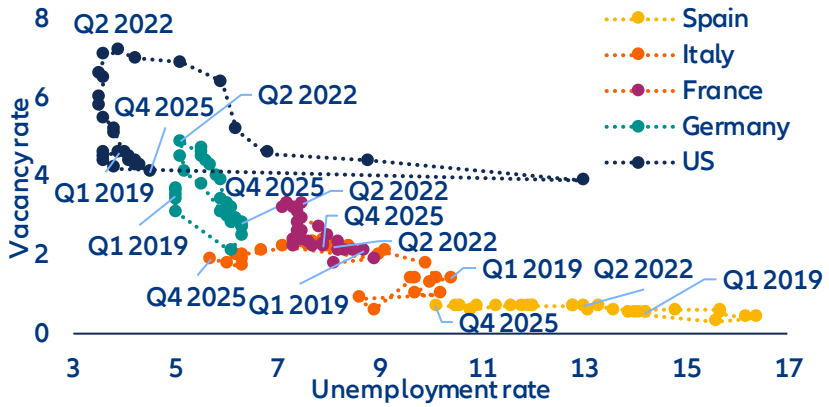


Sources: LSEG Datastream, Allianz Research

However, beneath the headline resilience, Eurozone labor market buffers have been progressively eroding. Even before the latest energy shock, labor demand had already cooled visibly (Figure 2): vacancy rates declined from 3.4% in Q4 2022 to 2.3% in Q4 2025; reported labor shortages eased across sectors, with firms seeing labor as a less limiting factor to production, and adjustment increasingly took place through hours worked rather than new hiring. Compared to the previous energy shock in 2022, firms no longer face acute rehiring constraints, reducing incentives to hoard labor. As a result, the Eurozone enters the current shock with a labor market that is less tight and with less buffers, despite still-low unemployment. Against this backdrop, the cooling of labor-market conditions should reduce the risk of second-round effects from higher commodity prices, dampening underlying wage and price pressures.

The US labor market also looks fragile, though the US economy is more insulated from surging energy prices. As a net energy exporter, the US has been far less exposed to energy-import-driven cost shocks since 2022, limiting the need for margin or labor adjustment and allowing firms to preserve buffers to a much greater extent. US corporates retain large cash buffers, structurally higher profit margins and a historically low interest-coverage ratio. Even so, labor demand looks increasingly soft. The job-hiring rate recently dipped to its lowest level since the pandemic (at 3.1%), signaling increasing hiring caution in an environment of persistent uncertainty, while the rollout of AI may have also deterred new hiring. Besides, the bulk of job creation has been concentrated in non-cyclical sectors, i.e. education & healthcare. Private jobs excluding education & healthcare have dipped by a cumulative -420k since January 2025.

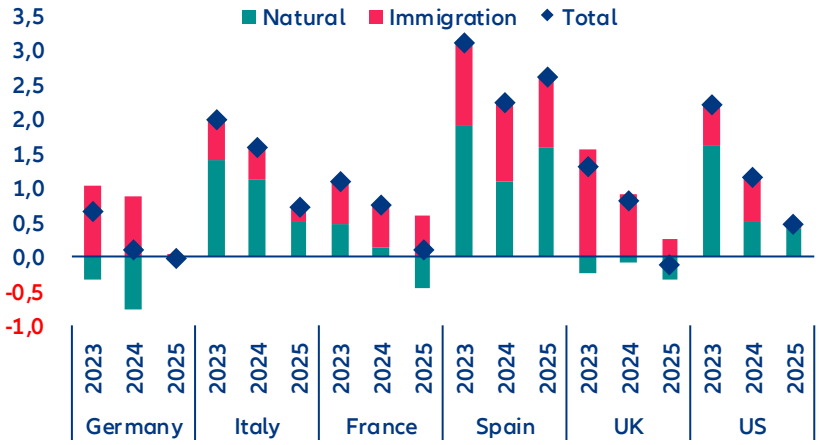
Figure 2: Beveridge curve (%)



Sources: LSEG Datastream, Allianz Research

Job growth was heavily supported by immigration over the past few years, but this dynamic is fading quickly, particularly in the US. Lower labor supply offers a short-term reprieve against rising unemployment rates but will weigh on potential growth. Figure 3 depicts the percentage annual change in employment (net job creation) since 2023 in the largest European countries and the US, with a breakdown of the contribution from immigration vs the resident. In Germany and the UK, employment of residents has decreased and net job creation has been concentrated among the new immigrants. Spain has seen strong employment growth of residents but new immigrants have contributed almost as much. In total, elevated immigration inflows have contributed to positive job creation in many European countries, alleviating labor shortages. However, job creation has stalled significantly in 2025, particularly in the UK, France and Italy. Firms have prioritized efforts to regain productivity rather than hiring to produce output. Consistent, harmonized working immigration inflows data are not available in European countries, but national data suggest a fading contribution in Germany, France and the UK. The US has seen a similar pattern of rapidly weakening job-creation momentum since 2025, driven almost entirely by reduced immigration inflows. Softer immigration inflows reduce labor supply and will thus weigh on potential growth. However, in the short term, scarcer labor is probably acting as a near-term brake on unemployment, even as it drags on growth potential.

Figure 3: Employment change (% employed)

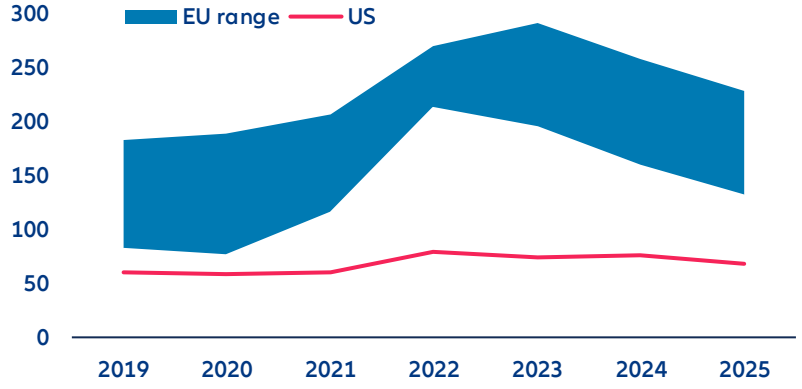


Sources: OECD, Census Bureau, Brookings, Allianz Research. Note: Permanent migration is defined by legal status, not duration of stay by the OECD. It includes migrants with a pathway to remain indefinitely such as refugees, family migrants, and some labor migrants, while those without such rights (e.g. students or seasonal workers) are not considered

Initial conditions are important for understanding how the renewed rise in energy prices propagates through labor markets. Although energy prices have fallen since their 2022 highs, industrial electricity prices in Europe remain significantly higher than pre-crisis levels and those in the US (Figure 4), even after adjusting for recent

wholesale price stabilization. In contrast, US industrial electricity prices have remained stable over time due to abundant gas supply. Consequently, energy costs pose a persistent structural challenge for European firms rather than a temporary cyclical shock.

Figure 4: Industrial electricity prices, EUR/MWh including all taxes



Sources: EIA, Eurostat, Allianz Research. Notes: EU price range for consumption bands above 2,000 MWh.

There is far less margin to absorb renewed cost pressures than in 2022. Total energy costs are high in manufacturing, utilities and transport due to the scale of these sectors. The most energy-intensive industries, such as chemicals, steel and metals, paper, glass and ceramics, and cement, are concentrated in large industrial economies, particularly Germany, followed by France, Italy and Poland. Since margins have not fully recovered from the last energy crisis, firms have limited capacity to absorb new shocks through profitability alone.

As a result, the labor-market adjustment mechanism is shifting. While the 2022 energy shock was largely absorbed through margins, working-time reductions and labor hoarding in an overheated labor market, firms today face stronger incentives to adjust earlier if high energy prices persist. This time it might be different due to labor markets in a looser state where less labor hoarding will be seen. The immediate risk is not a sharp unemployment spike but a gradual erosion of labor-market resilience, in particular in countries that are suffering from structural economic weakness such as Germany.

Consistent with this gradual erosion, baseline projections already point to non-negligible job losses driven by broader macroeconomic headwinds. For the Iran war, we consider two scenarios (Figure 5). In our baseline scenario, traffic through the Strait of Hormuz gradually normalises by the end of May. This implies employment losses of around 102,000 in the Eurozone (with German, France and Spain already accounting for 68% of the total), and 51,000 in the US by 2026 – so in both cases the impact on the unemployment rates stemming solely from the Iran war under the baseline scenario remains very small (<0.1pp). These baseline dynamics provide the reference against which additional energy-related labor-market effects should be assessed.

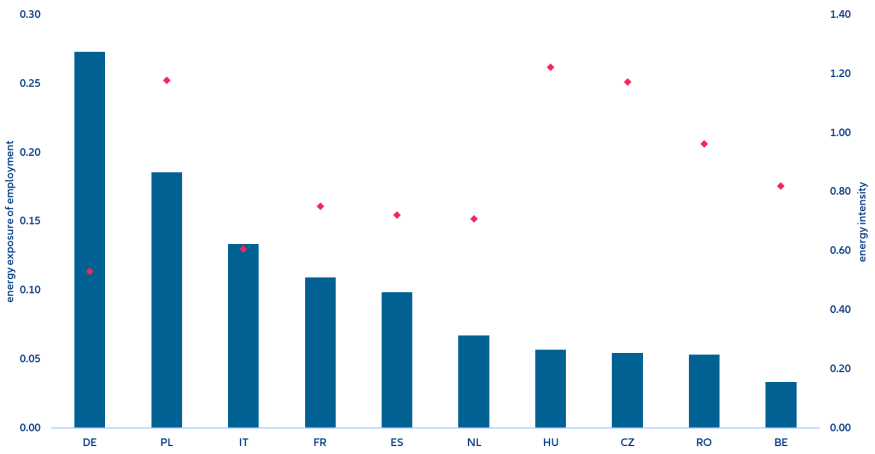
Figure 5: Middle East escalation scenario

		Feb 28th	Baseline (45% probability): Prolonged conflict with less than three months of global oil and gas disruption ***	Downside (35% probability): Long sustained escalation with prolonged disruption of global oil and gas supply ***
			2026	2026
Description			A deal allowing for a progressive normalization of oil and gas trade in May. In between partial re-routing, additional production (US, Russia) and strategic reserves being tapped covers >50% of Hormuz gap in oil and gas; no material destruction of oil/gas industry.	Hormuz closed for more than three months. Oil, gas and other commodity supply shortages (fertilizers, helium) transmits to confidence & equity shock exacerbating downturn.
Oil Brent (USD/bbl), Q2 average / eoy 2026		73$	90$ / 78$ ($140)*	130$ / 85$ ($180)*
Gas prices, annual avg.		32€	49€ (150€)*	65€ (200€)*
GDP	EZ	1.3%**	0.8%	0.2%
	US	2.6%**	2.1%	1.5%
Inflation	EZ	1.9%**	3.0% (3.4%)*	3.9% (4.9%)*
	US	2.5%**	3.2% (3.7%)*	4.0% (4.6%)*
EURUSD		1.18	1.15 (1.11)*	1.12 (1.05)*
Monetary Policy	ECB	2.0	2.25	2.75
	Fed	3.75	3.75	4.25
10y	DE	2.6	2.8 (3.3)*	3.1 (3.7)*
	US	4.0	4.5 (4.8)*	5.0 (5.7)*
Equity market	EZ	6	5 (-10)*	-25 (-30)*
	US	1	6 (-10)*	-20 (-25)*

Sources: Allianz Research. (*) max daily draw-down in brackets, (**) macro forecast for 2026 before the start of the Iran war, (***) probabilities add up to 80% with remaining upside and downside tail-risks (≤5%) omitted

Country-level exposure further shapes how energy shocks translate into labor-market outcomes. Energy intensity – measured as energy use relative to gross value added (GVA) – varies widely across Europe and is not, on its own, a reliable indicator of employment risk. Some highly energy-intensive economies, such as Hungary, the Czech Republic and Romania, account for a relatively small share of total Eurozone employment, despite requiring more energy per unit of output. By contrast, larger economies such as Germany, France, Italy and Spain combine more moderate energy intensity with much larger employment shares, making them more exposed to labor-market adjustment driven by energy prices (Figure 6). Poland stands out in this respect, combining a sizable employment share with high energy costs relative to GVA, which increases its vulnerability. This composition explains why employment risks are likely to materialize unevenly across countries, rather than through a synchronized rise in Eurozone unemployment.

Figure 6: Energy exposure of employment (index) and energy intensity (MWh per current 1,000 EUR), by country



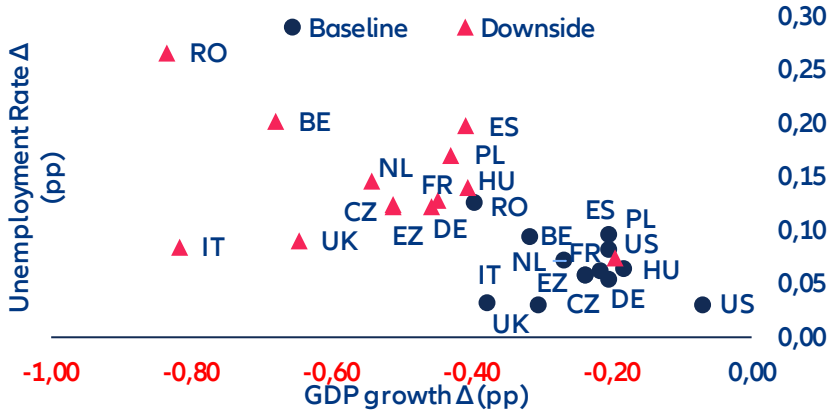
Sources: Eurostat, SBS, Allianz Research. Notes: Energy exposure are energy costs relative to gross value added (GVA) relative to EU employment shares by country. Energy intensity is calculated as energy use divided by gross value added; it gives an indication how many MWh are needed to generate 1,000 EUR of GVA.

In a downside scenario involving a prolonged closure of the Strait of Hormuz (Figure 6), employment effects would intensify but remain gradual. Rising fossil-fuel prices would weigh on value added through energy

dependencies and supply bottlenecks in intermediate goods. Eurozone unemployment rates would rise by around +0.14pp on average, with the largest increases in Spain and Belgium (around +0.20pp). Eastern European economies – Czechia, Poland and Romania – would experience the steepest output losses, with unemployment rising by +0.12pp, +0.17pp and +0.27pp respectively. Germany and Italy, despite accounting for a large share of Eurozone employment, would see more contained increases (+0.12pp and +0.09pp), reflecting their comparatively higher energy efficiency. In absolute terms, the Eurozone would lose an estimated 225,000 jobs (0.13% of employment) versus 126,000 (0.08%) in the US. This is the subset of job losses attributed to the current energy shock in a downside scenario, compared to job losses due further economic factors, such as uncertainty, structural country-specific challenges and the ongoing trade war, to mention only a few, in our baseline scenario quantified in our latest insolvency report[1]. For comparison, for the US, about 11.9% of the total expected job losses of 428,000 in 2026 may be attributable to the energy-price shock in the baseline scenario, while for Germany it would be 12.4% of the 209,000 job losses and for France 7.1% of the 283,000.

The relatively narrow dispersion in unemployment outcomes, however, masks a wider divergence in how the shock actually lands on workers. More energy-intensive economies – particularly in Eastern Europe – will face sharper inflation and steeper margin compression, but much of their labor-market adjustment will occur through real wage erosion rather than outright job losses. Unemployment figures alone therefore understate the true dispersion of worker hardship: where prices rise fastest and margins are thinnest, it is purchasing power, not headcount, that takes the first hit.

Figure 7: Change in GDP and unemployment rate in a downside Iran war scenario compared to the baseline, in pp



Sources: Oxford Economics, Allianz Research

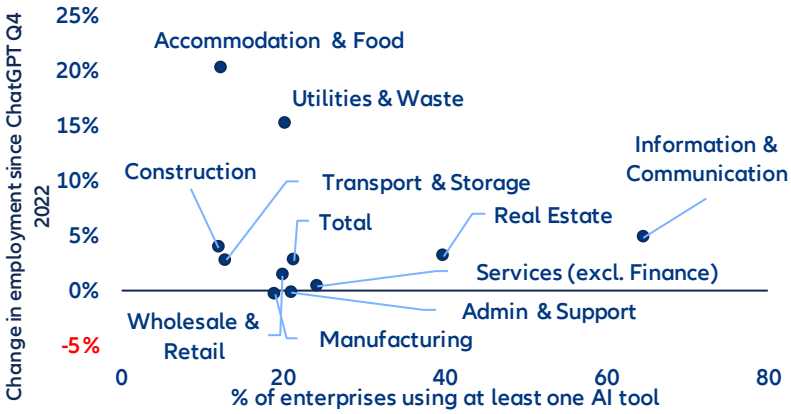
AI is reshaping adjustment pathways, not driving the shock

AI is altering how firms adjust to the energy shock, not replacing energy costs as its source. With AI already embedded in production processes, firms have gained greater scope for internal substitution, particularly in routine cognitive tasks and entry-level and mid-level white-collar roles . In a context of elevated energy costs and softer demand, this lowers the threshold at which firms move from margin and working-time adjustment to labor reallocation, primarily through hiring restraint and weaker entry-level absorption rather than outright job destruction. Energy prices determine the need to adjust; AI shapes the speed, intensity and distribution of that adjustment.

Accordingly, more AI-intensive sectors have displayed muted or zero employment growth in the Eurozone since late 2022, consistent with adjustment taking place through subdued hiring and task reorganization and slower entry-level inflow rather than outright job destruction (Figure 8). This reinforces the view that AI dampens measured employment dynamics even as underlying restructuring progresses.

[1] See also: Allianz Trade Insolvency report 2026

Figure 8: Eurozone employment growth by sector and AI usage

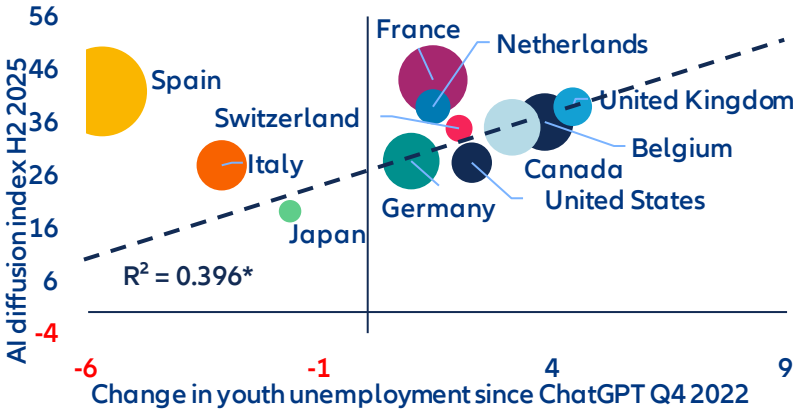


Sources: Eurostat, Allianz Research.

From a Baumol perspective, uneven productivity growth tends to generate upward pressure on relative wages in less automatable, labor-intensive activities. In the current environment, however, this channel is muted: with AI dampening aggregate labor-demand growth and firms adjusting primarily through hiring restraint and task reorganization, rebalancing is taking place mainly through employment composition rather than prices. Wage adjustment is therefore asymmetric, with compression in AI-exposed white-collar and entry-level roles, while less-AI-intensive sectors absorb labor without broad-based wage acceleration.

AI has not yet raised aggregate unemployment, but it is already reshaping labor-market adjustment in a k-shaped manner. Since late 2022, countries with higher AI diffusion have experienced larger increases in youth unemployment, with AI exposure explaining around 40% of the cross-country variation (excluding economies with structurally high youth unemployment), even as overall unemployment rates remain contained. At the same time, countries with comparable levels of AI uptake display markedly different labor-market outcomes, underscoring the decisive role of institutions, labor-market structures and adjustment channels. This divergence suggests that AI diffusion does not mechanically translate into net job losses, but neither is it benign: it shapes who adjusts, how quickly and at which margin, depending on how easily firms can substitute tasks, how flexibly workers can be reallocated and how effective retraining and activation policies are. Where adjustment mechanisms are rigid and transition support is weak, the risk is not an immediate rise in aggregate unemployment but persistent scarring at the margin, concentrated among younger workers and in routine-intensive entry-level occupations. The policy challenge therefore lies less in protecting aggregate employment than in shortening transitions and reducing polarization, through portable skills, flexible wage-setting and active labor-market policies that allow economies to capture the productivity upside of AI without incurring lasting distributional costs.

Figure 9: Global AI adoption and youth unemployment rate



*Sources: Microsoft Global AI Adoption Index, OECD, Allianz Research. *The regression line and R^2 exclude Spain and Italy. Both economies have structurally high youth-unemployment levels since the GFC and the sovereign-debt crisis. Bubble size corresponds to total unemployment rate.*

AI will have a more substantial impact on the labor market over the medium term

As AI moves from initial deployment to broader integration in business processes, the focus shifts to how it shapes labor markets in the near- to medium-term. While it remains difficult to predict how the technology will evolve and diffuse, the next one to three years are likely to be critical in determining the extent to which current capabilities translate into tangible changes in jobs and tasks. Against this backdrop, we assess the potential impact of AI on the current workforce across the Eurozone's four largest economies – Germany, France, Italy and Spain – as well as the UK and the US.

AI job exposure varies significantly across sectors. As a starting point for the analysis, we identify AI exposure across sectors, measuring the share of tasks that AI can perform significantly faster or more efficiently. Based on the recent analysis of Falck and Röhe (2026)[2], it ranges from around 14% in agriculture and 22–25% in construction and manufacturing to over 40% in finance and real estate and nearly 48% in information and communication. These differences in AI exposure are driven by task composition and are broadly stable across countries. Sectors dominated by cognitive work are substantially more exposed, while manual and physical tasks remain less affected.

Table 1: Heatmap of AI exposure across sectors (% jobs exposed) and countries' sectoral employment composition (% total employment)

	AI Exposure by Sector	Employment Shares by Sector					
		USA	UK	France	Germany	Italy	Spain
Wholesale and Retail Trade	34,5%	11,8%	13,7%	12,6%	12,5%	13,9%	14,5%
Manufacturing	24,7%	6,9%	7,2%	10,8%	18,2%	18,2%	12,0%
Administrative and technical activities	34,0%	12,3%	17,5%	11,2%	10,1%	10,9%	10,9%
Public Administration and Defence	38,3%	25,5%	4,8%	8,3%	7,2%	5,0%	6,6%
Education, Health and Social Work	30,5%	15,2%	8,6%	7,7%	6,9%	7,0%	7,1%
Accomodation and Recreation	29,4%	9,3%	10,2%	6,4%	5,0%	7,9%	10,6%
Construction	22,3%	4,6%	5,1%	6,6%	6,3%	6,7%	6,8%
Transportation and Storage	28,7%	3,6%	5,2%	5,0%	4,8%	4,9%	5,6%
Financial Activities	41,3%	5,0%	5,1%	4,7%	4,0%	3,2%	2,8%
Information and Communication	47,8%	1,5%	4,3%	3,6%	4,1%	3,2%	3,8%
Other Services	27,0%	3,3%	1,9%	2,5%	3,1%	3,1%	2,4%
Agriculture	13,5%	0,4%	0,6%	2,3%	1,1%	3,4%	3,5%
Electricity, Gas, Water supply	32,0%	0,3%	1,1%	1,7%	1,6%	1,7%	1,2%
Mining	25,5%	0,3%	0,1%	0,1%	0,2%	0,1%	0,2%
Total Economy AI Exposure		33,1%	32,1%	30,5%	31,0%	29,5%	30,0%

Sources: Falck and Röhe (2026), BLS, ONS, Eurostat, Allianz Research.

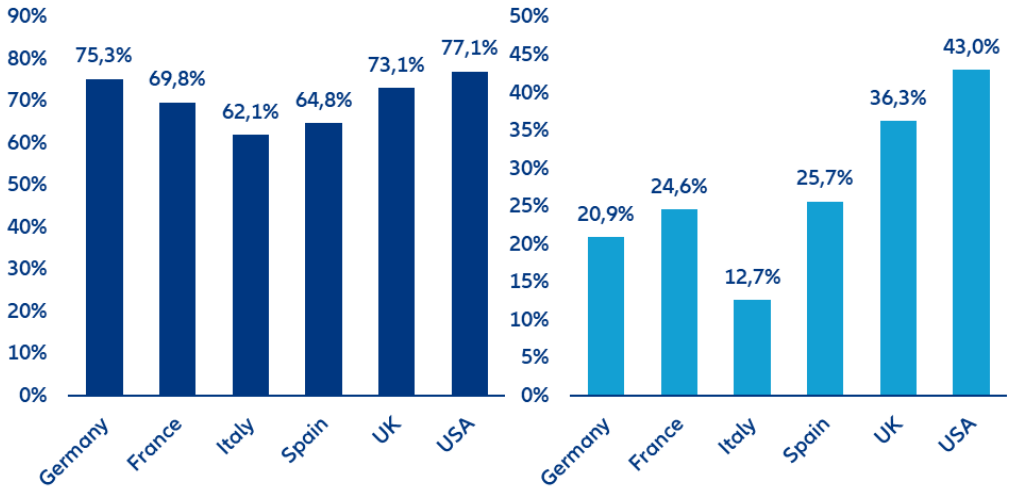
Cross-country labor market exposure to AI is driven by economies' sectoral employment composition (Table 1). While AI affects sectors similarly across countries, economies differ in how their workforce is distributed across those sectors. Translating sectoral exposure into country-level outcomes therefore depends on national employment structures, making economic composition the key driver of aggregate exposure. For example, high-exposure sectors such as ICT (48%), finance and real estate (41%), public administration and defense (26%), and health and education (15%) account for a larger share of employment in the US and partly the UK than in continental Europe. By contrast, Italy and Spain are more concentrated in lower-exposure sectors such as manufacturing (18% and 12%) and agriculture (3%), reducing aggregate exposure. Germany occupies a middle position among all countries, combining a sizable manufacturing base (18%) with more moderate service exposure. As a result, even with identical sectoral exposure, total AI impact differs substantially across countries, with service-oriented economies more exposed than industrial or agriculture-based ones.

Among AI-exposed jobs, we apply a job-transition framework that distinguishes between three adjustment channels: augmentation, reorganization and automation. These categories capture how firms are likely to

[2] For the estimates of the AI exposure across sectors, see: Falck, E., and O. Röhe (2026), "From potential to practice: AI exposure and adoption in European industries", SUERF Policy Brief 1358.

restructure tasks within the existing workforce rather than simply whether jobs disappear. Based on the analysis by Martin Richmond (2026), 22% of AI-exposed jobs are expected to be augmented, 44% reorganized and 33% automated.[3] Augmented jobs expand as productivity gains stimulate labor demand, reorganized jobs retain their core function but undergo task-level changes while for automated jobs humans are fully replaced by AI.

Figure 10: Workforce readiness for AI (left) and AI adoption among workers (right), in %

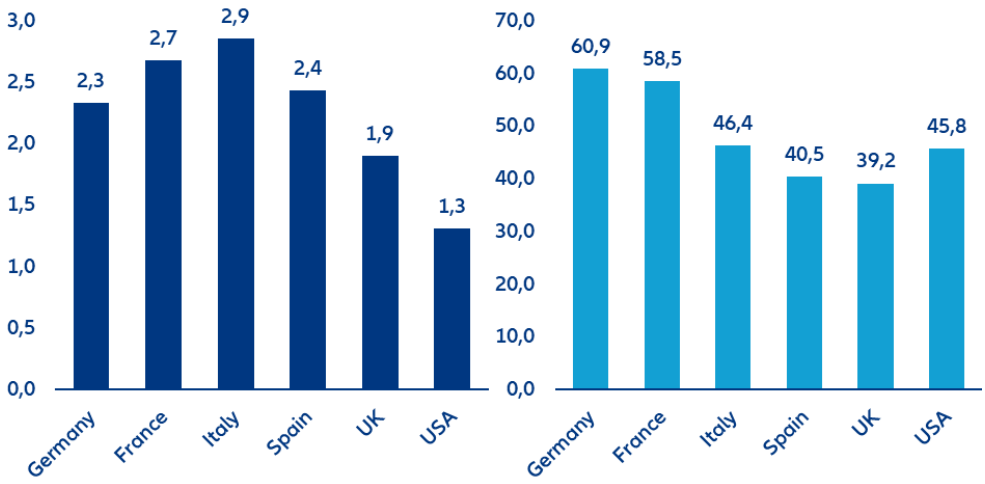


Sources: IMF, Eurostat, Bick et al. (2026), Allianz Research.

How these job-level effects translate into labor-market outcomes depends on country-specific conditions, which determine how quickly and to what extent AI exposure materializes over the next 1–3 years. We capture this through four scaling factors that amplify or cushion the impact. In the short term, AI adoption and workforce readiness for AI determine how quickly theoretical exposure causes actual impact (Figure 10). Countries such as the US and the UK lead both in current AI adoption and workforce readiness for AI, while Italy ranks the lowest among the countries considered, with Germany, France and Spain placed in the middle. In addition, we consider more structural factors such as unit labor costs and employment protection legislation that will shape firm incentives in adopting AI as well as influencing whether AI is used to complement or replace workers (Figure 11). High labor costs clearly increase the incentive to automate, while stronger employment protection legislation tends to slow displacement, at least in the near- to medium-term. For instance, the US has the weakest labor market regulations among the countries considered, leading to a higher expected pass-through of the theoretical AI exposure into actual labor market impact. By contrast, Italy has the strongest employment protection legislation, which shields the economy from the AI-related labor market disruption at least temporarily but also limits the economy's ability to benefit from AI-enabled productivity gains.

[3] These figures refer to AI-exposed jobs in the US economy. While we assume that the split between augmentation, reorganization and automation is broadly similar across countries, we adjust for country-specific structural factors, which results in lower estimated impacts in our analysis. Source: Martin Richmond, A. (2026), "The AI jobs transition framework: Mapping AI's near-term impact on jobs", OpenAI Research Paper.

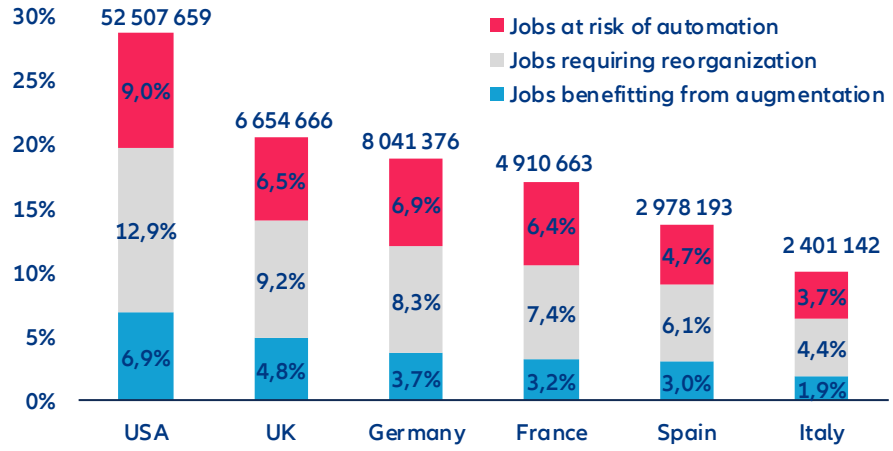
Figure 11: Employment protection legislation (indicator range from 0 (weak) to 6 (strong), left), and average annual hourly labor costs per employee (USD PPP, right)



Sources: OECD, ILO, Allianz Research.

The AI impact on the current workforce across major European economies and the US is substantial but far from uniform (Figure 12). To gauge the overall AI impact on the current workforce, we combine multiplicatively at the country level the sectoral AI exposure estimates, sectoral employment structures as well as the four scaling factors. The results are country-specific shares of jobs affected by AI, reflecting both technological potential and real-world constraints. Over the next 1–3 years, AI is expected to affect 23.3% of jobs across major economies, with reorganization (10.4% of jobs) dominating augmentation (5.3%) and outright displacement (7.6%). The share of jobs affected ranges from 9.2% in Italy to 28.7% in the US, with Spain (12.4%), France (14.7%), Germany (16.2%) and the UK (17.7%) in between. These differences closely mirror the distribution of employment across sectors. Economies with larger shares of finance, ICT and professional services exhibit substantially higher exposure than those with more manufacturing, construction or agriculture.

Figure 12: Medium-term AI impact on the current workforce across countries, in % and number of jobs



Source: Allianz Research.

Across all countries, the most important adjustment channel is job reorganization, while automation remains more material than augmentation. This reflects the fact that in most AI-exposed jobs, a human in the loop remains necessary, leading firms to reorganize tasks rather than replace workers, while only a smaller share of jobs meets the conditions for full automation and even fewer benefit from demand-driven expansion. In the US, 12.9% of jobs fall into the reorganization category, compared to 7–8% in Germany and the UK and 4–6% in Southern Europe. This finding is consistent with AI adoption currently targeting auxiliary or "side" tasks rather than core functions, reinforcing a complementary rather than substitutive dynamic. The share of jobs at risk ranges from 3.4% in Italy to

9.0% in the US, with most countries clustering around 5–6%. This gap between exposure and actual automation reflects the role of labor-market regulation, human-interaction requirements and demand effects, which limit the immediate substitutability of labor even where tasks are technically automatable. With respect to the expected real world labor impact of AI over the next 1-3 years, between 2% and 7% of jobs benefit from AI-driven expansion, thanks to augmentation, with the strongest effects in the US and UK. These gains arise where productivity improvements outweigh labor costs and hence increase employment.

The transatlantic divide in AI labor-market exposure is substantial and systematic: the US can expect more short-term AI-related labor market pain coupled with more long-term gain. In the US, 28.7% of jobs – equivalent to around 52.5mn positions – are affected by AI, compared to 14.5% (21.8mn jobs,) across the major European economies (Germany, France, Spain, Italy, UK). This pattern largely reflects structural differences in economic composition. The US economy is more heavily weighted toward high-exposure sectors such as information, finance and professional services, where AI can be deployed at scale, whereas Europe – particularly Southern Europe – retains a larger share of lower-exposure sectors such as manufacturing, construction and hospitality. The comparison between the US and Italy illustrates the extremes of this distribution: while the US combines high exposure (28.7%) with strong augmentation (6.9%), reorganization (12.9%) and automation (9.0%), Italy shows low exposure (9.2%) and correspondingly limited adjustment. As a result, the US faces greater transition pressures but also stronger potential productivity gains, whereas Europe's lower exposure provides short-term stability but risks slower productivity growth and weaker AI-driven job creation over time.

A key limitation of these results is that they focus on the current workforce and do not account for AI-induced job creation. Our estimates should therefore not be interpreted as direct changes in headline employment. Historically, technological change has followed a consistent pattern: job destruction by automating tasks is offset over time by job creation through new tasks and demand effects.[4] However, this adjustment is neither immediate nor evenly distributed. Job creation typically lags behind displacement due to reallocation frictions and skill mismatches. The time mismatch may be more pronounced for AI, as diffusion and adoption rates are unprecedented. Taken together, AI-driven job losses are likely to be partially offset over time, but with meaningful transition costs.

The scale of required job creation is material. Our results indicate that around 25mn jobs across the US and major European economies are subject to automation. Fully offsetting displacement would therefore require the creation of a comparable number of new jobs over the medium term. Early evidence shows strong growth in AI-related roles with some 1.6m new AI-related jobs like AI engineers, forward-deployed engineers and data annotators created over the past two years plus 600,000 jobs driven by the data center boom with the US the key beneficiary[5] However, diffusion across sectors and countries remains uncertain. Net employment outcomes will depend on the speed of job creation relative to displacement and on the efficiency of worker reallocation. In ageing economies, declining labor supply may additionally cushion the employment impact as labor shortages persist in many sectors.

Preparing policy frameworks for the AI age

AI does not determine labor-market outcomes on its own. The technology sets the direction, but policy and institutions determine the speed, scale and distribution of its effects including the balance between job augmentation, reorganization and automation.[6] What distinguishes the current wave of AI is not only its breadth across sectors, but the pace and depth of task-level transformation, amounting to one of the most significant labor-market transitions in recent decades. Existing policy frameworks, designed for slower, occupation-based change, are therefore ill-suited to the AI age, where jobs are continuously reconfigured. To remain effective, education systems, active labor-market policies, social protection systems, tax structures and firm-level incentives must be updated and rethought to become more forward-looking. The main challenge is therefore not preventing

[4] See: Acemoglu, Daron, and Pascual Restrepo (2019), "Automation and New Tasks: How Technology Displaces and Reinstates Labor", *Journal of Economic Perspectives,* 33 (2), 3-30; Hötte, K. Somers, M., and A. Theodorakopoulos (2023), "Technology and jobs: A systematic literature review", *Technological Forecasting and Social Change*, 194, https://doi.org/10.1016/j.techfore.2023.122750.

5 See: Linkedin (2026), linkedIn-labor-market-report-building-a-future-of-work-that-works-jan-2026.pdf

[6] For an excellent overview of the importance of policies and on how to make AI "pro-worker", see: Acemoglu, D., Autor, D., and S. Johnson (2026), "Building Pro-Worker Artificial Intelligence", NBER Working Paper 34854, https://www.nber.org/papers/w34854.

adjustment, but to shape its direction and distribution, ensuring that productivity gains translate into broad-based improvements in employment, wages and job quality rather than displacement or increased inequality.

First, labor-market policy will determine how smoothly workers move between tasks, roles and sectors. Traditional active labor-market policies will need to evolve from reactive systems focused on unemployment toward anticipatory, data-driven and task-based approaches. This includes early-warning systems to identify AI exposure, individual learning accounts, and rapid retraining mechanisms that can be deployed before displacement occurs. Public employment services should be strengthened with real-time labor-market intelligence and AI-enabled matching tools that connect workers to adjacent roles based on transferable skills. Wage insurance, portable benefits and unemployment support linked to retraining will be essential to reduce income risk and support mobility. Since most AI-exposed jobs are likely to be redesigned rather than eliminated, the priority is not protecting existing tasks, but enabling workers to transition quickly into new ones. Since most AI-exposed jobs are likely to be redesigned rather than eliminated, the priority is not protecting existing tasks, but enabling workers to transition quickly into new ones.[7]

Second, education and skills will become more binding constraints. As AI increasingly complements cognitive work, the ability to work alongside AI systems will determine whether workers benefit from productivity gains or face substitution.[8] This requires embedding AI literacy as a core competence across education systems, alongside stronger emphasis on critical thinking, problem-solving, adaptability and communication. Education systems will need to become more modular and continuous, with expanded mid-career training, short-cycle credentials and closer alignment with labor-market needs. Governments should also support sector-specific training ecosystems and local partnerships between firms, unions and education providers to accelerate adjustment in regions and occupations most exposed to disruption.

Third, firm incentives, including taxation and regulations will shape whether AI is used to replace labor or to augment it.[9] A key issue is that labor is typically taxed more heavily than capital, which creates a structural bias toward automation even when augmentation would be more socially efficient. Tax systems therefore need to be adjusted to incentivize augmentation rather than the substitution of labor. One proposal is a "robot tax," aimed at reducing this bias by taxing automation more in line with labor—for example, by limiting preferential tax treatment of capital that substitutes for workers or linking levies to displacement. Implementation challenges would need to be addressed, including defining what constitutes a "robot," avoiding disincentives to innovation, and limiting adverse competitiveness effects if policies are not coordinated internationally. Whereas broad-based taxation of automation may be difficult to implement in practice, more targeted approaches could be more effective. These include tax incentives to support augmentation, such as credits for training and reskilling, incentives for job redesign, and support for firms investing in human capital alongside technology. Frameworks can also encourage sharing of productivity gains through wages, profit-sharing, or reduced working time. Policies to support AI adoption among SMEs, strengthen competition, and prevent excessive concentration of productivity gains will also be critical.[10] Even small differences in these incentives can lead to large differences in business and labor-market outcomes.

Finally, the broader societal response will matter: Public concerns around economic disruption, trust and safety, and the distribution of gains may lead to calls for stricter AI regulation and shape how AI diffuses across economies.[11] Maintaining social legitimacy will therefore be critical. This requires stronger transparency in the use of AI in the workplace, appropriate safeguards around its deployment, and mechanisms for worker voice and participation in how AI is introduced and used. Ensuring that the gains from AI are broadly shared will also be central to sustaining support for adoption. This includes profit-sharing mechanisms and competition frameworks that prevent excessive concentration of AI-driven rents. A complementary priority is to ensure that AI adoption is broad-based rather than concentrated. This calls for policies that lower barriers to adoption, including support for SMEs, promote competition, and facilitate the diffusion of AI capabilities across firms and sectors. Such measures will be critical to ensure that productivity gains translate into wider economic benefits and employment growth.

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[7] See: Martin Richmond, A. (2026), "The AI jobs transition framework: Mapping AI's near-term impact on jobs", OpenAI Research Paper.

[8] See: Jaumotte, F. et al. (2026), "Bridging Skill Gaps for the Future: New Jobs Creation in the AI Age", IMF SDN/2026/001.

[9] See: Acemoglu, D., Autor, D., and S. Johnson (2026), "Building Pro-Worker Artificial Intelligence", NBER Working Paper 34854, https://www.nber.org/papers/w34854.

[10] See: Ferrando, A. et al. (2026), "Adopting and Investing in AI: Evidence from Euro Area Firms", ECB Economic Bulletin, Issue 2/2026.

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Allianz Research | 29 April 2026

Staycation summer? Jet-fuel crunch reshapes the peak holiday season

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In Summary

- **The Middle East crisis is squeezing airlines' jet-fuel supplies.** Unlike previous oil crises, the main bottleneck lies in refining capacity and product logistics. The Strait of Hormuz accounts for roughly 25% of global seaborne jet-fuel trade, making it a critical artery for aviation markets. As regional refinery operations have been disrupted, jet-fuel prices have doubled since the start of the conflict, while refining crack spreads have moved above USD 100/bbl. Fuel is the largest cost line (30–35%), meaning price shocks translate almost immediately into higher fares, capacity cuts or margin erosion.
- **Europe is among the most structurally exposed regions.** Europe produces only around 50% of its kerosene needs domestically, with the remainder met through imports. Gulf producers account for approximately 70% of imported volumes, affecting markets such as the UK, Germany, France and Italy, all of which run persistent deficits. Middle East kerosene flows to Northwest Europe fell -90% m/m in March, while April flows were effectively nil. Although US shipments surged +782% m/m, total combined inflows from the US and Middle East were still down -82% m/m in April, suggesting tightening physical availability into late spring and summer. More worryingly, even if Hormuz reopens soon, a full refinery ramp-up would likely take 3–6 months.
- **Airlines are reacting through fare increases (+5-15% for international routes) and tighter capacity management (2-5% cuts in Europe).** Across markets, carriers are attempting to preserve margins via pricing power. Beyond the fare hikes, specific fuel surcharges now range from USD20-60 on short/medium-haul routes and USD80–150 on long-haul tickets. If conditions worsen, further fare increases of 10–15% are likely. In Europe, announced capacity reductions remain selective, concentrated on lower-yield short-haul routes and secondary airports. Low-cost carriers are especially vulnerable because of thin margins, short-haul concentration and strong competition from high-speed rail alternatives.
- **Will it be the summer of staycations? Some substitution benefits are emerging in Southern Europe, but the upside is limited.** Equity markets have repriced airlines sharply while rewarding Western Mediterranean hospitality firms, with listed hotel stocks up +36% since the onset of the conflict. Booking trackers point to demand gains of +32% y/y for Spain and around +20% for Italy, Greece and Portugal. However, weakening sentiment in the US and Eurozone means many households may reduce total leisure spending rather than fully replace international trips with long domestic holidays.
- **Meanwhile, tourism in the Middle East faces a sharp reversal after strong post-pandemic growth.** Before the conflict, international arrivals were expected to increase by +13% y/y in 2026, after +51% in 2025 versus 2019, thanks to visa reforms and heavy tourism investment. If hostilities persist for another month, arrivals could instead decline by -35-40% y/y, implying approximately USD70-75bn in lost tourism receipts. Smaller tourism-dependent economies – i.e. Lebanon (where tourism accounts for 9.1% of GDP), Bahrain (6.2%), the UAE (6.2%) and Jordan (5.9%) – are most exposed to sudden declines in arrivals, foreign-exchange receipts and hospitality demand. Countries with weaker external balances may face stronger pressure on reserves and exchange rates. Beyond the Middle East, island tourism destinations where aviation is the primary gateway (Seychelles, Maldives and Mauritius) will also feel the pinch from disrupted connectivity through Middle Eastern air hubs.

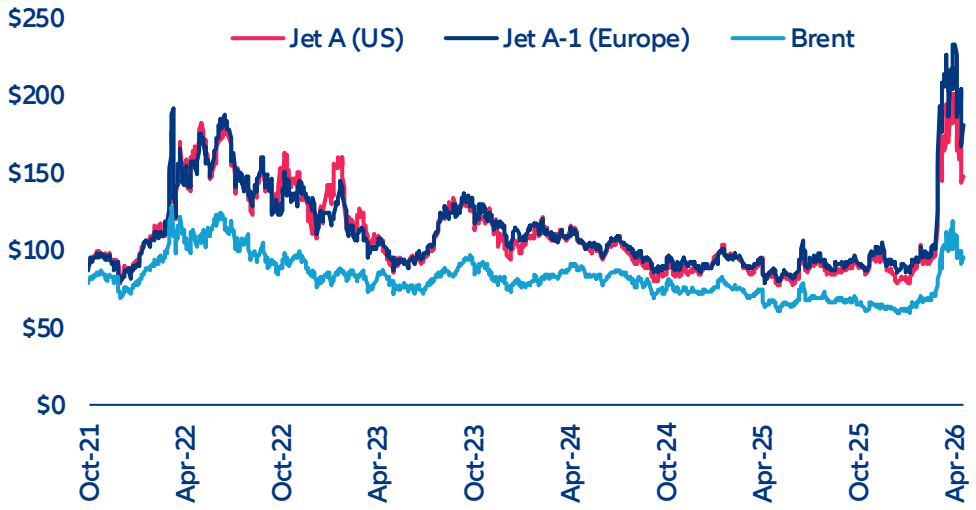
Turbulence ahead: Jet-fuel crunch threatens airline operations in peak season

A supply shock beyond crude: the central role of refining constraints. The current crisis differs materially from previous oil price shocks in that it is not limited to crude supply disruptions. While the ongoing closure and uncertainty surrounding the Strait of Hormuz has constrained global crude flows, the more persistent bottleneck lies in refining capacity, for which the Middle East represents a huge market share (see Figure 1). Jet-fuel availability actually depends on complex refining processes and disruptions across Middle Eastern facilities have created a lag between the normalization of crude supply and the restoration of refined product output. The Strait of Hormuz accounts for around 25% of the global seaborne volume of transported jet fuel. However, its outsized importance stems less from sheer volume than from its role as a core export hub supplying structurally import-dependent markets, particularly in Asia and Europe, where domestic refining capacity is insufficient to meet aviation demand. This imbalance is further exacerbated by export restrictions from key refining hubs such as China and South Korea, as well as limited spare capacity in alternative regions. As a result, jet-fuel prices have doubled since the beginning of the conflict, driven not only by crude benchmarks such as Brent crude oil, but increasingly by elevated refining margins (see Figure 2), with the crack spread surpassing the USD 100/brl threshold. With jet fuel typically accounting for approximately 30–35% of airlines total operating costs under normal conditions (making it the single largest cost item across much of the industry), airlines are now bracing for a challenging summer, increasingly forced to balance pricing power, capacity discipline and margin protection.

Figure 1: Oil refineries across the world, operational vs permanent closure, bubble size = capacity

Sources: Bloomberg, Allianz Research

Figure 2: Jet fuel and Brent crude oil prices (USD/bbl)



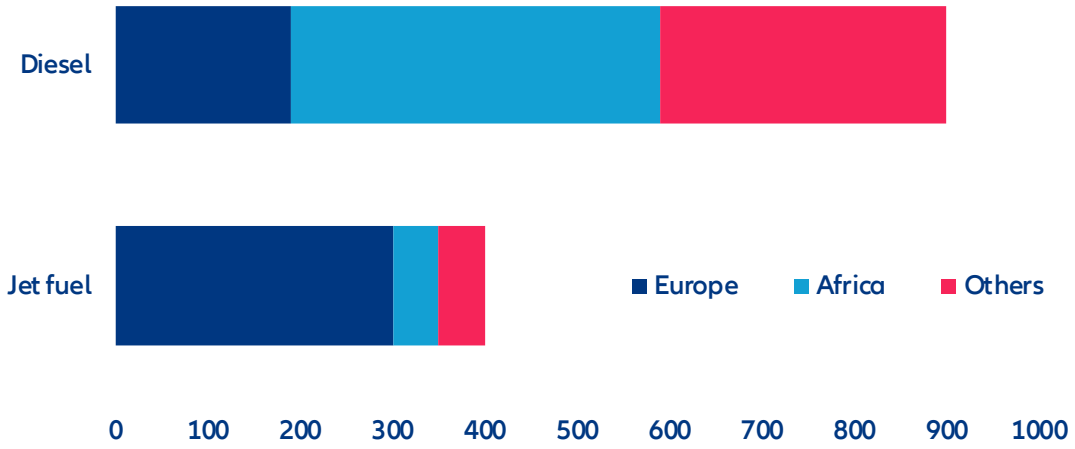
Sources: Bloomberg, Allianz Research

The decoupling of crude-oil and jet-fuel prices makes traditional fuel-hedging mechanisms significantly less effective. In parallel, regional hedging approaches are diverging. Most hedging programs are linked to crude oil benchmarks rather than the refined jet fuel that airlines actually consume. As a result, their effectiveness is reduced in periods of unusually wide crack spreads. More broadly, hedging practices vary significantly across regions. US airlines largely moved away from systematic fuel hedging about a decade ago, following adverse experiences in previous cycles. Large carriers instead rely on pricing flexibility and capacity management to absorb fuel-cost volatility. By contrast, European airlines have historically maintained more extensive hedging programs, often covering a significant share of fuel needs over a 12- to 24-month horizon. While this provides greater short-term cost visibility, some European carriers have recently signaled a reduction or cessation of hedging activity, reflecting a deteriorated risk–reward profile and a growing preference for market exposure combined with more dynamic fare adjustments. Asian airlines generally adopt an intermediate approach, typically layering hedges six to 12 months ahead, though strategies vary considerably by carrier and jurisdiction.

How much longer the Strait of Hormuz will remain closed is still uncertain. But once opened, the ramp-up of crude production and refinery activities across the region is expected to take about three to six months. We estimate that about half of crude production is currently curtailed in the Middle East, most of it via precautionary and stock-management measures rather than physical damage to fields. However, the shape of the recovery will depend on how long the Strait remains closed. Under our baseline scenario, a deal allowing for a progressive normalization of energy trade should happen in May, with a downside scenario being a closure of the Strait for more than three months. In either one, Gulf production is likely to mostly recover within a few months once the Strait safely reopens. The publicly reported physical damage to oil fields remains limited, in contrast to LNG assets. Saudi Arabia and the UAE together hold an estimated 2 Mbpd of spare capacity, enough to meaningfully stabilize markets in the first weeks. Kuwait production could take 3-4 months to return to full output even if the war ended today – a reminder that a "fast ramp up" applies to Saudi/UAE spare capacity, not to the wells that have been forced into precautionary curtailment. We should also underline that the longer the closure, the slower the production ramp up. We estimate a 70% recovery of lost production three months after Hormuz reopens, reaching close to 90% after six months. This could leave a long tail of structural underproduction that keeps the downstream product supply tighter than markets are pricing. However, downstream infrastructure such as refineries can come back online much quicker, in a matter of days.

The looming jet-fuel shortage will mainly affect import-dependent aviation hubs with tight refining capacity and heavy exposure to Middle Eastern supply flows. Asia-Pacific, Africa and Europe remain structurally dependent on oil and oil-derivative products from the Middle East, albeit for different reasons. On the one hand, Asia-Pacific has significant refining capacity but limited domestic crude supply, and with demand growth (particularly in China and India) continuing to outpace supply, dependence on Gulf crude remains high, with roughly 40–50% of APAC crude imports coming from the Middle East. For Africa and Europe the dynamic is different. Africa exports crude (notably from Nigeria and Angola) but lacks refining capacity, leaving it reliant on imported middle distillates (such as jet fuel and diesel) from suppliers such as Saudi Arabia and the UAE (see Figure 3). In Europe, reliance is largely driven by substitution effects. Since the Russian invasion of Ukraine, Middle Eastern flows have increasingly replaced lost Russian supply, particularly in refined products such as jet fuel. While Europe still refines around 50% of its jet fuel domestically, this share has been gradually declining amid a long-term downscaling regional trend driven by refinery closures and capacity rationalization. The remaining 50% is met through imports, with Gulf suppliers playing a central role (around 70%), particularly Kuwait as one of the largest single exporters, while the UK remains among the most import-dependent markets due to its structural refining deficit.

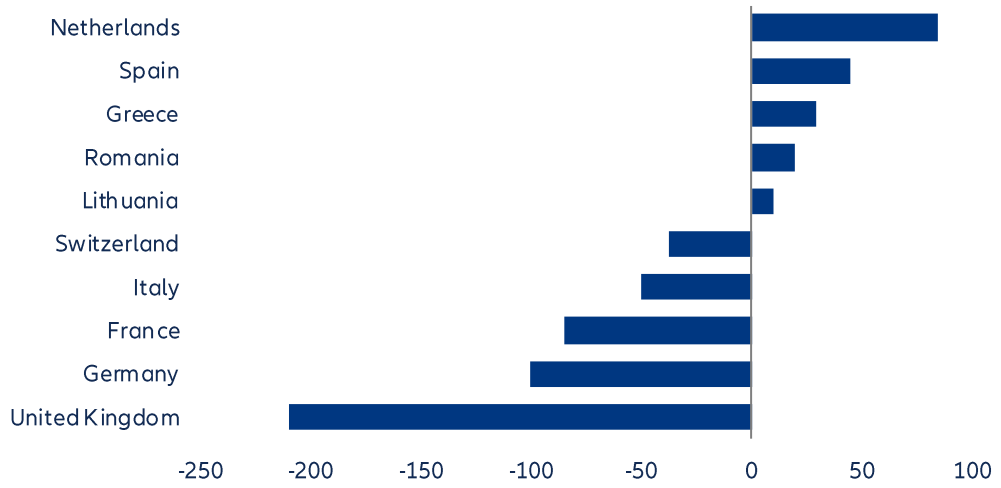
Figure 3: Destination region of refined oil products transiting via the Strait of Hormuz, thousand barrels per day



Sources: BloombergNEF, Allianz Research

Europe's kerosene market is structurally vulnerable, with most major economies running persistent deficits. The UK, Germany, France and Italy show the largest shortfalls (Figure 4), underscoring their reliance on external supply to meet aviation demand. Even traditionally well-refined economies like the Netherlands and Spain were only modestly in surplus last year, while several smaller markets remain balanced or slightly positive, indicating limited regional capacity to offset the gap. This imbalance effectively positions Europe as a net structural importer of kerosene. As a result, European aviation activity is indirectly exposed not only to global oil price dynamics but also to geopolitical and logistical risks along key supply routes, reinforcing the region's dependence on external refining hubs for a fuel that is essential to long-haul connectivity.

Figure 4: Kerosene balances in 2025, by country in Europe, in thousand barrels per day

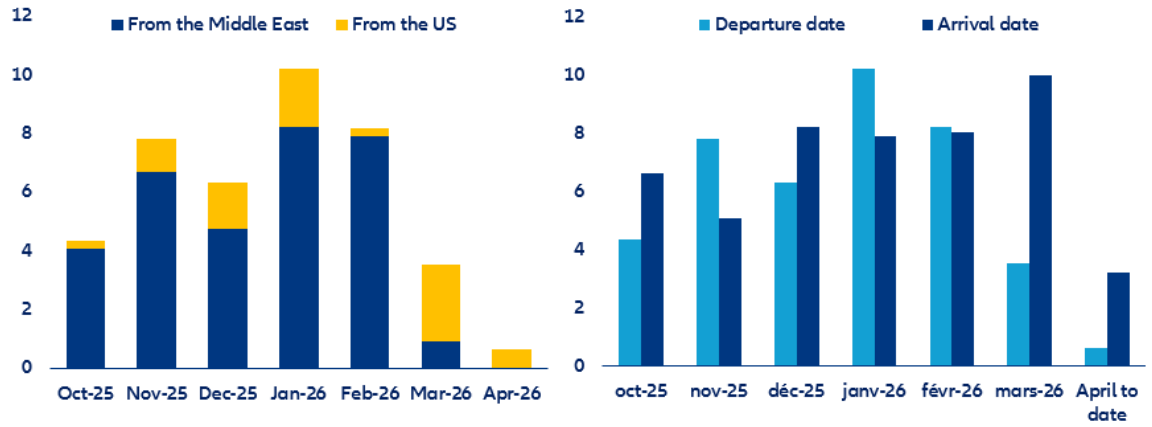


Sources: BloombergNEF, Allianz Research. Note: Negative numbers indicate supply shortfall, meaning consumption outweighs domestic refinery output of kerosene.

Meanwhile, the US is becoming a key marginal supplier to Europe's jet-fuel market. Kerosene flows from the Middle East to Northwest Europe declined by -90% m/m in March while no shipments departed in April. Conversely, shipments from the US skyrocketed last month (+782% m/m), reflecting a sharp but likely temporary reorientation of regional supply flows. In the short term, replacing Middle Eastern jet fuel with supply from the US enhances Europe's resilience, but this shift carries structural costs: longer transatlantic routes and increased transport expenses and emissions. Moreover, US crude yields less jet fuel per barrel – tightening refining economics – and dependence is not eliminated but redirected, concentrating risk in transatlantic supply chains (and increasing President Trump's bargaining power), while heightening exposure to price volatility, making the arrangement a stabilizing stopgap rather than a durable solution.

More worryingly, even after accounting for increased inflows from the US, total kerosene imports into Northwest Europe continue to decline. When combining supplies from both the US and the Middle East, shipments so far in April are down by -82% m/m (see Figure 5-A), pointing to a material tightening of physical availability and raising the likelihood of an outright supply shortfall by late May if the trend persists. Two mitigating factors provide only temporary relief: first, Europe still produces roughly half of its kerosene demand domestically, anchored by its refining base and second, jet-fuel cargoes dispatched in April (albeit small) will continue to arrive with a lag into May, smoothing the abrupt impact. However, these buffers are finite, and with inventories already under pressure and logistics stretched, they primarily delay rather than eliminate the risk of fuel disruption.

Figure 5: A) Kerosene flows to Northwest Europe per departure month and by origin; B) Total kerosene flows from the Middle East and the US together to Northwest Europe (departure vs arrival month). In millions of barrels

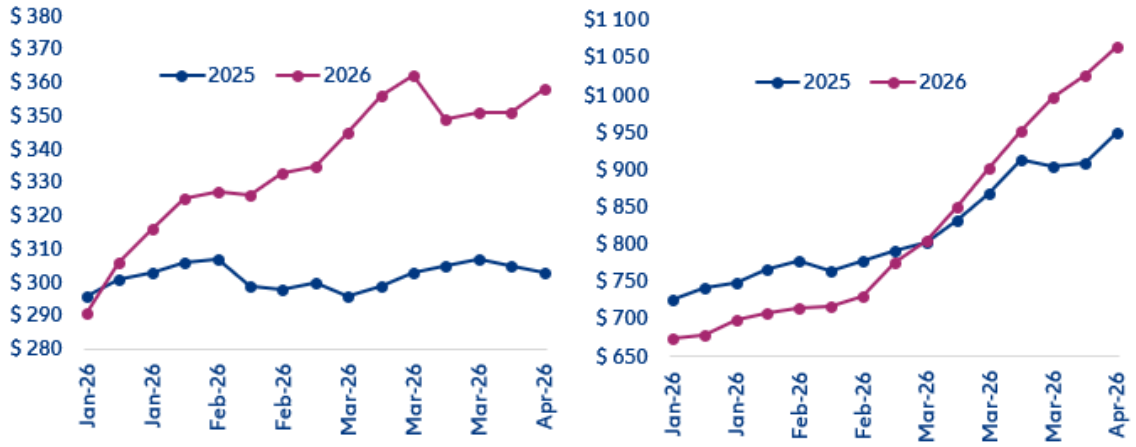


Sources: Refinitiv Workspace, Allianz Research

Pricing power and capacity discipline are the first line of defense

To cope with the situation, airlines are increasingly converging on a common set of strategies centered on revenue enhancement. Airfares are among the most immediate pressure valves. Asia-Pacific carriers were the first to move decisively, announcing fare increases within days of the fuel-price spike, signaling early that higher jet-fuel costs would be passed through to passengers, either via direct fare hikes or the reintroduction of fuel surcharges. In magnitude, increases so far have generally landed in the high single-digit to mid-teens range (+5-15%) on international routes, with some long-haul segments seeing steeper adjustments depending on fuel intensity and route disruption. In the US, airlines adjusted prices later but more incrementally, delivering a +23% increase in domestic segments over the quarter and +60% on international flights (see Figure 6).

Figure 6: Average airfares in the US, in USD; A) domestic flights; B) international flights



Sources: KAYAK, Allianz Research

Beyond airfares, airlines are pulling additional revenue levers – expanding ancillary charges through higher baggage fees and explicit fuel surcharges – while, in parallel, capacity discipline is becoming the norm, particularly across Europe. Checked baggage fees have increased by USD5-10 per bag per segment, while ancillary revenues from preferred seating and extra-legroom options are up 10-20% (typically USD20-80 per segment, depending on route and demand). In parallel, several carriers – particularly in Europe and Asia – have reintroduced explicit fuel surcharges ranging from USD20-60 on short/medium-haul routes and USD80-150 on long-haul tickets. Should the jet-fuel shortage get worse, airlines could implement further fare increases in the range of +10–15%, with the upper end more likely on long-haul and fuel-intensive routes, complemented by higher fuel surcharges. To the detriment of travelers, airfares are unlikely to fully revert to pre-shock levels, regardless of the duration of the ongoing fuel disruption. Once higher fare levels are accepted by the market, they tend to persist and are rarely fully rolled back, even if underlying cost pressures subsequently ease. As a result, part of the recent fare increases is likely to remain embedded, supporting a persistently higher pricing floor across key routes.

At the same time, airlines are reinforcing pricing power through capacity discipline, particularly on lower-yield short-haul routes. This adjustment has been most pronounced among European carriers, where network trimming is increasingly used as a margin-protection lever. Structurally, airfares are driven by a relatively fixed cost composition: 60–75% operating costs, 20–40% taxes and airport/navigation fees and 0–10% profit margins, underscoring the industry's limited flexibility. European airlines in particular stand out for paying the highest airport charges globally, which make short-haul trips especially less profitable due to taxes and air navigation fees. Against this backdrop, several airlines in the region have begun rolling back planned capacity expansions for 2026, signaling a shift from growth to network rationalization and yield protection. With airport taxes largely fixed and difficult to pass through dynamically, carriers are increasingly reallocating capacity toward long-haul routes, where unit revenues are higher and fuel costs can be better absorbed, while reducing exposure to structurally weaker short-haul segments.

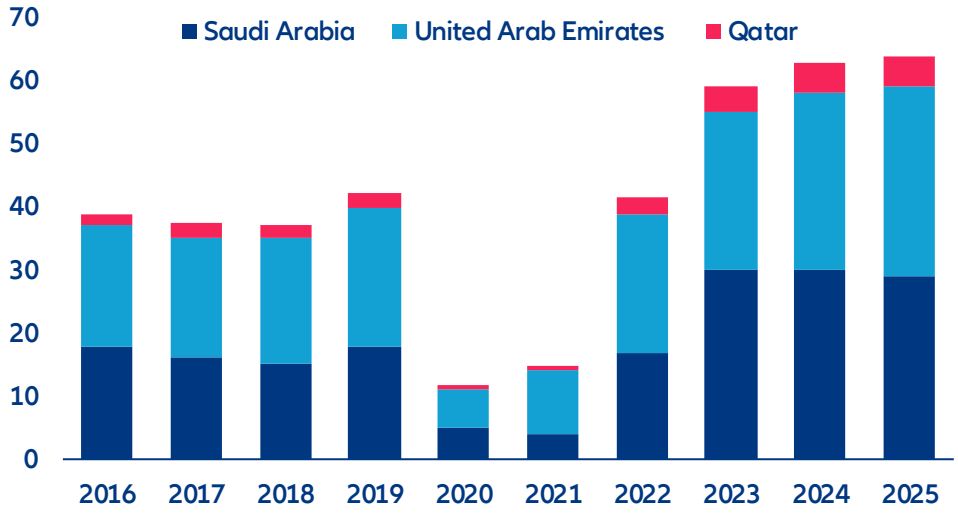
Despite visible route cuts, announced capacity reductions in Europe represent only 2–5% of total sector capacity, reflecting targeted network optimization rather than a systemic contraction. So far, the announced capacity adjustments in Europe remain relatively contained in aggregate terms, but are more meaningful at the margin. Overall, they represent roughly 2–5% of total sector capacity, reflecting targeted reductions rather than a broad-based contraction. The cuts are concentrated in lower-yield short-haul routes and secondary airports, where load factors are weaker and pricing power is limited. This pattern is particularly visible among low-cost carriers (LCC), which are actively reallocating aircraft toward higher-margin leisure routes and core city pairs. In contrast, long-haul and high-demand corridors remain largely unaffected in terms of capacity.

Low-cost carriers (LCCs) are indeed the most exposed segment in Europe: structurally thin margins and a short-haul-heavy network amplify vulnerability, facing substitution risk from rail operators. The low-cost carrier model in Europe is built on high-volume, short-haul, point-to-point operations; standardized fleets and maximized aircraft utilization, delivering typically 5–10% EBIT margins. This structure depends heavily on cost discipline, making fuel a disproportionately large share of total operating costs and a key source of margin volatility. As a reference, a 10% increase in jet-fuel prices typically reduces airline EBIT margins by roughly 0.3–0.8pp (depending on hedging coverage and the pricing power of each player). As a result, a doubling of jet-fuel prices would imply an EBIT margin compression of approximately 3–8pps at the sector level over a 12-month horizon. Indeed, some of the casualties announced so far in the sector have been low-cost carriers that were already under financial stress prior to the jet-fuel price spike and have so far relied on government support. Positively, evidence shows that in this particular sector, fuel-driven stress does not necessarily lead to failure, but rather to government-backed stabilization. Nevertheless, the customer base in this segment is highly price-sensitive, with fares often in the EUR40–100 range, limiting the ability to pass through higher costs without materially impacting demand. LCCs account for roughly 45% of intra-European flights and over 50% of short-haul capacity on many routes, where competition is most intense and pricing power is structurally constrained. Exposure is even more acute in markets such as Spain, Italy, France and Germany, where dense low-cost penetration overlaps with extensive high-speed rail corridors, increasing substitution risk on short distances.

Gulf hit severely and spillover to Asia and Africa

A different reality for Middle East tourism: the summer season is already being derailed. Beyond coping with jet-fuel scarcity, airlines in the Middle East also have to deal with big revenue losses and operational constrains due to the closure of almost all of the region's airspace. The conflict hit in the midst of a tourism boom: The UAE, Saudi Arabia and Qatar experienced a strong post-pandemic rebound (Figure 7), with the number of international visitors growing by +51% in 2025 vs 2019, thanks to simplified visa regimes and aggressive investment in aviation and tourism infrastructure across the region, while post-pandemic luxury tourism also turned the region into a high-growth destination. Before the start of the conflict, the region was set to witness a double digit increase in the number of international visitor arrivals (+13% y/y) this year. Now, it is likely to see a decline of -35-40% y/y if the conflict extends for another month, representing a loss of around USD70-75bn in tourism receipts over the year (Figure 8).

Figure 7: International tourist arrivals per year, million people



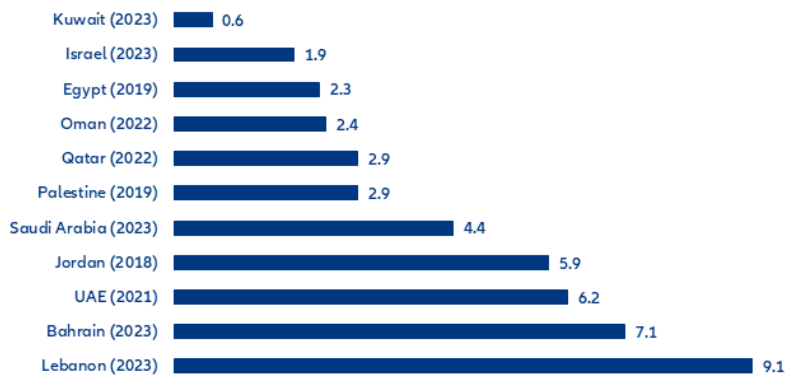
Source: UN Tourism, Allianz Research

Figure 8: Middle East tourism data

Source: UN Tourism, Oxford Economics, Allianz Research

Tourism-dependent economies are most at risk. The greatest direct vulnerability lies in economies where travel and visitor spending make up a meaningful share of national output. Lebanon, with tourism equivalent to 9.1% of GDP, is the most exposed (see Figure 9). Any prolonged decline in arrivals would likely intensify existing macroeconomic stress, reduce foreign-currency inflows and further weaken already fragile domestic demand. Bahrain (7.1%) and the UAE (6.2%) would also face material losses, particularly through reduced leisure travel, lower hotel occupancy and softer aviation and retail activity. In the UAE the effect would be partly cushioned by economic diversification, but tourism-linked sectors would still experience a noticeable slowdown. Jordan (5.9%) is similarly sensitive, as perceptions of regional instability often affect inbound travel regardless of whether the country is directly involved. This highlights a common feature of tourism shocks: reputational spillovers frequently matter as much as physical disruption. Saudi Arabia (4.4%) would likely see more moderate effects because of its larger domestic economy and expanding religious tourism base, though discretionary travel could soften. Qatar (2.9%) and Oman (2.4%) face lower direct exposure, but airlines, hospitality and transit traffic remain vulnerable. At the lower end, Egypt, Israel, and Kuwait appear less dependent on tourism as a share of GDP. However, even where direct exposure is smaller, foreign-exchange earnings can still be important. Countries with weaker current-account positions or limited reserve buffers may feel the impact quickly through exchange-rate pressure, tighter financing conditions and slower growth. In practice, this means smaller tourism-dependent economies are likely to absorb the sharpest immediate pain, while larger diversified economies would experience more manageable but still meaningful secondary effects.

Figure 9: Tourism direct share in GDP for Middle East countries (%)



Note: latest available year in parenthesis
Source: UN Tourism, Allianz Research

Overall, direct exposure to the conflict zone represents only 10% of global airline capacity. However, the Middle East is a critical global aviation hub, so any disruption has disproportionate spillover effects, impacting long-haul connectivity and tourism flows to regions that are largely dependent on air travel. With airports such as Dubai International Airport (DXB), Hamad International Airport and Abu Dhabi International Airport handling tens of millions of transit passengers annually and serving as critical connecting nodes between Europe and Asia, the ongoing airspace closure is also causing operational challenges for airlines, while impeding the connection to specific routes. DXB alone regularly ranks as the world's busiest international airport, with nearly 90mn passengers transported in 2025, underscoring the region's role as a structural bridge in global air traffic flows. As a result, any disruption in the region's airports has disproportionate ripple effects across long-haul global connectivity, particularly on Europe–Asia routes that rely heavily on Gulf-based transit hubs, and which have been growing significantly in the past year (Figure 10).

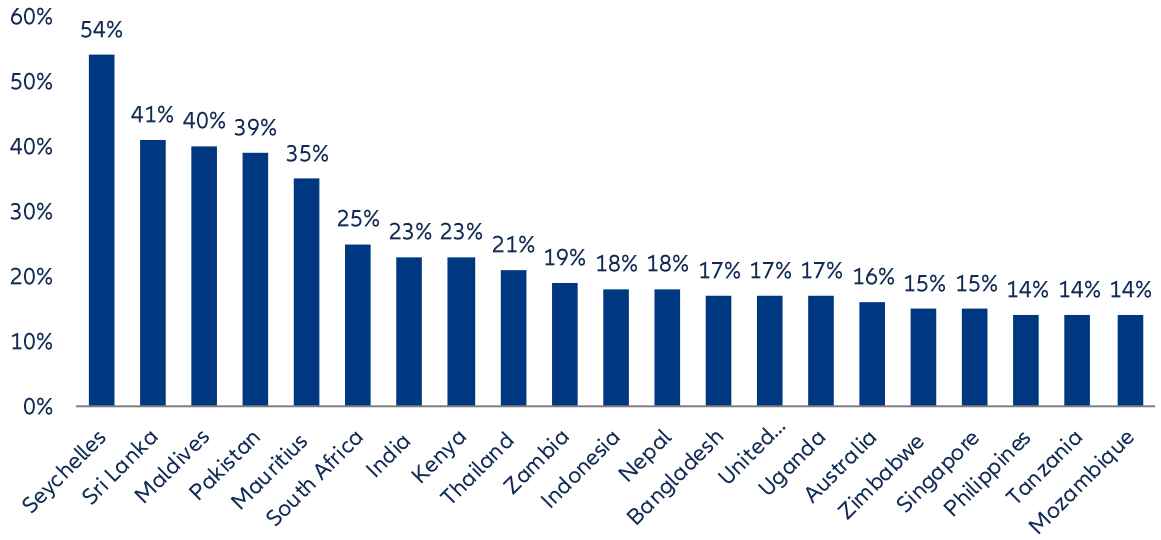
Figure 10: Average daily departure and arrival flights, Europe vs the rest of the world

Region	Average daily flights	% previous year	% 2019
Intra-Europe	23,305	+3%	-1%
Europe ↔ Middle East	1,508	+11%	+6%
Europe ↔ North-Africa	1,375	+11%	+34%
Europe ↔ North Atlantic	1,369	+3%	+15%
Europe ↔ Asia/Pacific	969	+13%	+22%
Europe ↔ Other Europe	370	+2%	-64%
Europe ↔ Southern Africa	321	+5%	+3%
Europe ↔ Mid-Atlantic	176	-1%	+1%
Europe ↔ South-Atlantic	206	+7%	+11%
Non Intra-Europe	6,293	+8%	+2%

Sources: Eurocontrol, Allianz Research

Several key tourism destinations – such as the Seychelles, Maldives, Mauritius, Thailand, Indonesia, Australia, Singapore and the Philippines – are highly dependent on long-haul air connectivity routed through Middle Eastern hubs. The top three regional carriers play a pivotal role in linking these markets to Europe and the Americas, often providing the most efficient or even only viable one-stop connections. As a result, any disruption or capacity tightening in the Middle East aviation system has a disproportionate impact on these destinations, some which rely heavily on tourism income. The consequence is a form of structural vulnerability: tourism demand in these economies is highly elastic to air-connectivity conditions, meaning that even marginal increases in fuel costs or route rationalization can directly affect visitor flows. This dynamic is particularly relevant for island economies such as the Maldives, Seychelles and Mauritius, where aviation is not just a transport mode but the primary gateway for tourism demand (Figure 11).

Figure 11: Share (%) of international inbound passenger traffic carried by top three gulf airlines, by destination.

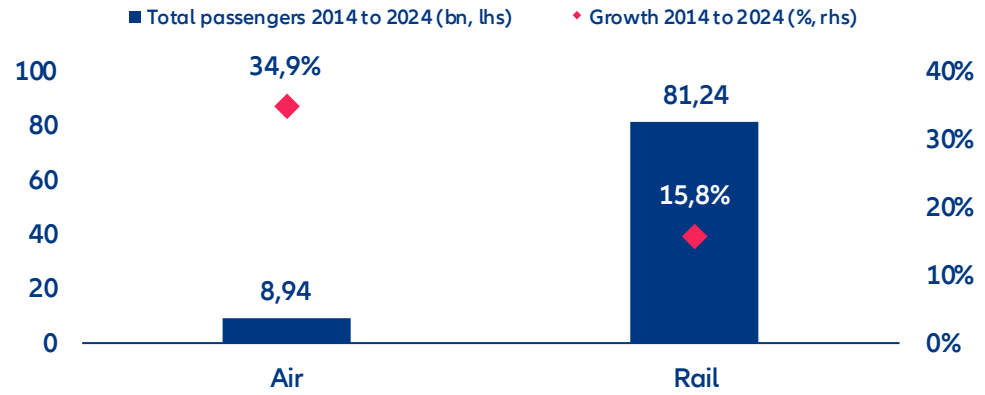


Sources: Various sources, Allianz Research

Expect some substitution in developed markets but confidence caps the upside

The European summer holidays are not fully at risk. Indeed, rail transport in Europe carries substantially more passengers annually than aviation, making it the dominant mode of mass mobility across the region. While air travel carries hundreds of millions of passengers per year, rail systems collectively handle volumes in the billions, particularly through dense short- and medium-distance networks (Figure 12). The evolution of rail demand in Europe over the past decade reinforces the potential for modal shift as a key solution for travelers. Between 2014 and 2024, railways transported 81.2bn passengers, compared with 8.9bn transported by air companies over the same period (10 times less). The rail network's high frequency, extensive geographic coverage and strong city-center connectivity allow it to absorb a meaningful share of displaced demand. In this context, rail does not merely complement aviation – it acts as a structural backstop for intra-European mobility, helping to sustain tourism flows even amid fluctuations in airline capacity. But ultimately, the question many households will face is not which mode of transport to choose, but rather how much they are willing to allocate to leisure spending this summer, given the prevailing economic conditions.

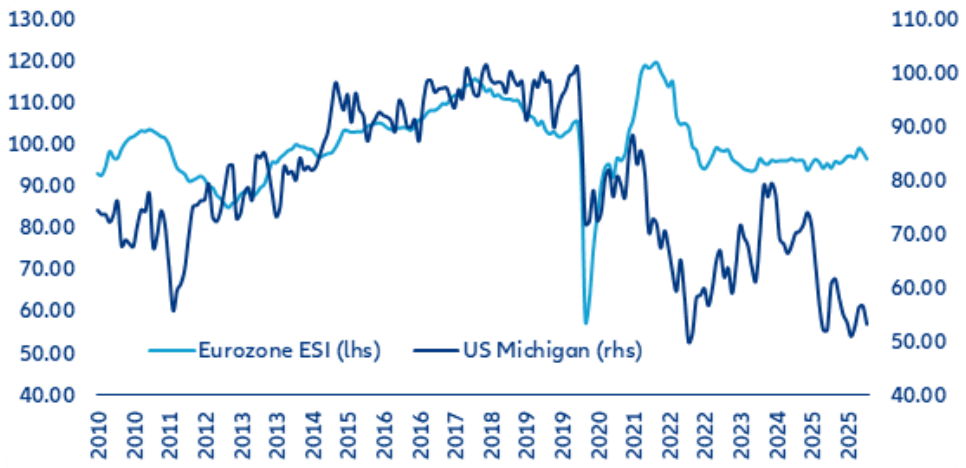
Figure 12: Evolution of demand in air transport and railways in Europe (2014 – 2024)



Source: Eurostat, Allianz Research

The substitution upside is bounded by consumer confidence, which has collapsed alongside the war in Iran. Low consumer confidence in the US and the Eurozone reduces the likelihood that households will fully substitute cancelled long-haul or Middle East travel with additional spending on domestic or nearby holidays. In theory, geopolitical disruption should redirect demand toward safer and closer destinations, benefiting local tourism markets. In practice, that mechanism weakens when households are already cautious about their finances. In the US, the University of Michigan consumer sentiment index fell to 53.0 in March from 56.4 in January, signaling deteriorating household confidence (see Figure 13). In the Eurozone, the Economic Sentiment Indicator declined to 96.6 in March from 99.2 in January, likewise pointing to softer consumer and business expectations. When confidence indicators fall to these levels, consumers tend to interpret uncertainty as a signal to preserve cash, postpone discretionary purchases and avoid committing to non-essential travel. Rather than replacing a cancelled overseas trip with a domestic break, many households simply travel less, shorten trips, downgrade accommodation or delay plans altogether. Tourism is a highly income-elastic category of spending, meaning it reacts quickly to shifts in sentiment, employment expectations and perceptions of future disposable income. Concerns over inflation, borrowing costs, slower growth and softer labor markets therefore weigh disproportionately on holiday demand. Even where some substitution occurs, domestic travel usually generates lower per-capita spending than long-haul international holidays involving flights, premium hotels and longer stays.

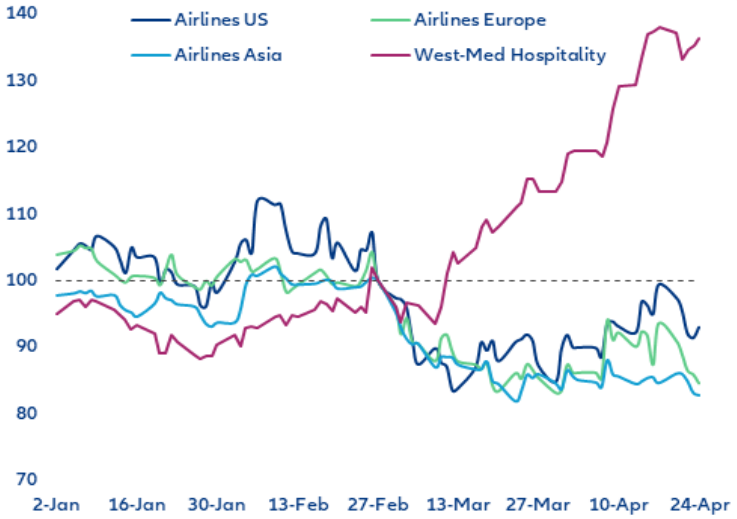
Figure 13: Economic sentiment indicator (ESI) and Consumer Sentiment indices



Source: Eurostat, Allianz Research

Equity markets are betting on West-Med hospitality with stock prices up more than 35% since the onset of the war in Iran. Regional airline baskets have repriced quite sharply (see Figure 14). Asian airlines have corrected the most (-18% since the war), with investors judging that bypass-routing and higher fares cannot offset the fuel cost. US airlines stand at -7%, with most US carriers running unhedged and fully exposed to spot fuel. The lower price decline is also related to pricing strategies as US fares can adjust faster. European airlines sit at -15% as investors see them squeezed between higher fuel cost and carbon costs. The substitution thesis is benefiting West-Med listed hotel firms, which are up +36% since 28 February (i.e. Spanish, Italian and Greek hospitality), in line with surging flight bookings to these destinations: Industry trackers cite +32% y/y for Spain and +20% for Italy, Greece and Portugal.

Figure 14: Selected equity indicators (Feb. 27 = 100)



Note: each index aggregates large, listed company by market cap
Source: Eurostat, Allianz Research

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Energy shock and policy response: Once bitten, twice shy?

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In Summary

- **The current energy shock is fundamentally a supply disruption, not just a price event, with Asia most at risk.** The blockage of the Strait of Hormuz has disrupted around 20mb/d of oil flows (roughly 1/5th of global supply), leaving a net shortfall of ~10mb/d despite rerouting, additional supply and strategic reserve releases. The resulting supply-demand gap has been closed through higher oil prices (Brent +30% since the war began), which have lowered consumption. Physical scarcity is already visible: jet fuel is tightening, diesel is being rationed and industrial users in price-controlled markets face outright shortages. Asia is most exposed (85% of Hormuz oil flows vs. less than 6% to Europe and 4% to the US), driving a persistent 6–7% price premium above Brent. A first policy response, mainly by Asian countries, has been demand rationing (shortened working weeks, energy usage and fuel restrictions) cutting global demand by ~1mb/d.
- **Fiscal support followed swiftly, primarily through fuel-tax relief and subsidies (~0.15% of GDP in developed markets and ~0.20% in emerging markets on average).** On price support Asia leads again, with large EMs (South Korea, India, Indonesia) deploying fiscal packages >1% of GDP vs. a global average of ~0.2%. Similarly, in developed markets, large EU energy importers average ~0.4% of GDP vs. ~0.15% overall. However, deeper pockets buy more: Germany's small 0.04% of GDP package translates into USD22 per capita while India's package of 1.5% of GDP, despite being 37 times larger in relative terms, only translates to a mere USD40 per capita. Should the conflict prove more prolonged (beyond May), a "second salvo" of fiscal support would raise spending to 0.6-0.8% of GDP, as governments would respond to higher energy price pass through with a 2-6 months lag. Nonetheless, no fiscal transfer can resolve the supply-demand mismatch, which will need to be cleared via demand destruction.
- **Compared to 2022, the shock differs in two key ways: fiscal support is materially smaller, but proportionally similar (around 50% in Europe as the size of the energy price shock is also lower) and price transmission has weakened due to structural shifts in the energy mix.** This reflects policy learning , the perception of a temporary shock and fiscal limits, with governments allowing greater pass-through rather than repeating large-scale shielding (e.g. France announcing later and more targeted measures, Belgium taking no measures). Meanwhile, in the European power market, higher wind and solar penetration has reduced the gas-to-electricity pass-through seen in 2022, but gas remains indispensable for grid balancing Spain stands out with electricity prices around 70% lower than in Italy, reflecting a higher renewables share and better storage capabilities.
- **For now, fiscal costs for most countries are negligible but EMs with high energy import dependence and a deteriorating current account are vulnerable (Türkiye, Egypt, Morocco, and Hungary).** Debt-servicing costs will rise by around 0.05% of GDP annually in advanced and emerging economies on average. entirely from a higher debt stock. Interest rates have risen only modestly (US/DE: +30bps, EM hard currency: +20bps, local currency: +30bps), with an even lower change in real rates. A gradual pass-through given slow debt rollover raises debt-servicing costs only marginally through this channel. On the flip side, higher inflation could even dampen the debt burden (inflation tax) and thus debt-service costs but the currently expected increase in inflation is far below 2022, thereby limiting this

effect. Some EMs nevertheless stand out: fiscal fragility and elevated debt service are most acute in Egypt, Hungary and Poland. Currency depreciation amplifies the damage in nations with a high share of hard currency debt: Türkiye, Argentina and Egypt. Nevertheless, not all emerging markets are on the losing side of the energy shock: Higher prices are a windfall for energy producers such as Nigeria, Brazil and Colombia.

From price signals to physical scarcity: a regime shift

The 2026 energy shock is not a price event with physical consequences, but a physical supply disruption with price consequences. This distinction is central for policy design, fiscal outcomes and market pricing. Unlike 2022, prices are not clearing the market: the shock is defined by missing volumes, not by temporarily expensive ones. Where supply is physically constrained, no price cap or political statement can fully offset a shock defined by missing volumes: the molecules are simply not there. This raises the risk that adjustment occurs through actual scarcity (notably in jet fuel and refined products), not just higher prices. Energy markets entered 2026 in a fragile but manageable equilibrium, and the initial repricing following the Iran escalation was driven largely by geopolitical risk premia: markets were pricing the probability of disruption, not disruption itself. That quickly gave way to reality.

From a supply gap of 20mb/d from the global supply – roughly one-fifth of world supply – to a shortfall of approximately 10 mb/d thanks to alternative supply sources and routes. Half of the missing gap is being rerouted via alternative pipelines, from the East-West pipeline in Saudi Arabia to the Emirate East coast pipeline. On top of that extra supply from Russia – whose oil has been temporarily excluded from the sanctions list – and the US – whose producers increased production by around 200,000 b/d from pre-war projections – is also substituting part of that supply, resulting in 10mb/d gap. The International Energy Agency (IEA) coordinated the release of around 400mn barrels from strategic reserves in the weeks following the start of the war – the largest joint drawdown ever announced — aimed at stabilizing prices and signaling policy control. Markets were largely unconvinced: prices retraced only marginally, underscoring that reserves can smooth flows temporarily but cannot offset a sustained physical disruption. This option is now fully exhausted.

The effective closure of the Strait of Hormuz marked the regime shift. Around 20% of globally traded oil and 25% of LNG transit the Strait, with no short-run substitute route of comparable capacity – making the closure not just a price shock but a physical supply event with no historical precedent of comparable scale. Since the start of military engagement, oil prices have risen by more than 50% and natural gas prices by over 65%, with storage levels falling towards their 2022 lows. But the aggregate numbers obscure where the pressure is most concentrated: Asia, as the region most dependent on Gulf supply, is bearing a disproportionate share of the cost. DME Oman futures have been trading at a premium of approximately USD10-11 per barrel above Brent since early April – a spread that under normal conditions runs in the opposite direction — capturing with unusual precision where the physical shortage is concentrated and who is paying for it.

Asia sits at the epicenter of the energy crisis, given its large dependency on Gulf imports, and has been the fastest to activate demand-side responses – with demand destruction, rather than fiscal absorption, emerging as the primary adjustment channel. The policy actions are estimated to have already curbed oil demand by around 1 mb/d in March and April, with global demand growth for 2026 revised down to 640,000 b/d – 210,000 b/d below the pre-war estimate. Around 56% of emerging market economies in the region have adopted this approach, reflecting tighter fiscal space and more binding financing constraints that make explicit subsidy expansion politically and fiscally untenable. The IEA's emergency demand toolkit – covering work-from-home mandates, reduced highway speed limits, public transport incentives and number-plate rotation schemes – has been the reference framework for most responses, targeting road transport, which accounts for around 45% of global oil demand. The Philippines declared a national energy emergency; Thailand proposed a three-stage fuel rationing contingency plan; Vietnam activated fuel contingency plans; and Indonesia began rationing energy and urging conservation. Pakistan introduced a four-day working week for public offices, with 50% of staff working from home; Sri Lanka reintroduced the weekly fuel ration it had last used during its 2022 debt crisis, alongside a four-day government working week. A secondary consequence has been an acceleration of renewable energy commitments: South Korea's president described the crisis as a strategic opportunity to transition to renewables, while the Philippines and Vietnam have recorded sharp increases in EV sales as consumers seek to reduce fuel exposure.

Markets are closing the remainder through price-driven demand destruction, especially in Asia, where the price premium is 6-7% above the Brent benchmark since the war started.

The policy response under a physical energy shock

The policy response to the Hormuz disruption has been unusually fast. Within days, governments moved to limit the pass through of higher energy prices to end consumers, announcing price caps and subsidy extensions, often complemented by emergency reserve releases – in many cases before physical shortages had fully materialized (see Table 1). The speed reflects a hard learned lesson from 2022: delayed intervention risks de-anchoring inflation expectations and ultimately leads to higher ex-post fiscal costs.

Yet the adjustment differs sharply across countries. Economies with deeper fiscal buffers and market access are once again absorbing a significant share of the shock onto public balance sheets, effectively smoothing the impact on household incomes and corporate margins. In contrast, tighter financing constraints are forcing a larger share of the shock to pass through to activity, combining selective fiscal support with demand compression. In these economies, higher energy prices translate more directly into lower consumption, reduced industrial activity and slower growth, rather than higher fiscal outlays.

Table 1: Fiscal response divergence between DMs and EMs: prices vs demand

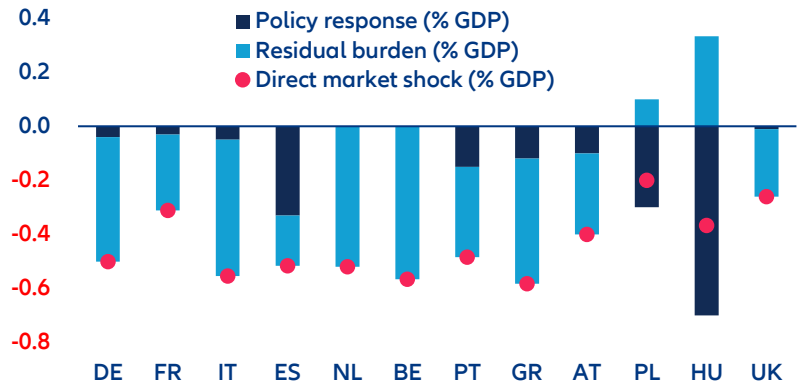
	Country	Price adjustments	Demand adjustments	Supply adjustments (non-IEA release)	Supply adjustments – IEA release	Other measures
Developed Markets	United States	No	No	No	Yes	No
	United Kingdom	Yes	No	No	Yes	No
	Europe	No	No	No	Yes	No
	Germany	Yes	No	No	Yes	Yes
	France	Yes	No	No	Yes	No
	Italy	Yes	No	No	Yes	Yes
	Spain	Yes	No	No	Yes	No
	Netherlands	No	No	No	Yes	No
	Belgium	No	No	No	Yes	No
	Japan	Yes	No	No	Yes	No
	Australia	Yes	No	No	Yes	No
	Singapore	No	Yes	Yes	No	No
	AVERAGE	58%	8%	8%	92%	17%
Emerging Markets	China	No	No	Yes	No	No
	India	Yes	No	Yes	No	No
	Pakistan	Yes	Yes	No	No	Yes
	Thailand	Yes	Yes	No	No	No
	Philippines	No	Yes	Yes	No	Yes
	Sri Lanka	Yes	Yes	Yes	No	Yes
	Vietnam	Yes	Yes	Yes	No	No
	Brazil	Yes	No	Yes	No	No
	Turkyie	Partial	No	No	No	No
	South Africa	Yes	No	No	No	No
	Poland	Yes	No	No	Yes	No
	AVERAGE	89%	56%	67%	11%	33%

Sources: various Allianz Research

Advanced economies: price-based shielding, with heterogeneous scale and timing. Drawing on the 2022 playbook, the initial response in Europe is still overwhelmingly price-based rather than income-based – reflecting administrative ease and political incentives..

This logic is visible again in the current shock, albeit at a smaller scale and with sharper cross country divergence. Under a three-month 30% oil price shock, the direct market impact for large EU energy importers is estimated at around 0.4% of GDP on average, depending on energy dependency (Figure 1). To date, discretionary fiscal measures amounts to roughly 0.15% of GDP, leaving a material and uneven residual burden on households and firms.

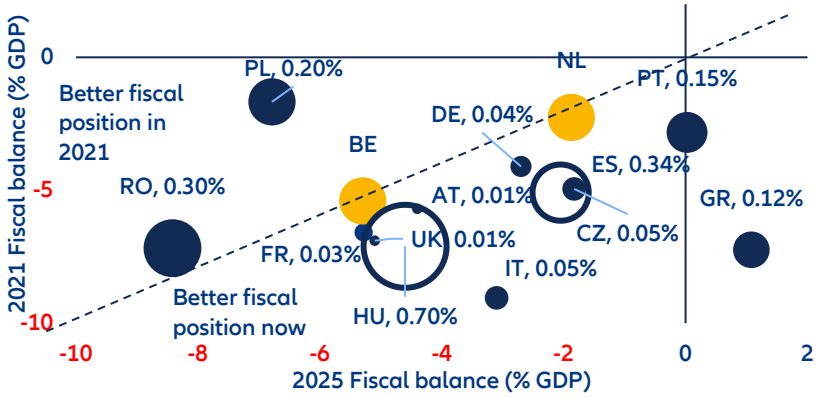
Figure 1: Total cost of the war (% of GDP)



Sources: Eurostat, Allianz Research

National strategies nonetheless diverge markedly. Spain acted early and forcefully, rolling out more than 80 broad measures centered on price caps and subsidies, significantly cushioning households and firms but delaying demand adjustment and shifting a large share of the burden onto the public balance sheet. France, by contrast, intervened later and far more selectively showing some fiscal consolidation efforts, with a fiscal response close to one tenth of its 2022 effort, accepting greater price pass through up front. Other countries have so far refrained from announcing discretionary support altogether: Belgium, constrained by limited fiscal space, and the Netherlands, reflecting a more explicitly frugal policy stance, have largely allowed prices to adjust.

Figure 2: Fiscal positions have improved since 2021, but higher spending pressures and interest costs limit the room to act



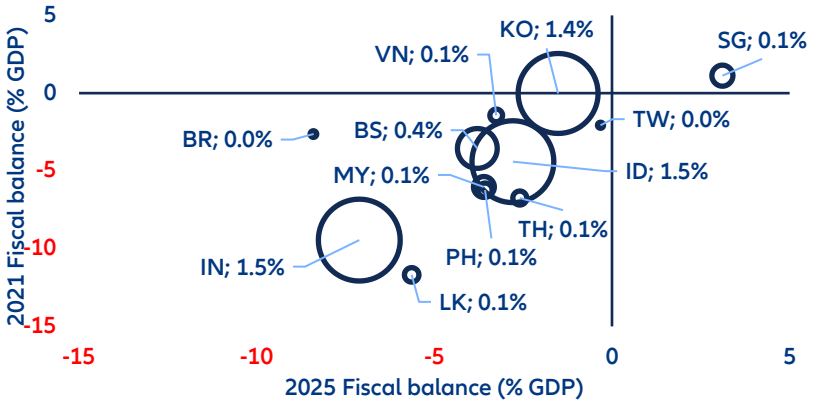
Sources: national, LSEG Datastream, Allianz Research. Note: blue bubbles: announced measures (size=estimated fiscal cost, % of GDP). Yellow bubble: no fiscal support announced as of 22.04.2026. Non-filled bubbles are for better readability.

Fiscal responses across EMs have been uneven, averaging around 0.2% of GDP, but rising well above that level in more fiscally resilient economies. Singapore recently announced measures amounting to about USD780mn (0.12% of GDP), while larger Asian Ems – including South Korea, India and Indonesia – have deployed packages exceeding 1% of GDP. In this sense, the Iran war is acting as a stress test of fiscal credibility – one that the Covid-19 shock, cushioned by unprecedented global liquidity, did not fully impose.

Despite entering the current shock in better aggregate fiscal positions than during the pandemic, EM starting points remain highly heterogeneous. Unlike the near-universal fiscal deterioration of 2020, fiscal balances today diverge sharply: while Brazil and Vietnam have worsened since the pandemic, several Asian economies have consolidated materially. India has narrowed its deficit from -4% to -2% of GDP, Sri Lanka from -11% to -5%, Thailand from -7% to -2.6% and Malaysia from -6% to -3%. This dispersion in fiscal space is now the primary determinant of how much each government can absorb the energy shock without triggering financing stress or a disorderly

currency adjustment – and explains why, for many EMs, demand destruction remains the dominant adjustment mechanism.

Figure 3: Emerging markets' fiscal space determined the fiscal response to Iran war



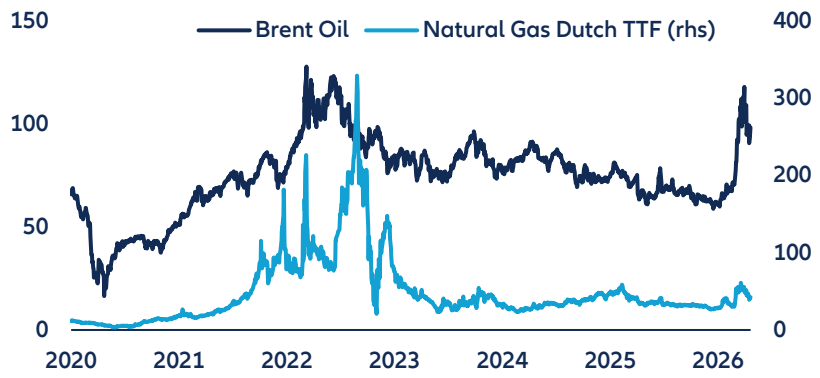
Sources: national, LSEG Datastream, Allianz Research.

A "second salvo" coming? Should the conflict prove more prolonged than our baseline assumes, a second wave of fiscal pressure becomes plausible. Fiscal costs could rise non linearly, towards 0.6–0.8% of GDP, roughly double current package sizes — compounding debt dynamics at precisely the moment when the first round of support has already eroded buffers and reintroduced sustainability concerns. Energy price increases pass through to food, transport and services with a lag of several months — and when that broader inflation arrives at the household level, governments face renewed political pressure to respond. The countries most exposed to are those where fiscal space is already thin. In Emerging Markets, high social sensitivity to food and fuel prices puts Morocco, Egypt, Pakistan, Hungary and Poland in the front line. In Europe the picture is equally uncomfortable: France, Italy, Belgium and Poland are already subject to the European Commission's Excessive Deficit Procedure, meaning any additional fiscal response risks deepening consolidation challenges that were already difficult to meet.

Not 2022 reloaded: smaller fiscal shields and weaker price transmission

The Iran 2026 shock is meaningfully smaller than 2022, particularly for gas – the more relevant benchmark for advanced economies, given their greater exposure to gas-indexed power and heating costs. Dutch TTF rose from EUR 31/MWh pre-conflict to a peak of around EUR 70/MWh in early March, before easing back to EUR 40–42/MWh as ceasefire talks progressed – representing roughly 10–12% of the extreme 2022 peak levels, when TTF surged over 1,000%. Brent told a similar but less dramatic story, reaching around 70–75% of its 2022 peak move. Yet the external cost is already visible: in the first 44 days of the Iran crisis alone, the EU spent approximately EUR22bn more on fossil fuel imports – an early reminder of the speed at which external balances can deteriorate, as illustrated by 2022, when the EU's total fossil fuel import bill more than doubled from EUR313bn to EUR693bn at its peak (Figure 4).

Figure 4: Oil prices surged sharply, while gas prices remain below their 2022 peaks.



Sources: LSEG Datastream, Allianz Research

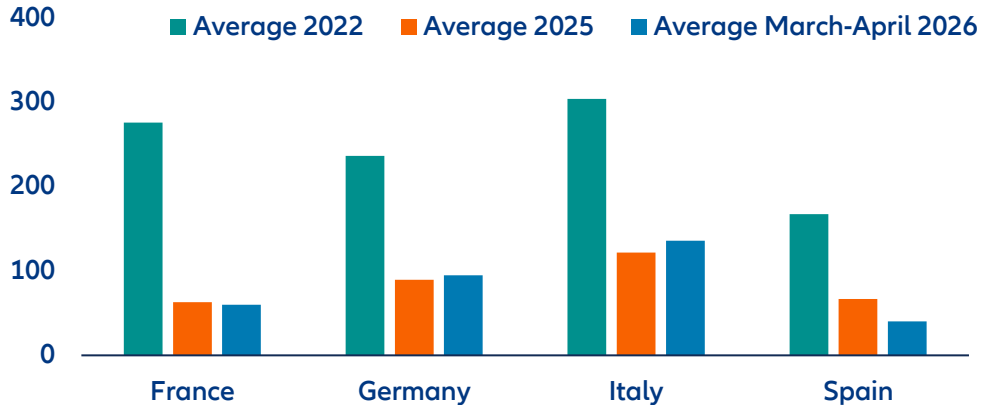
Compared with the 2022 energy crisis, the current shock differs in several important and reinforcing ways. First, the fiscal response has been materially smaller. With the current shock estimated at less than half of the intensity of 2022, fiscal exposure is correspondingly lower. Discretionary measures announced so far across Europe amount to roughly half the scale deployed in 2022. A full 2022 equivalent response (around 1.2% of GDP over the first year) scaled to a 12-week horizon would imply net fiscal costs of about 0.3% of GDP. Crucially, most have been designed as explicitly temporary – typically limited to two to three months. This contrasts sharply with 2022, when interventions initially announced as temporary were repeatedly extended, substantially amplifying their cumulative fiscal cost. The lessons of 2022 are instructive. The EU's net budgetary cost over 2022–2024 reached 2.2% of GDP cumulatively. Around 60% was spent on broad price measures, with only about a quarter targeted at vulnerable households and firms. The takeaway was clear: price suppression can briefly dampen inflation, but it weakens incentives to conserve energy, props up demand and creates large fiscal liabilities that become politically difficult to unwind. The more restrained approach today reflects not only policy learning, but also a less forgiving macroeconomic environment. In 2022, post-pandemic reopening, strong nominal GDP growth and still-accommodative financial conditions helped absorb large fiscal packages. Today, despite improved government balances, near-stagnant real growth limits governments' ability to smooth shocks through public balance sheets without undermining debt sustainability. Fiscal intervention has therefore been more selective, shorter-lived, and – in many cases – explicitly conditional on market developments.

Second, price transmission has structurally weakened relative to 2022, reflecting changes in the European energy mix. Higher penetration of wind and solar generation has reduced the mechanical link between gas prices and electricity prices that defined the 2022 crisis. Back then, gas-fired generation frequently set the marginal price across most hours, transforming a gas supply shock into a broad inflation and fiscal shock. Today, low-marginal-cost renewables increasingly anchor electricity prices, with gas determining prices mainly during periods of tight supply. This has dampened the inflationary impulse and reduced the immediate need for large-scale fiscal intervention – even as gas prices remain elevated.

Together, the smaller scale, temporary design and weaker price transmission point to clear policy learning and a widespread perception that the shock may be transitory. Governments – much like markets – appear more willing to tolerate greater price pass-through rather than repeat the broad and persistent price suppression seen in 2022. The policy response thus remains closer to 2022 in approach than in scale, favoring short-duration, reversible interventions over open-ended commitments.

The heterogeneity in electricity market structures further reinforces this pattern. Spain now operates with a structurally low gas-to-electricity pass-through, estimated at around 0.2–0.4, reflecting high renewable penetration and growing storage capacity. Electricity prices have therefore remained relatively contained during the current shock, limiting inflation spillovers and reducing the need for fiscal intervention. Italy, by contrast, remains constrained by gas-marginal pricing, with gas setting electricity prices most of the time. This implies a much stronger transmission – around 0.7–0.9 – keeping power prices closely linked to gas despite ongoing renewable expansion and sustaining pressure for policy support.

Figure 5: Increased reliance on renewables helped to manage electricity prices (wholesale, EUR/MWh)



Sources: EMBER, Allianz Research

This structural divergence matters for fiscal policy. Where renewables dampen transmission, governments can accept greater pass-through without triggering an inflation–fiscal feedback loop. Where gas remains marginal, price pressures are faster and more persistent, raising political incentives to intervene even when growth is weak and fiscal space constrained. Importantly, the current configuration embeds a non-linear downside risk. If physical disruptions persist beyond the horizon implicitly assumed in today's policy design, and temporary measures are repeatedly rolled over or expanded, fiscal costs in Europe could still rise sharply. In an environment of weak growth and higher interest rates, prolonged price interventions would once again convert a supply shock into a growing contingent fiscal liability, this time without the mitigating effect of strong nominal growth that characterized 2022.

Debt sustainability dynamics reinforce this concern. In 2022, double-digit inflation lifted nominal growth well above financing costs, providing a buffer. Today, with inflation around 3% and near-zero real growth, nominal GDP growth is too weak to offset rising deficits under price caps. Debt dynamics have therefore become increasingly sensitive to the duration of fiscal support.

Winners and losers from the Iran shock

For now, fiscal costs remain manageable for most countries. On average, debt-servicing costs are set to rise by around 0.05% of GDP in both advanced and emerging economies, driven entirely by a higher debt stock rather than higher rates. However, energy import dependence combined with a deteriorating current account determines who faces the largest shock. Interest rates have risen only modestly — US and German yields up around 30bps, EM hard currency spreads +20bps, local currency +30bps — with real rate changes even smaller. The slow pace of debt rollover means higher borrowing costs pass through only gradually, limiting the immediate debt-service impact. On the flip side, higher inflation could partially erode the real debt burden through an inflation tax effect, though the currently expected inflation increase is far below 2022 levels, limiting this offset.

Debt service and fiscal fragility. The countries most acutely exposed are those carrying both high near-term debt-service obligations and significant structural dependence on energy imports. Egypt sits in the most dangerous quadrant: debt service above 10% of GDP, heavy reliance on imported oil and gas, an IMF program already under strain and Suez Canal revenues simultaneously compressed by the conflict. Pakistan, with debt service at 5.4% of GDP and near-total dependence on Gulf crude, faces import cost inflation and financing stress simultaneously. Hungary and Poland carry elevated fiscal deficits with limited room to sustain price support measures, while Sri Lanka — only recently exited from sovereign default — and Bangladesh face the energy shock as a direct balance-of-payments stress, with thin reserve buffers and limited debt market depth meaning the import cost increase arrives before any fiscal response can be mounted. Peripheral Eurozone sovereign bonds have also experienced one of their worst months in a decade, with spreads widening most sharply in Italy, Greece and Portugal — markets are not primarily repricing current debt stocks but the open-ended flow commitment implied by sustained price interventions, and the longer caps and subsidies remain in place, the more the fiscal trajectory diverges from the consolidation paths embedded in current spread levels.

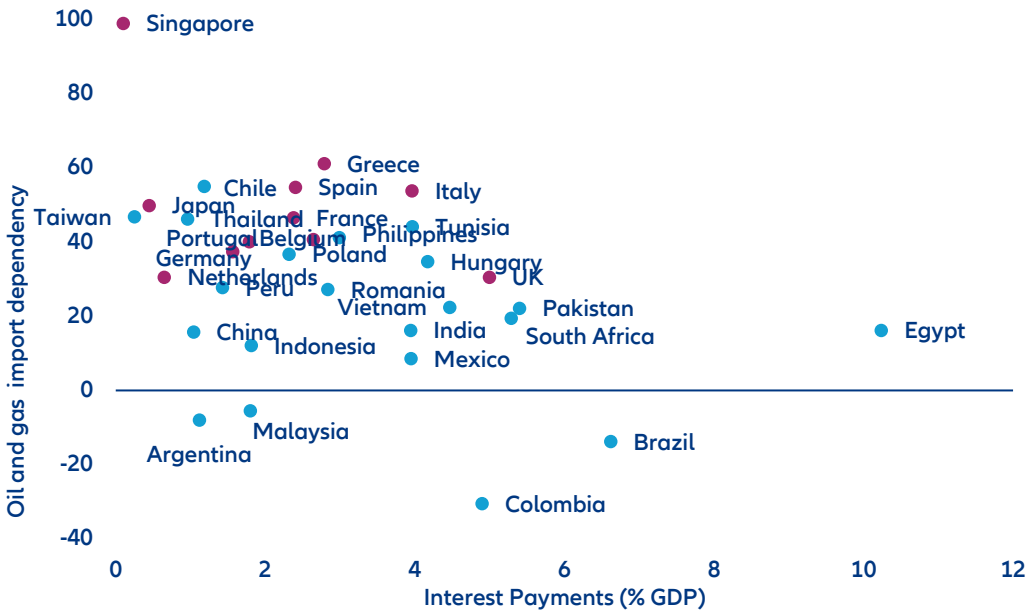
Currency depreciation and hard currency debt. Currency weakness amplifies the damage for sovereigns with a high share of hard currency debt, as depreciation mechanically increases the local currency cost of servicing existing obligations precisely when fiscal revenues are under strain. Türkiye is the most exposed large EM across all dimensions: importing 90% of its energy at an annual cost of USD 60-65bn, with a current account deficit of USD 25bn and a lira down 17% over the past year — each USD 10 oil price increase adds USD 4.5-5bn to its external deficit. Argentina and Egypt face the same amplification dynamic, both carrying meaningful foreign currency debt shares above 25-30% of total sovereign debt. Tunisia has recorded among the sharpest currency depreciation since the start of the conflict, while the Thai baht has absorbed part of the shock with a 6% depreciation. The OECD's 2025 Global Debt Report confirms that among large emerging markets, only Argentina and Türkiye carry foreign currency debt shares exceeding 30% of total sovereign debt — making them uniquely vulnerable to the depreciation-debt spiral that the energy shock is now activating.

Monetary policy and real rates. One month and a half into the conflict, energy import dependency continues to weigh more heavily than financial constraints on central bank decisions. Singapore has tightened monetary policy for the first time in four years; the Bank of Japan is expected to follow with a 25bps hike in Q2, most likely June. The risk-off shift has pushed markets to reprice central bank paths globally — in Europe, expectations have shifted from cuts to hikes for the ECB, though we anticipate adjustments only for the duration of the conflict. Countries recovering from the 2022-23 inflation cycle will slow their easing, while others are pushing rate cuts to 2027. Egypt's CBE held rates unchanged at its 2 April meeting, treating the war as an external supply shock and allowing the pound to

depreciate as the primary adjustment mechanism — a stance that preserves monetary credibility for now but leaves the carry trade inherently fragile, as the central bank could face an impossible choice between further depreciation and an aggressive rate hike to retain investors. Chile, Indonesia and Thailand have kept rates on hold, pending clearer signals on the duration of the disruption.

Current account deterioration. The Iran war is exerting pressure on sovereign bond markets through two simultaneous channels: a global risk-off repricing that widens EM spreads, and a direct fiscal deterioration driven by higher energy import costs. Oil above USD 100 per barrel widens current account deficits, accelerates currency depreciation and feeds domestic inflation, eroding sovereign creditworthiness precisely when refinancing needs are greatest. India, at 3.9% debt service, has larger domestic energy buffers but its bond market remains exposed to the broader EM risk-off and dollar strengthening that higher oil prices typically generate. Vietnam faces meaningful energy import dependence alongside limited fiscal space, while Kenya — a large energy importer carrying a high fiscal deficit after years of difficult IMF negotiations — has thin reserves providing little cushion against a sustained import cost shock. Morocco and Tunisia occupy a similar intersection of moderate-to-high debt service and meaningful energy import dependency, leaving their sovereign spreads vulnerable to both the global risk premium repricing and the direct pass-through of higher import costs.

Figure 6: Most exposed: where high debt burdens (% of GDP) meet energy import dependence



Sources: UN COMTRADE, World Bank and Allianz Research

Winners. Not all emerging markets are on the losing side. Oil-exporting economies stand to benefit materially from sustained prices above USD 100 per barrel, with the windfall flowing through both fiscal revenues and current account positions. Nigeria is the most prominent African beneficiary — every USD 10 increase in oil prices adds approximately USD 3-4bn to government revenues — though its structural paradox partially erodes the net gain, as a major crude exporter that nonetheless imports virtually all of its refined petroleum products. Brazil, as significant oil producer, will see their fiscal and external positions improve as Brent rises, while Colombia and Ecuador capture a similar tailwind from hydrocarbon exports. Chile is the notable exception within the region: its early and deep investment in renewable energy has structurally reduced exposure to oil price volatility, insulating the economy from the full pass-through hitting more fossil-fuel-dependent peers. Latin America stands out as the emerging market region least exposed to the shock overall — where for most economies the Iran war arrives not as a fiscal and external stress but as a terms-of-trade tailwind.

These assessments are, as always, subject to the disclaimer provided below.

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Global Insolvency Outlook:

Brace for Middle East spillovers

22 April 2026

Allianz Research

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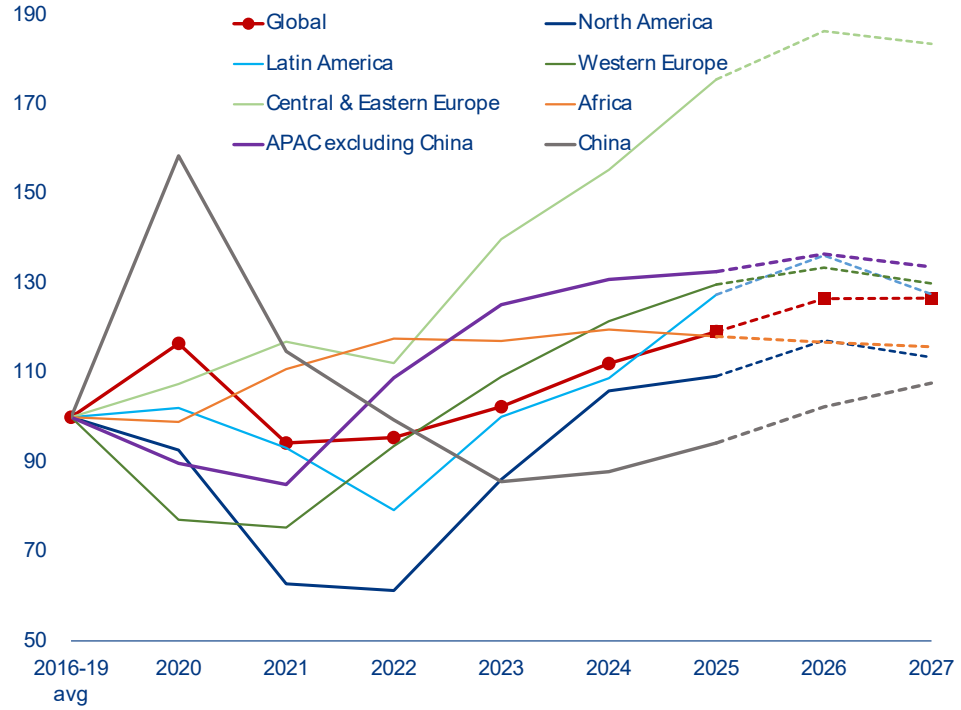
- **Spillovers from the Middle East crisis will make 2026 the fifth consecutive year of rising global business insolvencies.** The ripple effects of lower growth and higher inflation from the Middle East will account for one-third of this increase. The immediate implications for energy markets, shipping costs and supply chains, as well as second-round effects via inflation, financial conditions and the hit to confidence, have pushed up our forecasts to +6% in 2026 for our Global Insolvency Index (+2pps compared to what was expected before the conflict), with the expected plateau delayed to 2027. This comes after a +6% increase in 2025 (+10% in Germany, +4% in France,+7% in the US, +7% in China, +3% in Japan) and hinges on a progressive normalization of traffic through the Strait of Hormuz by June. At a global level, the direct toll from the Middle East represents +7,000 additional cases for 2026 and +7,900 for 2027, including +700 and +200 cases respectively for the US, and +3,750 and +3,600 respectively for Western Europe, while they were already expected to rise by +1,400 cases in 2026 and to fall by -11,000 in 2027. Asia will remain the largest contributor, with China's insolvencies projected to rise by +9% in 2026 and +5% in 2027 due to ongoing structural challenges. North America will see contrasting trends, with the US extending its rebound (+9% in 2026) while Canada continues its decline (-4%). Western Europe is expected to see a prolonged rise in 2026 (+3%, +4pps compared to pre-war expectations) followed by a moderate decline (-3%) in 2027, with most countries (10 out of 17) within the -4%/+4% range and thus indicating a quasi-stable number of insolvencies. This is the case for Germany (+2% to 24,650), France (+2% to 69,900), Belgium (+1% to 11,750) and the UK (-1% to 26,550). This prolonged risk of non-payment (insolvencies of buyers) and supply-chain disruptions (insolvencies of suppliers) requires close monitoring of critical buyers and suppliers.
- **The extended rise in business insolvencies will put 2.2mn jobs directly at risk globally in 2026 (+94k compared to 2025), followed by a marginal decrease in 2027 (-34K).** Globally, the main sectors at risk are construction, retail and services. In 2026, Europe (1.3mn) would lead this global count, notably Western Europe (~960k), ahead of North America (~460k), both recording a 12-year high, and followed by Central and Eastern Europe (~325k) and Asia (~346k) This is equivalent to 6% of the number of unemployed people in the US and Europe, but with significant differences across countries (1% in Spain, 4% in Italy, 7% in Germany, 9% in the UK and 11% in France).

[1] The Allianz Trade Global (or Regional) Insolvency Index is the weighted sum of national indices, each country being weighted by the share of its GDP within the countries used in the sample, using a base of 100 in year 2015 (44 countries representing 84.5% of global GDP in 2025). National indices are based upon our monitoring of absolute and non-seasonally adjusted numbers of insolvencies

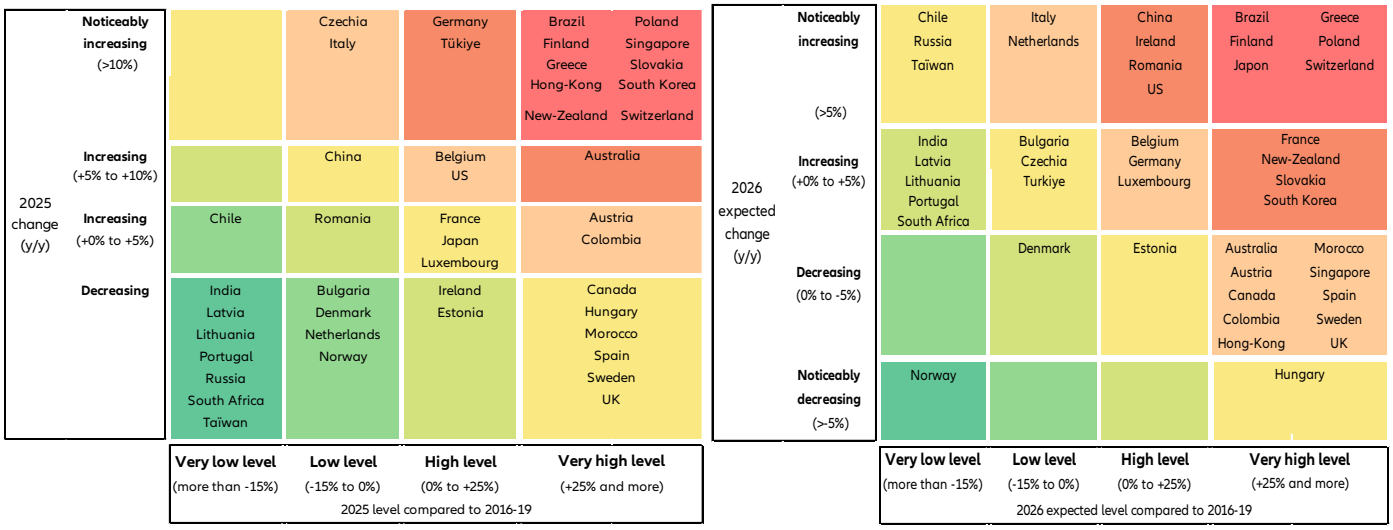
- **Things could get worse before they get better: Several geopolitical and economic shocks could significantly amplify insolvency risks.** First, the longer the conflict lasts, the stronger the impact on the insolvency outlook given the region's central role in supplying essential inputs such as LNG, fertilizers, aluminum, helium and sulfur. This disruption is driving up costs across global value chains, from agrifood to manufacturing, healthcare and technology, exacerbating pressures on energy-intensive sectors such as transportation (shipping, aviation, road transport), chemicals and metals. The combination of weaker demand, rising input costs and tighter financial conditions is straining companies with weak pricing power, thin margins, high debt levels or structurally higher working capital requirements (e.g. machinery, transport equipment, electronics, pharmaceuticals and construction). Countries and sectors are unevenly exposed to the direct and indirect impacts of the conflict in the Middle East. Asia is most vulnerable to the oil price and supply shock, but most developed markets' economies are highly dependent on oil and gas imports. Beyond transportation, energy-intensive sectors such as basic metals and chemicals are immediately more vulnerable in particular in Europe where the risk of non-payment already increased noticeably prior to the war in Iran. Second-round effects are likely to materialize in particular in consumer sectors in Europe, and cyclical sectors in both the US and APAC. Zooming in Europe, real estate and technology could suffer the most from a margin squeeze based on 2022-2023 episode. A prolonged conflict could push up global insolvencies by closer to +10% in 2026 and +3% in 2027, i.e. roughly +3pps compared to the current baseline scenario. Overall, this would mean +4,100 additional cases in the US and +10,500 in Western Europe over 2026-2027. The AI boom is another risk to monitor. A collapse in the current AI-driven economic boom could mirror the dot-com bubble burst, leading to an additional +15,600 insolvencies in the US and Western Europe over 2026-2027, boosting the baseline count by +6,100 and +9,500 cases, respectively. Fiscal concerns, such as confidence shocks related to high debt levels, could further exacerbate insolvency risks, particularly in the Eurozone, boosting business insolvencies by +22,500 firms in Western Europe over 2026 and 2017.

Figure 1: Global and regional insolvency indices, yearly level, basis 100: 2016-2019 average



Source: Allianz Research

Figure 2: Insolvency heat map 2025 (left) and 2026 (right)



Source: Allianz Research

A sustained global increase in 2025

As expected[2], business insolvencies ended 2025 with another rise globally (+6%) for the fourth consecutive year, and an upside trend in most countries. . The number of business insolvencies rebounded in three out of five countries in 2025, with half of them still recording a double-digit increase for the full year. Interestingly, the upside trend remained steady all along the year, with little sign of easing in the first half and more signs of acceleration in the second half. Overall, our Global Insolvency Index rose by +6% y/y for the full year 2025, from +9% in 2024[3] , ending the year 19% above its pre-pandemic average (but 6% below its level during the Great Financial crisis). This outcome fully corresponds to our previous expectations, with more cases than anticipated in some countries, notably Switzerland, Greece, Turkey, Singapore and Brazil, which have been roughly compensated by less cases than anticipated in particular for Italy, Ireland, Norway and Morocco.

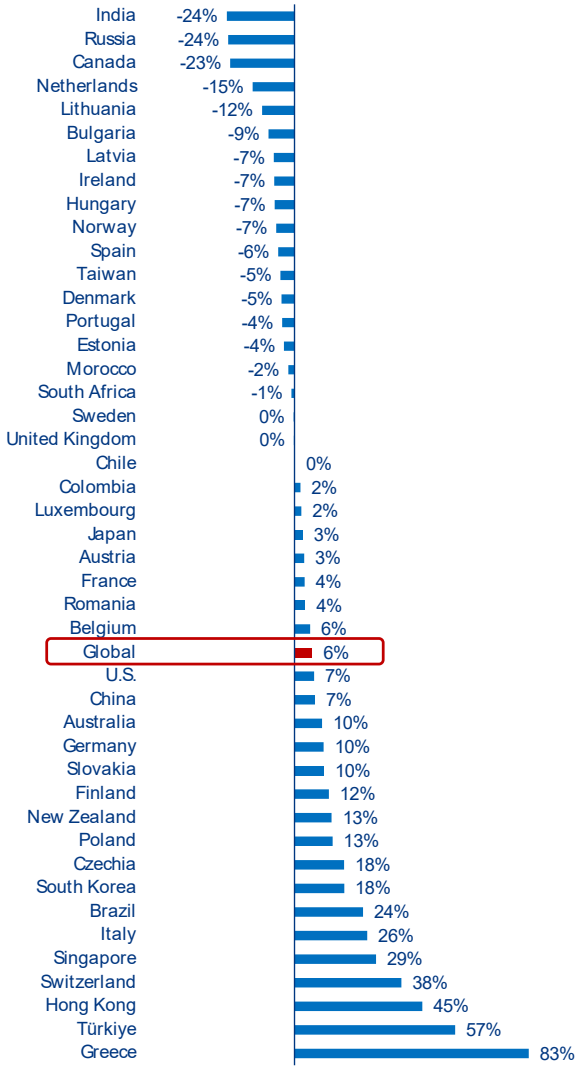
All regions recorded noticeable rises except Africa. Asia (+5% y/y) became the largest contributor to the global rebound due to the prolonged upside trend in China (+7%) and Japan (+3%), and double-digit rises in most other countries, while the region accounts for almost 39% of our headline indicator. In parallel, Latin America (+17%) and North America (+3%) both boosted the global rebound, with the US prolonging the rebound that began in 2023 (+7%). Western Europe remained a key contributor to the global rise despite a softer rebound (+7% y/y), the lower pace resulting mainly from the stabilization in the UK and a clear deceleration in the Eurozone (+7%), particularly in Germany (+10%) and France (+4%), with some countries seeing a downside trend reversal (e.g. Spain, the Netherlands, Ireland, Portugal).

Overall, three out of five countries, together accounting for 67% of global GDP, posted a rise in business insolvencies in 2025 (+17% y/y on average, following +20% in 2023), with half of them still recording an increase of more than +10%. The largest increases occurred in Greece, Türkiye, Hong Kong, Switzerland and Singapore in relative terms (+83%, +57%,+45%, +38% and +29% year-on-year, respectively), and in Switzerland, Italy, France, Germany and the US in absolute terms (+3,219 cases, +2,481, +2,382, +2,252, and +1,601, respectively). Simultaneously, however, the number of countries experiencing stable or decreasing insolvencies doubled from 2024, reaching two out of five cases (19 countries, up from 9 in 2024), with a mix of advanced markets (nine, up from two in 2024) and emerging countries (10, up from seven in 2024). These countries account for a higher share of global GDP (17%, up from 9% in 2024) and our Global Insolvency Index (20%), noticeably contributing to moderating the annual increase of our headline indicator. For this set of countries, the annual decrease in business insolvencies reached the average of -9%, compared to -16% in 2024. Notable cases with double-digit decreases can be found in all regions: Europe (the Netherlands, Lithuania and Russia), the Americas (Canada) and Asia (India).

[2] See our previous insolvency report Global Insolvency Outlook 2026-27: Don't look down! and our latest view in insolvencies A new decade high for major insolvencies driven by services, retail and construction | Allianz

[3] Revised down by -1pp from our previous calculation (+10%) as the result of changes in historical data in Brazil due to a reformulation of the judicial recovery and bankruptcy indicator provided by SerasaExperian

Figure 3: 2025 business insolvencies, annual changes in %



Source: Allianz Research

In some countries, sector trends diverged from national trends. While the country-wide situation often sets the trend for most sectors, with differences in intensity and timing, this proved to be less the case in 2025 compared to past years, notably during the post Covid catching up phase. In Asia, Japan saw seven out of 10 sectors contributing to the national rise, with wholesale (-67 cases year-to-date to 1,147), transport (-67 to 390) and finance (-6 to 19) as exceptions. In the Americas, Canada saw 20 out of 22 sectors reporting a noticeable decrease in insolvencies, most often larger than -20% y/y, with agriculture and mining/quarrying as only exceptions on the upside. Simultaneously in the US , the UBS Corporate Bankruptcy Monitor saw more than half of their sectors recording a rise in insolvencies, with the largest increases in real estate and construction – and still numerous cases in particular in retail, healthcare, banking/finance, and food/beverage; yet, the rise in large firm insolvencies relied on only six out of the 16 sectors monitored through Bloomberg, in particular accommodation and food services, construction and real estate, and only four out of 11 sectors monitored through S&P, notably industrials and real estate.

At the regional level, all sectors in the 28 countries[5] we monitor in Europe recorded a rise over the full year 2025 compared to 2024 – and there was no sign of trend reversal in Q4. But this still reflects a slowing momentum across European sectors, with 57% (i.e. 128 out of the 226 sectors monitored) posting a rise for the full year 2025 compared to 65% and 69% in 2024 and 2023, respectively – and still 53% in Q4. It also hides slightly wider disparities, with a first half of countries with insolvencies either on the upside in all sectors (Belgium, Czechia, Germany, Greece and Finland) or almost all of them (France, Italy, Luxembourg, Romania, Slovakia), or mostly on the decrease (the Netherlands, Denmark, Hungary and Lithuania), and the other half of countries with opposite trend in insolvencies across sectors, notably the UK, Spain, Portugal, Austria, Sweden. Overall, manufacturing, trade, hospitality and B2C services posted a rise in at least half of the European countries, while transportation & storage recorded increases in more than two-thirds of them. Transportation/storage stands out with a strong catch up above pre-pandemic levels (2016-2019 average) in several countries (19), ahead of information/ communication (13) and construction (12) – the two

Figure 4: 2025 number of insolvencies, y/y change in % and comparison with 2016-19 average level*, selected European countries

	Industry	Construction	Trade	Transport & storage	Accommod. & food service activities	Information & communic.	Finance, insurance, real estate, B2B activities	Education, human health & social work activities	ALL SECTORS
Belgium	2	6	1	15	2	14	12	4	6
Bulgaria	-28	-34	20	-13	-21	9	-42	17	12
Czechia	17	21	12	7	12	18	17	27	16
Denmark	-3	-7	-3	11	-13	-5	-4	-7	-5
Germany	26	10	15	9	27	7	7	2	12
Spain	1	2	-5	18	10	-13	-9	-3	-1
France	3	-3	0	7	9	4	4	13	3
Italy	3	24	-4	8	-4	15	16	26	8
Luxembourg	31	-17	15	21	7	-11	8	9	3
Netherlands	-18	-21	-13	-26	-8	5	-13	-18	-15
Austria	-4	-1	1	13	3	-16	18	-7	4
Portugal	-24	-7	2	41	-1	-16	6	-17	-6
Romania	5	6	10	33	6	-17	19	21	11
Finland	6	3	8	24	15	4	13	21	11
Sweden	3	-5	2	10	3	5	-1	-2	0
Norway	-10	-10	-12	8	-2	-1	13	24	-2
UK	1	-3	4	-12	-3	-2	3	5	0

(*) non-seasonally adjusted numbers; colored cells indicate a higher level compared to 2016-2019 average

Source: DeStatis, ONS, SCB, Eurostat, Allianz Research

[4] Bloomberg: Firms with USD50m+ in liabilities at the time of the bankruptcy filing; S&P CapitalIQ: Firms with public debt where either assets or liabilities at the time of the bankruptcy filing are greater than or equal to USD2mn, or private companies where either assets or liabilities at the time of the bankruptcy filing are greater than or equal to USD10mn. UBS: US chapter 7, 11 and 15 bankruptcy filings

[5] Based on Eurostat (25 countries) and the national releases for the UK, Sweden and Denmark

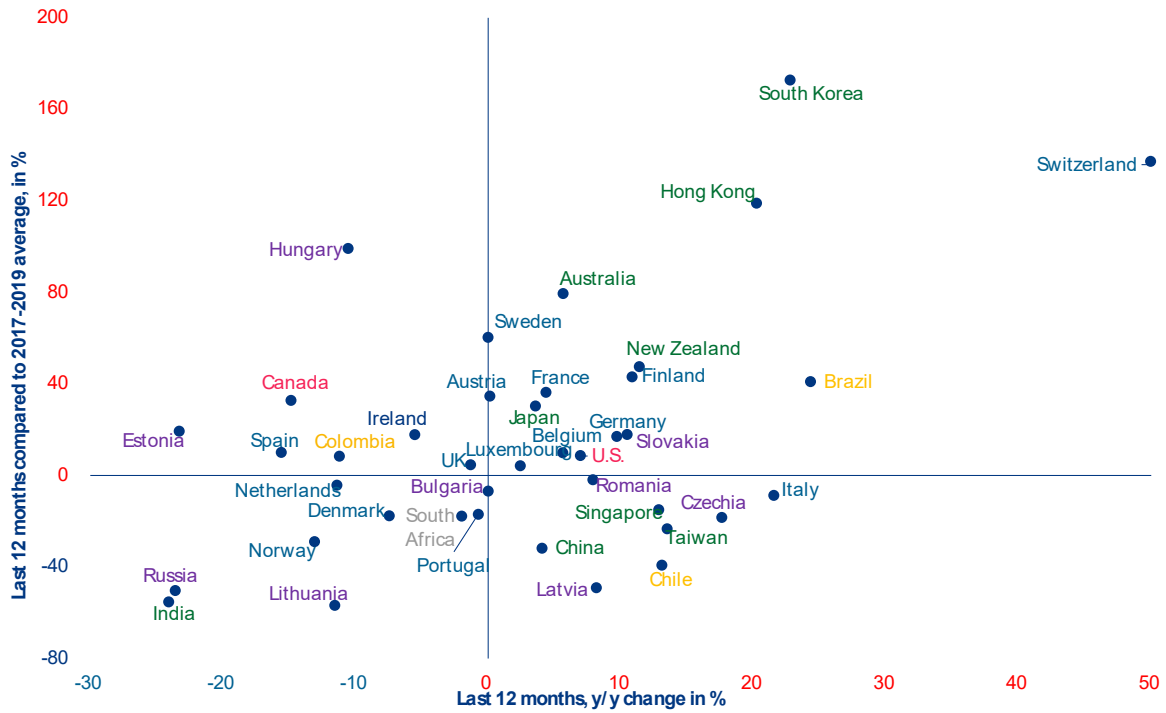
[6] See A new decade high for major insolvencies driven by services, retail and construction | Allianz

latter both saw more decreases than increases in 2025 but construction had previously experienced a massive rebound since 2020. Western European countries recorded the largest numbers of sectors above pre-pandemic levels of business insolvencies, notably Germany, France, the UK, Spain, Sweden and Austria, with Italy, Portugal and the Netherlands as exceptions on the opposite side of the spectrum. As our previous research has indicated , services, construction and retail led the global count in insolvencies of major firms in 2025 (44% of the total) while the latter reached a new decade high with 473 over the full year, i.e. one case every 18 hours, with rising fragilities in industrial sectors such as machinery & equipment, automotive and chemicals, in particular in Europe.

In this context, a majority of countries entered 2026 with a high number of insolvencies, with almost two-thirds of them above pre-pandemics levels, and half of them above GFC levels. We saw a slight decrease in the number of countries surpassing their pre-pandemic number of insolvencies to 64% at end-2025 from 68% end-2024, with the exits of the Netherlands, Denmark and Bulgaria offsetting the entry of Türkiye. For most of these countries, this surplus largely exceeds 10%. Several advanced economies of APAC are in this situation, in particular South Korea (187%), Hong Kong (130%), Singapore (85%) and Australia (85%), as well as Brazil (42%), Canada (34%) and the US (7%) in the Americas. Yet, these countries mainly belong to the advanced economies of Western Europe, with Switzerland leading the way (116% above the 2016-2019 average), followed notably by Finland (60%), Sweden (59%), Spain (39%), and several others to a lesser but still significant extent, including Austria, the UK, France, Germany and Belgium. One out of two countries recorded more cases in 2025 than they did during the Great Financial Crisis (GFC), the last period of severe economic turbulence, notably France and Italy, with the US, Germany and the UK as key exceptions. Overall, a minority of countries (11) ended 2025 without reaching any of the two references, including Denmark, the Netherlands, Norway and Portugal in Western Europe, and Russia and South Africa in the rest of the world.

Despite the recent rebound, the post-Covid and Ukraine war insolvency backlog has only been partially cleared across much of Europe. Between 2020 and 2022, support measures for firms spared the equivalent of more than three-quarters of insolvencies in countries such as the US (86%), Austria (86%), Portugal (78%) and Germany (77%), and the equivalent of more than one year of insolvencies usually reported in the Netherlands (125%), France (114%), Ireland (114%), Australia (112%), and Italy (102%). As of 2025, less than half of West European countries have more than compensated for the 'missing' insolvencies of the overall Covid-19 period and the shockwaves from the war in Ukraine. This includes the UK, Spain, Sweden, Denmark, and Finland. Germany, France, Italy, Ireland and Belgium are still to fully clear the backlog.

Figure 5: Business insolvencies – Last 12 months, available figures as of mid-April 2026

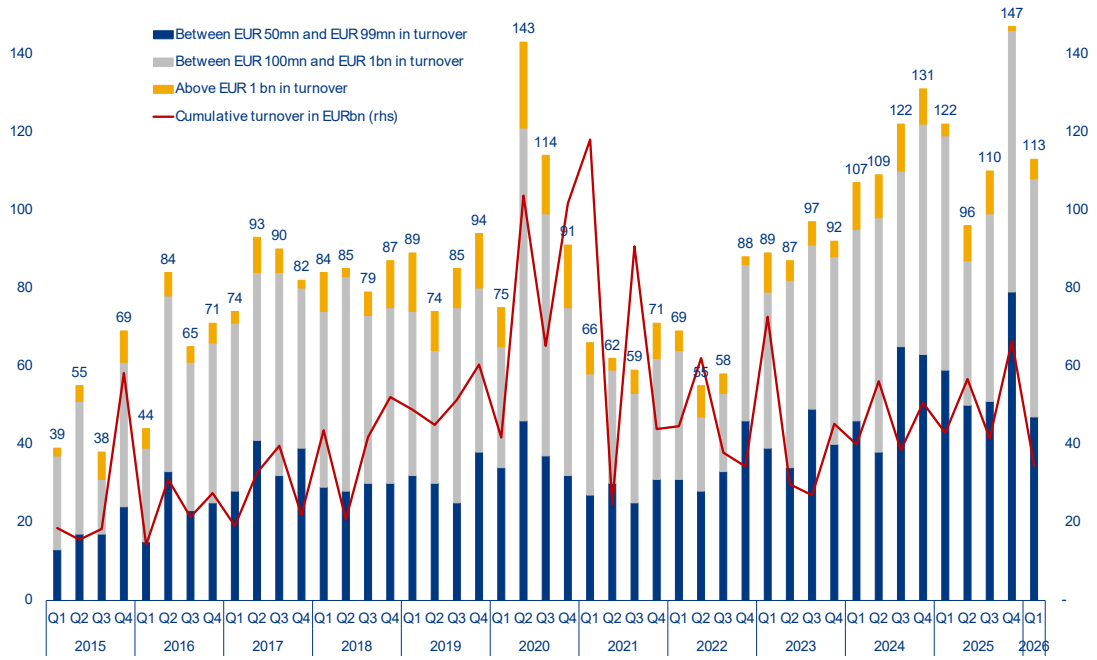


Source: Allianz Research

Middle-East spillovers to postpone the plateau in global insolvencies to 2027

Even before the start of the conflict in the Middle East, business insolvencies started 2026 with a strong pace. Preliminary figures available for Q1 2026 already confirmed most of the national trends posted in the previous quarters, with three out of five countries still recording year-on-year increases when looking at cumulative three-month or six-month data – pushing our global insolvency index close to marking a 15th consecutive quarter of rising insolvencies since mid-2022. Importantly, large firms were still not immune. Q1 2026 recorded another high number of insolvencies of large firms – those with a turnover exceeding EUR50mn – with 113 additional cases globally compared to 122 cases in Q1 2025 and the quarterly average of 84 cases posted since the start of our monitoring in 2015. This still represents one case every 19 hours, with Western Europe leading the global count (68 cases), ahead of North America (19) and APAC (17). Retail (26), services (15) and construction (14) still – as expected for business demographic reason[7] – despite more evidence of fragilities in sectors such as chemicals, machinery equipment and transportation, in particular in Western Europe. These large insolvencies are fueling the risk of a domino effect due to their extensive supplier networks, which could potentially push up insolvencies among smaller firms.

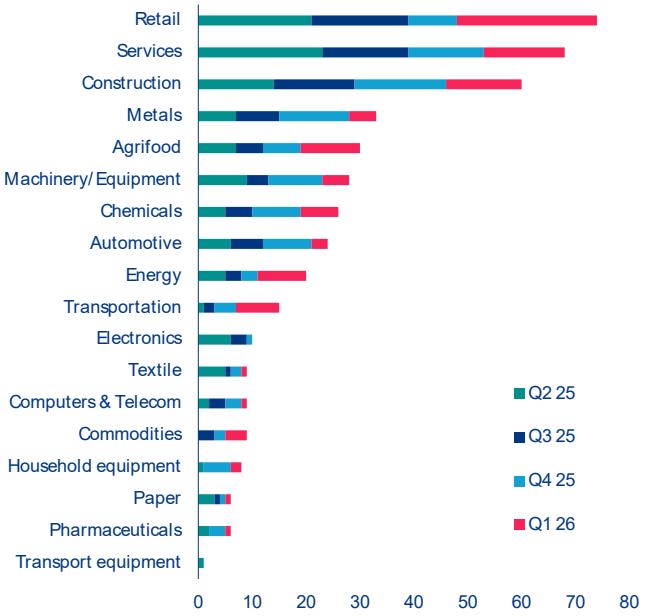
Figure 6: Major insolvencies, quarterly number, globally, by size of turnover



Source: Allianz Research

[7] More details: A new decade high for major insolvencies driven by services, retail and construction | Allianz

Figure 7: Major insolvencies, quarterly number, by sector, globally



Source: Allianz Research

Looking ahead, we have raised our forecasts for insolvencies in 2026 due to the spillovers from the Middle East crisis. The shockwaves are visible in the immediate pressure on energy-intensive sectors such as transportation, chemicals and metals and the rise in costs across global value chains, from agrifood to manufacturing, healthcare and technology. We also take into account the second-round effects via inflation, financial conditions and confidence, notably on the most vulnerable firms. This includes companies with weak pricing power, thin margins, high debt levels or structurally higher working capital requirements (e.g. machinery and transport, equipment, electronics, pharmaceuticals, construction) and businesses heavily reliant on consumer credit (e.g. automotive, tech, real estate/construction). Countries and sectors are unevenly exposed to the direct and indirect impacts of the conflict in the Middle East[8] . Asia is most vulnerable to the oil price and supply shock, but most developed economies are also highly dependent on oil and gas imports. Beyond transportation, energy-intensive sectors such as basic metals and chemicals are immediately more vulnerable, in particular in Europe where the risk of non-payment already increased noticeably prior to the war in Iran. Second-round effects are likely to materialize in particular in consumer sectors in Europe, as well as cyclical sectors in both the US and APAC. Zooming in on Europe, lessons from the 2022 energy crisis suggest that real estate and technology could suffer the most from a margin squeeze.

At this stage, under a baseline scenario assuming a progressive normalization in the Strait of Hormuz by May[9], we expect our Global Insolvency Index to rise by +6% in 2026 (+2pps compared to what was expected before the conflict and +3pps compared to our last report). This would result in a fifth consecutive year of growing insolvencies before a plateau in 2027 (+1pp and +1pp, respectively) – this is without considering GCC countries nor Israel due to the lack of official statistics on insolvency proceedings. At the global level, the direct toll from the Middle East represents +7,000 additional cases for 2026 and +7,900 for 2027, including +700 and +200 cases respectively for the US, and +3,750 and +3,600 respectively for Western Europe, while business insolvencies were expected to rise by +1,400 cases in 2026 and to fall by -11,000 in 2027 prior to the war. Asia will remain the largest contributor, with China's insolvencies projected to rise by +9% in 2026 and +5% in 2027 due to ongoing structural challenges. North America will see contrasting trends, with the US extending its rebound (+9% in 2026) while Canada continues its decline (-4%). Western Europe is expected to see a prolonged rise in 2026 (+3%,

[8] More details: Pixels of crisis: A granular look at the risks of non-payment due to the conflict in the Middle East

[9] More precisely, our baseline scenario includes a deal allowing for a progressive normalization of oil and gas trade in May. In between partial re-routing, additional production (US, Russia) and strategic reserves being tapped covers >50% of Hormuz gap in oil and gas; no material destruction of oil /gas industry.

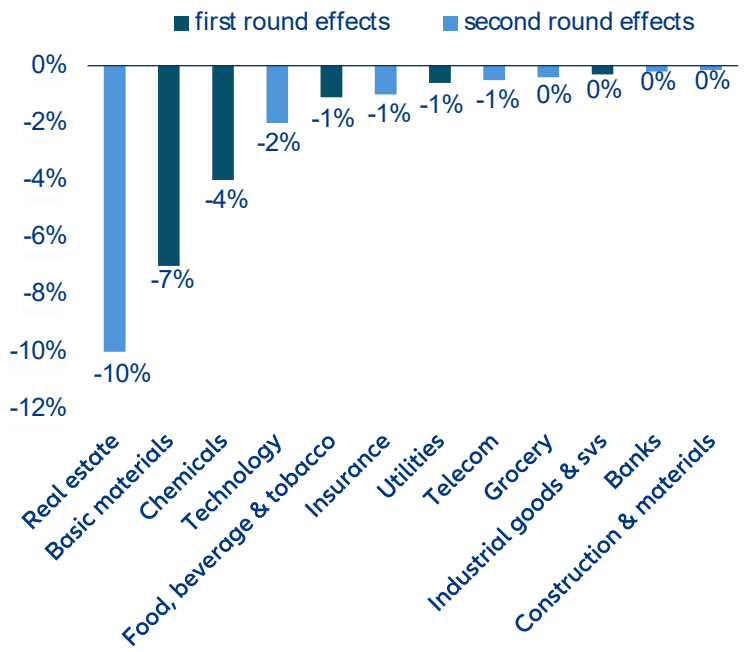
Figure 8: Vulnerability heatmap, by sector, by region

Sector	Direct impacts						Indirect impacts					
	Higher oil prices			Supply-chain disruptions			Second round effects (inflation, rates, confidence etc.)			Overall risk		
	EUROPE	US	APAC	EUROPE	US	APAC	EUROPE	US	APAC	EUROPE	US	APAC
Chemicals	Significant Risk	Potential Upside	Significant Risk	Moderate Risk	Neutral / Low Risk	Significant Risk	Significant Risk	Moderate Risk	Significant Risk	Significant Risk	Neutral / Low Risk	Significant Risk
Oil & gas upstream/integrated	Potential Upside	Potential Upside	Potential Upside	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Potential Upside	Potential Upside	Potential Upside
Oil & gas downstream	Potential Upside	Neutral / Low Risk	Significant Risk	Moderate Risk	Neutral / Low Risk	Significant Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Potential Upside	Neutral / Low Risk	Significant Risk
Metals & mining	Neutral / Low Risk	Neutral / Low Risk	Potential Upside	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Steel	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk
Pharma	Neutral / Low Risk	Potential Upside	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Potential Upside	Neutral / Low Risk
Healthcare Providers	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Medtech	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Consumer staples	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Potential Upside	Potential Upside	Potential Upside	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk
Consumer discretionnary	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk
Agriculture	Potential Upside	Neutral / Low Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk
Packaged food	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Hotels	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk
Restaurants	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Significant Risk	Moderate Risk	Moderate Risk	Significant Risk	Neutral / Low Risk	Moderate Risk
Retail (food)	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Potential Upside	Potential Upside	Potential Upside	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk
Retail non-food	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk
Homebuilders	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk
Auto	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk
Airlines	Neutral / Low Risk	Significant Risk	Significant Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk
Aerospace & defense	Significant Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Potential Upside	Neutral / Low Risk
Engineering & construction	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Shipping	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Potential Upside	Potential Upside	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Transportation & logistics	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk
Tech - hardware	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Potential Upside	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk
Tech - software	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Telecom	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Media & entertainment	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Significant Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Utilties – supply	Moderate Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Moderate Risk
Utilities – integrated / generation	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk
Gas distribution	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk
Airports	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk	Moderate Risk	Moderate Risk	Moderate Risk	Moderate Risk	Neutral / Low Risk	Neutral / Low Risk	Neutral / Low Risk

Significant Risk
Moderate Risk
Neutral / Low Risk
Potential Upside

Source: Allianz Research

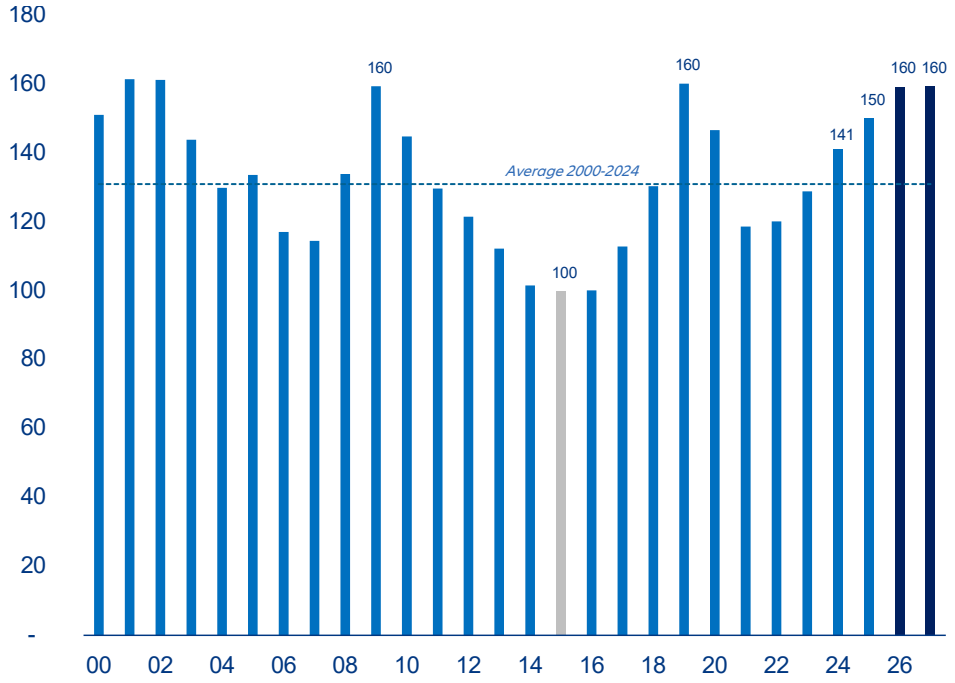
Figure 9: Maximum profit margin deterioration over the period 2022-2023, European industries (Stoxx 600 benchmark)



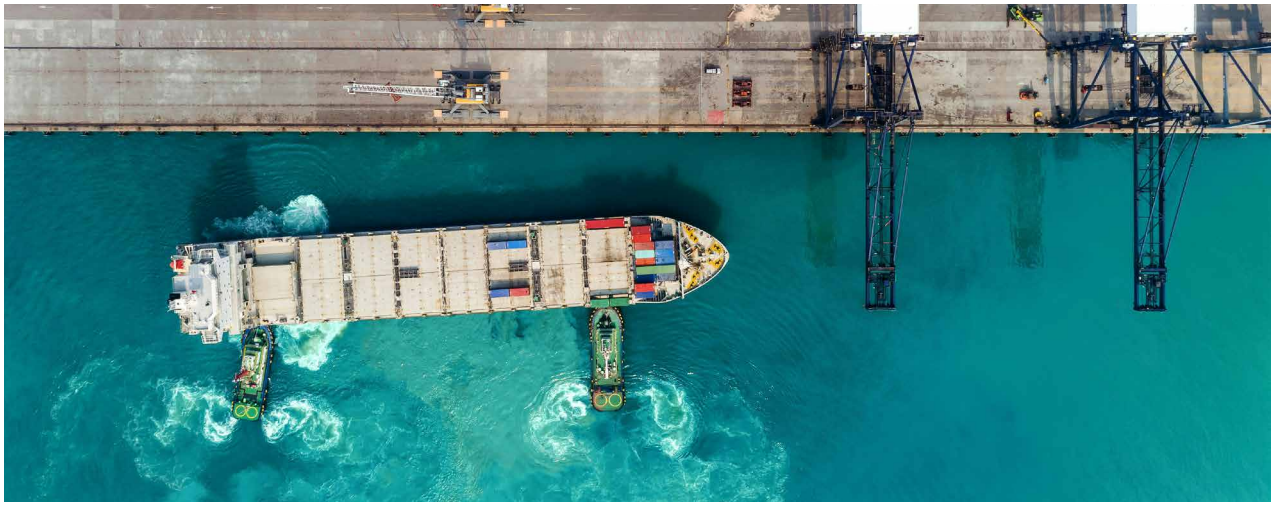
Source: LSEG Datastream, Allianz Research

+4pps compared to pre-war expectations) followed by a moderate decline (-3%) in 2027, with most countries (10 out of 17) within the -4%/+4% range and thus indicating an extended high level after several consecutive years of rising insolvencies. This is the case for Germany (+2% to 24,650 in 2026), France (+2% to 69,900), Belgium (+1% to 11,750) and the UK (-1% to 26,550). Overall, our Global Insolvency Outlook for 2026 would be driven by a larger number of countries (30, from 25 in 2025) recording rising insolvencies and accounting for a significant share of global GDP (73%) and thus of our headline indicator (86%) – despite a reduced average increase (at +6% y/y in simple average for the countries concerned, after +18% in 2025). In relative terms, the largest increases are expected in Switzerland, Greece, Chile, Russia and Taiwan (+20% y/y, +15%, +15%, 15% and+14%, respectively). Conversely, decreases would be moderate on average (-4%, after -9% in 2025) despite some outliers mostly concentrated in countries that recorded the highest levels in the past two years (Australia, Canada, Hungary, Sweden). Our forecast of a plateau for 2027 (+1pp compared to both what was expected before the conflict and our last release) assumes a gradual normalization of the business environment compared to 2026. The latter, however, would not yet allow a widespread downside trend reversal in business insolvencies. We expect the persisting lack of an economic boost, apart from specific cases mostly related to AI or defense, to hinder businesses' ability to regain stability and accelerate growth, as it would sustain competition, limiting pricing power and revenue growth, hence only moderately weakening pressure on profitability. At the same time, we expect a limited relief from monetary policies, keeping the pressure on the (re)financing issues of the already vulnerable companies and limiting access to the liquidity firms need to navigate challenges effectively – in particular SMEs. In this context, our headline index would remain high: +27% above its 2016-2019 average in 2027, with lower levels more in North America (+13%) and to a lesser extent APAC (+21%) than in Western Europe (+30%), prolonging (i) the risk of non-payment (insolvencies of buyers) as well as the risk of supply-chain disruptions (insolvencies of suppliers) and (ii) the necessity to monitor key and critical buyers and suppliers.

Figure 10: Global Insolvency Index, yearly level, basis 100: 2015



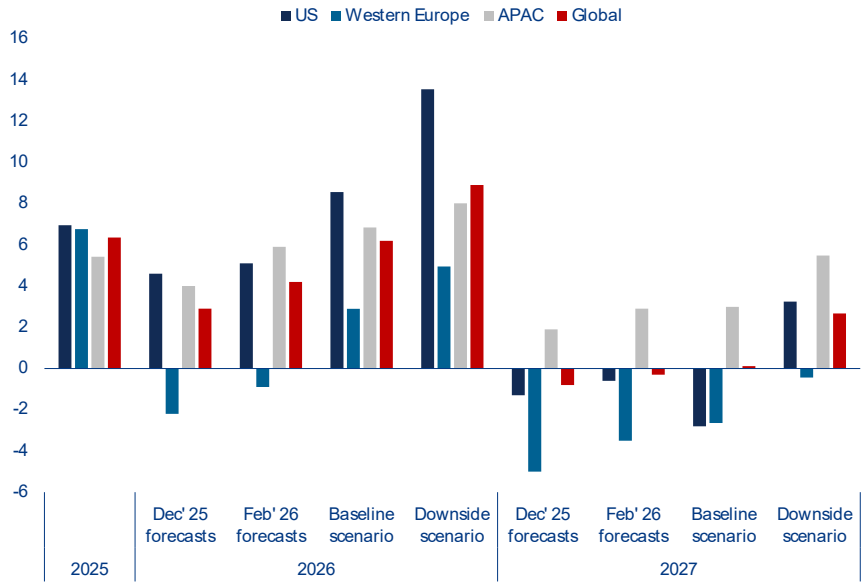
Source: Allianz Research



What could go wrong ?
Key downside risks to the insolvency outlook

A prolonged conflict in the Middle East could push global insolvencies closer to +10% in 2026 and +3% in 2027. If the Strait of Hormuz remains blocked for longer, leading to a continuous disruption of global oil and gas supply, as well as other commodity supply shortages (LNG, fertilizers, aluminum, helium and sulfur), inflation would jump noticeably, dragging down confidence and growth. This would amplify second-round effects and in turn increase our insolvency forecasts. In our downside scenario, we expect insolvencies to rebound by +5% in Western Europe and +13% in the US in 2026, i.e. +2.1pps and +5pps from our current baseline scenario, which would push up our global index by +9% (+2.7pps compare to the current baseline) – just based on the direct impact from the switch in economic growth alone. As the economic harm would continue to diffuse in 2027, insolvencies would keep on increasing in the US (+3% y/y , i.e. +6pps from our current baseline scenario) and see a quasi-stabilization in Western Europe (-2% i.e. +2.2pps from our current baseline scenario). Overall, this would mean +4,100 additional cases in the US and +10,500 in Western Europe over 2026-2027.

Figure 11: Major insolvencies, year-to-date number, by sector



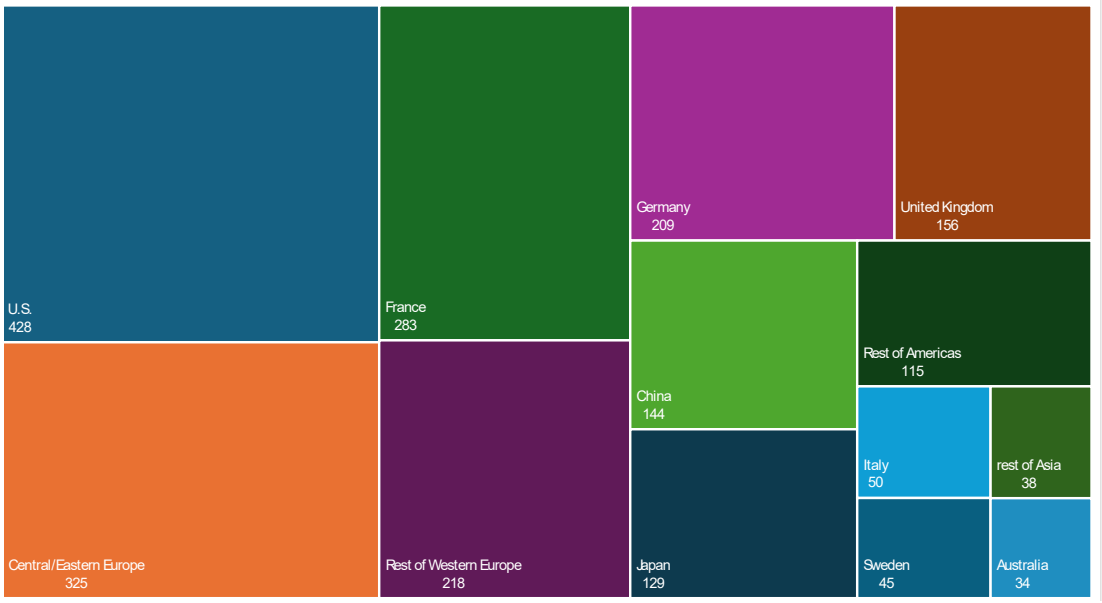
Source: Allianz Research

Another risk to monitor: A burst of the AI-induced boom could mean +15,600 additional bankruptcies in the US and Western Europe over 2026 and 2017. While the rapid expansion of AI is viewed a significant driver of economic growth, it also introduces substantial risks, notably for labor markets (e.g. job displacement, employment declines) and resources (e.g. infrastructure bottlenecks, energy shortages, supply-chain vulnerabilities for chips). But the financial system is also at risk if ambitious expectations fail to materialize, leading to an AI stocks collapse. Looking at the parallel of the dot-com bubble, which triggered elevated insolvencies across Western economies, our analysis suggests that a comparable AI bubble burst could cause approximately +6,100 additional insolvencies in the US over 2026-2027, boosting the baseline count by 12% for the two years. For Western Europe, the additional insolvencies would represent only 3% of the baseline count, but would add up to +9,500 cases, including +3,700 in France, +1,200 in the UK, +900 in Italy and +800 in Germany.

Similarly, fiscal concerns, such as confidence shocks related to high sovereign debt levels, could further exacerbate insolvency risks, particularly in the Eurozone. We calculate they could increase business insolvencies by +22,500 firms in Western Europe over 2026 and 2017, increasing the baseline count by +6%.

In our baseline scenario, the extended rise in business insolvencies will put 2.2mn jobs directly at risk globally in 2026 (+94k compared to 2025)[10], notably in construction, retail and services, followed by a marginal decrease in 2027 (-34K). In 2026, Europe (1.3mn) would lead this global count, notably Western Europe (~960k), ahead of North America (~460k), both recording a 12-year high, with the largest numbers seen in the US (~428k), France (~283k), Germany (~209k), and the UK (~156k). Central and Eastern Europe (~325k) and Asia (~346k) – boosted by Japan (129k) and China (~144k) – would follow, both at a moderately increasing annual number since 2022 (+7% and +28%, respectively) compared to Western Europe and North America (+46% and +93%, respectively). This is equivalent to 6% of the number of unemployed people in the US and Europe, but with significant differences across countries (1% in Spain, 4% in Italy, 7% in Germany, 9% in the UK and 11% in France).

Figure 12: Jobs at risk due to business insolvencies in 2026, in thousands



Source: OECD, SBS (Eurostat), ONS, US Census, StaCan, Allianz Research

[10] We calculate this based on the average number of employees per firm, the share of companies that go into a liquidation phase immediately (72% on average) and the share of people laid off in a restructuring phase (32% on average).

The post-pandemic hangover: More firms = more insolvencies

The business creation boom ongoing since the pandemic is mechanically increasing the potential for more insolvencies. Most countries have experienced a surge in business creation since the pandemic area, driven by factors such as the rise in remote work, e-commerce expansion, sustainability issues and particularly the rise of technology sectors, boosted by AI-focused businesses. In Europe, business registrations saw notable growth in services and tech-driven sectors, more than in capital-intensive industries. This phenomenon, while indicative of economic dynamism, has heightened insolvency risks through various interrelated mechanisms. One is that new market entrants often challenge the resilience of established players, as they intensify competition through aggressive pricing strategies or innovative offerings aimed at capturing market share. At the same time, startups and younger firms are often inherently more financially vulnerable compared to established firms, which have accumulated resources and resilience to withstand economic downturns. In addition, the survival rate of newly born firms has declined significantly over time, with less than half of them surviving the five-year mark in Europe[11] – ending either by a simple dissolution or a liquidation post insolvency proceeding. More importantly, the high level of business creation is mechanically increasing the potential of insolvencies when it surpasses business dissolution as it enlarges the stock of firms that could be made fragile by a weaker economic and financial cycle, or an external shock. This potential is high as the stock of active firms has continued to rise over the past years in most countries, with a global rise of +10% from 2021-22 to 2025 for our sample, with double digit rises notably in Asia (China, India and Hong Kong), a majority of countries between +5 and +10% in Central and Eastern Europe, Western Europe with a mix of leading (e.g. Portugal, Finland, Sweden, the Netherlands and to a lesser extent France) and lagging (Spain, the UK, Belgium, Switzerland, Italy) countries and the US on a softer pace.

Figure 13: Business demographic dynamic vs business insolvencies dynamic (*), selected countries

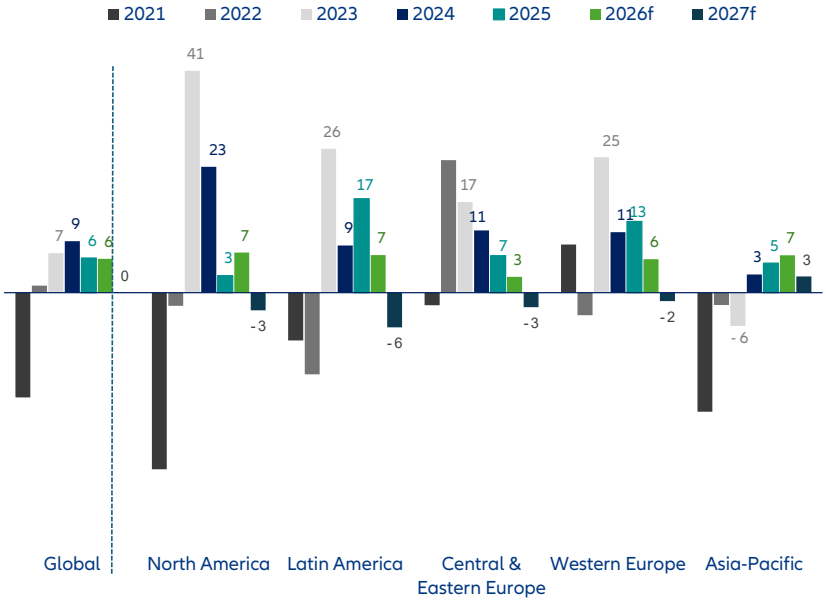
Sources: National business registers, Eurostat, Allianz Research

[11] Business demography statistics - Statistics Explained - Eurostat

Regional outlooks

Asia will remain the largest contributor to global insolvencies in 2026-2027, accounting for 54% of the worldwide increase, with China to prolong its rise (+9% in 2026 and +5% in 2027, from +7% in 2025). This prominence stems partly from methodological reasons due to the region's significant share in global GDP (33%) and consequently in our headline indicator (39%). North America would follow as the second largest contributor ahead of Western Europe with a fifth consecutive year of rising insolvencies in 2026 – and a prolonged increase (+3%) resulting from mixed trends and a majority of countries (10 out of 17) within the -4%/+4% range and thus indicating a persistently high number of insolvencies. Central and Eastern Europe would remain boosted by the increase in insolvencies expected in its three largest markets: Russia, Türkiye and Poland.

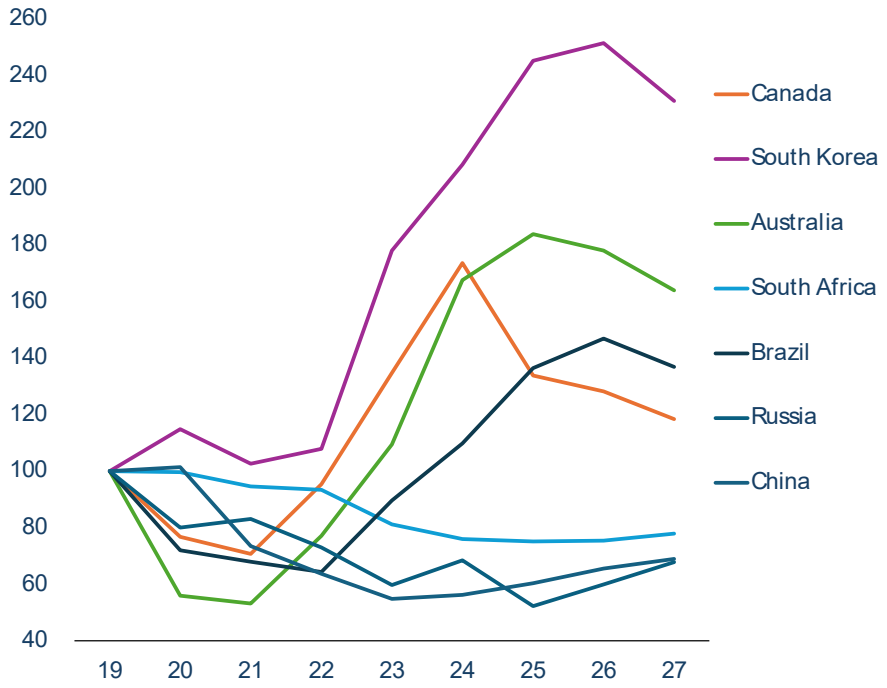
Figure 14: Global and regional insolvency indices, yearly change in %



Sources: OECD, SBS (Eurostat), ONS, US Census, StaCan, Allianz Research

Asia is leading global insolvency growth, boosted by China and several countries reaching multi-year record highs. Asia ended 2025 with major rises in insolvencies in most countries, notably Australia (+10% y/y), New Zealand (+13%), South Korea (+18%), Singapore (+29%) and Hong Kong (+45%). India and Taiwan were exceptions for the third consecutive year. Several economies hit multi-year highs, including Japan (12-year high to 10,300 cases), New Zealand (15-year high to 3,126), South Korea (25-year high to 2,282) and Australia (historical high with 11,774 cases). In both Australia and Japan, the rise continued across most sectors in 2025. In Japan, this was particularly the case in real estate (+18%), retail (+7%) and construction (+5%), while wholesale and transport sectors showed resilience (-6% and -15%, respectively). In Australia, this was notably the case in transport sectors in relative terms (+35%) and construction in absolute terms (+224 cases to 3,061) with wholesale as the key outlier (-4%). Construction and B2B services, including hospitality, contribute the highest number of insolvencies in both countries, with construction representing 25% and 20% of the total in Australia and Japan, respectively, and B2B services standing at 39% and 34%, respectively. Looking ahead, we expect only moderate downside trend reversals in 2026 for Hong Kong (-2%), Singapore (-3%) and Australia (-6%), along with a prolonged rise in Japan (+5%), for the fifth consecutive year, South Korea (+2%) and New Zealand (+2%), and a rebound in Taiwan (+14%) and India (+5%). The region's energy supply is heavily exposed to the Middle East. Strategic reserves and fiscal support will alleviate the impact, but the shock is expected to offset much of the economic boost coming from sustained AI-driven demand and trade rerouting gains, and to lead to most central banks remaining on hold throughout the year, while Australia and Japan to continue their monetary tightening cycle. At the regional level, without China, this would translate into a slight acceleration to +3% in 2026 (+7% with China) from +1% in 2024 (+5% with China), followed by a modest improvement in 2027 (-1% without China, +2% with China). In China, which is mechanically playing a key role since it accounts for 61% of our regional index, we expect business insolvencies to confirm in 2026-2027 the upside trend reversal which started in 2024. The latter would occur mainly in domestic activities, notably consumer-oriented sectors and real estate, as both are expected to remain weak in a context of limited social protection weighing on households' confidence and boosting the preference for savings. We anticipate a +9% rise to 7,750 cases in 2026, followed by a +5% increase to 8,150 cases in 2027, still a low level compared to the record levels of 2019-2020 (11,900 cases in average), but close to its pre-pandemic number (7,430 on average for 2017-2018).

Figure 15: 2025-2027 expected number of insolvencies, selected economies, basis 100: year 2019



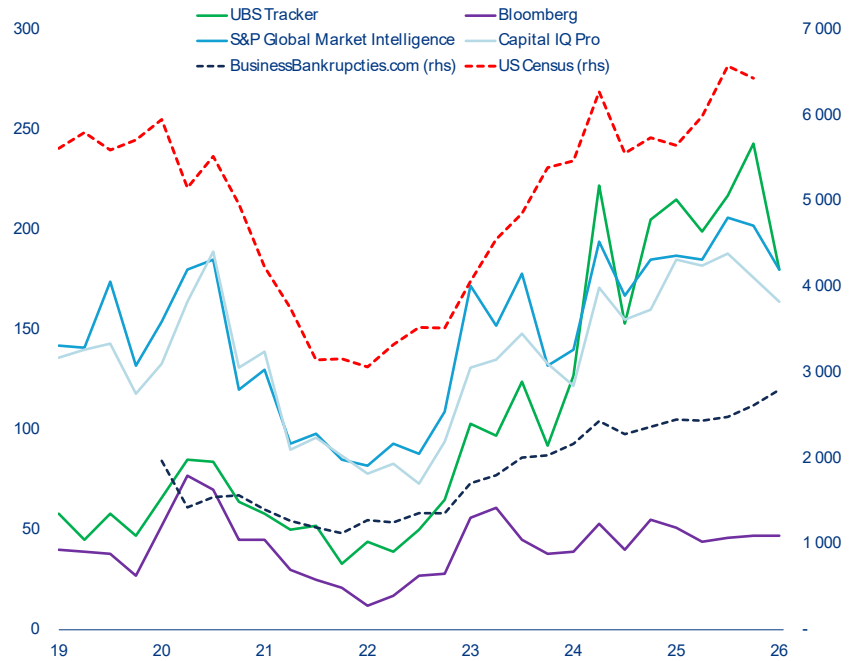
Source: Allianz Research

A prolonged increase is looming in North America, with opposite dynamics between the US and Canada. We expect North America to remain the second-largest contributor to the global rise, with the regional outcome decelerating further from the 2023-2024 double-momentum (+41% and +23%, respectively) to a weighted average of +7% for 2026. However, opposite trends would continue within the region, with the US extending its rebound in insolvencies in 2026 (+9%, from +7% in 2025), and Canada prolonging its decrease started in 2024 (-4%, from -23% in 2025). In the US, the official figures from US Courts for 2025 confirmed the softer momentum that was expected after the massive rebound recorded in the previous two years (+32% in annual average over 2023-2024) and resulting from the gradual fading of the buffers accumulated since the strong post-Covid recovery, notably for SMEs. Business insolvencies returned to 24,600+cases in 2025, which is above the 2016-2019 average (23,000), but firms are facing new challenges that are shaping the insolvency outlook. For 2025, it was notably trade policy uncertainty, tariff hikes, DOGE spending cuts, federal layoffs and curbs on immigration. For 2026, the list includes the weakness of household spending – notably by lower and middle income consumers – residential investment and non AI-related activities. At the same time, refinancing needs would remain at higher-than-expected rates, and higher input costs would remain in a highly competitive domestic market, with limited pass-through to consumers. The combination of factors would see the US to ending 2026 with another rise to 26,750 cases (+9%) before a moderate drop to around 26,000 cases (-3%) in 2027, still a low level from a historical perspective (34,000 for the 2000-2020 average, 41,000 for the 1990-2020 average).

In Canada, business insolvencies decreased noticeably in 2025 (-23%) and most sectors reported double-digit drops, with agriculture and mining/quarrying as exceptions on the upside. This trend reversal was expected as conditions normalize after the sharp surge of 2022-2024 (+35% annually), when the end of pandemic-related government financial support, along with rising production and financing costs, together pushed insolvencies to a 14-year high of nearly 4,800 cases. We expect this 'normalization' to continue in 2026 and 2027 but the less supportive macroeconomic environment, persistently high debt-service costs and the remaining uncertainties in trade-sensitive sectors, notably with the USMCA review and potential US tariffs, would still lead to more than 3,000 insolvencies both in 2026 and 2027.

Latin America shows a similar mixed picture. Brazil ended 2025 with another noticeable rise in insolvencies (+24% to 3,939 cases), following sharp increases in 2023 (+39%) and 2024 (+22%), with economic growth insufficient to counter pressures from high financing and labor costs and sector-specific vulnerabilities to US tariffs, and for agribusiness, driven by draughts, lower commodity prices and high input costs. Looking ahead, slightly lower interest rates have eased immediate pressure on firms with floating rate but financial pressures remain major as expectations for the Selic rate (Brazil's benchmark interest rate) still lead to high debt-servicing costs. This sets the stage for another rise in insolvencies in 2026 (+8%) that would lead to a new 20-year level with roughly 4,240 cases, before a trend reversal in 2027 (-7%).

Figure 16: US insolvencies, quarterly number, by data provider



Sources: S&P CapitalIQ, Bloomberg, UBS, Allianz Research

The 28th regime: a game-changer for insolvencies, or too limited to matter?

For decades, Europe's insolvency landscape has been defined by fragmentation. Twenty-seven member states, twenty-seven legal traditions and twenty-seven sets of rules on when a company is deemed insolvent. The debate around who gets paid first – and how long it takes to wind things up – has been everlasting and often politically explosive. But ever since Mario Draghi identified the fragmentation of insolvency frameworks as a major obstacle to the proper functioning of the Single Market, and advocated for the creation of a "28th regime," the Commission has been quietly laying the groundwork to turn this vision into reality. In March 2026, the Commission therefore published its EU Inc. Regulation, the centerpiece of the much-discussed "28th regime", while the Insolvency Harmonisation Directive (EU) 2026/799, originally proposed in December 2022, was formally adopted by the Council on 30 March 2026 and entered into force on 1 April 2026 with a transposition deadline of January 2029.

Together, these two instruments represent the most ambitious overhaul of European insolvency architecture in a generation. The EU Inc. creates an optional pan-European company form that startups, SMEs and scale-ups can adopt. The headline features are striking: fully digital incorporation within 48 hours at a maximum cost of EUR100, no minimum share capital, bilingual articles of association, harmonized employee stock ownership plans and a "once-only" data-submission principle. The proposal is a Regulation based on Article 114 TFEU, meaning it will be directly applicable across all 27 member states without requiring national transposition, a significant departure from earlier signals that a Directive might be used, and which had raised concerns about 27 divergent implementations.

Insolvency provisions are innovative… but remain narrow. Chapter X of the EU Inc. proposal contains insolvency rules, but they apply only to EU Inc. companies classified as "innovative startups" under a non-binding Commission Recommendation. To qualify, a company must spend at least 10% of operating costs (or 5% of net sales) on R&D, employ fewer than 100 people, have turnover or assets below EUR10mn and be less than 10 years old. Every other EU Inc. company falls under its member state's existing insolvency regime – if the Commission's proposal is confirmed during negotiations

For qualifying companies, the simplified insolvency procedure introduces several notable features. The insolvency trigger is a pure cash-flow test: a company is deemed insolvent when it is generally unable to pay its debts as they mature. This is a pure cash-flow insolvency test, deliberately simpler and more debtor-friendly than the dual tests used in Germany (which adds balance-sheet insolvency) or Spain (which combines both approaches). France's cessation des paiements is conceptually identical, though French law imposes a stricter 45-day filing obligation.

Another key aspect of the legislation is that all proceedings are conducted digitally: legal representation is optional, and asset realization takes place through interconnected national electronic auction platforms. The entire procedure must conclude within six months, extendable by a further six months, an extraordinarily ambitious target given that average EU insolvency proceedings currently take up to 3.5 years on average. On creditor ranking, the proposal is conspicuously silent. Rankings would follow national law, meaning creditors must still understand the insolvency hierarchy of the member state of registration. Subrogation rights and retention of title are also not explicitly addressed, leaving significant gaps.

While the EU Inc. has attracted the headlines, the Insolvency Harmonization Directive will also be consequential. The legislation sets minimum standards across all member states for avoidance actions (with three categories of challengeable transactions and harmonized look-back periods), asset tracing through centralized bank account registers, pre-pack proceedings (allowing a confidential sale process before formal insolvency), directors' filing duties within three months of becoming aware of insolvency and the establishment of creditors' committees. Member states have until January 2029 to transpose to national law. A critical detail: the original draft's micro-enterprise winding-up provisions were entirely deleted from the final Directive. This clearance made room for the EU Inc. to occupy this space for qualifying startups.

What does this mean for companies ? For businesses trading across borders, the architecture is a double-edged sword. On the one hand, the digital-first design holds clear promise: it could significantly reduce both the cost and complexity of dealing with a counterparty's insolvency. Suppliers owed money by a failed "EU Inc." would no longer be forced to navigate unfamiliar national court systems from scratch. On the other hand, the absence of a minimum capital requirement – combined with the shift from traditional capital maintenance rules to balance-sheet and solvency tests – fundamentally alters how risk must be assessed. Creditors dealing with EU Inc.–incorporated counterparties will need to rethink their approach, as the familiar signal of a minimum capital buffer simply disappears.

For SMEs, whether as potential users of the EU Inc. form or as creditors, the overall picture is therefore ambivalent. The proposed six-month timeline for insolvency proceedings is appealing in theory: faster resolution should mean less cash tied up in distressed firms and quicker visibility on recovery prospects. Yet this target remains untested, and serious doubts persist as to whether national courts will be able to deliver on it in practice.

Stakeholder reactions are mixed so far. Reactions have split along predictable lines. BusinessEurope and SMEunited welcomed the proposal as a step forward for competitiveness and cross-border simplification, though SMEunited insisted the regime should be open to all company types. The startup ecosystem, which had campaigned for the 28th regime through a petition attracting over 22,000 signatures, was cautiously supportive but disappointed by the scope limitations. As one Dutch startup association leader put it bluntly: "This is still not a true 28th regime". On the other side of the spectrum, trade unions mounted the strongest opposition. ETUC warned that worker protections were "nowhere to be found" in the Regulation, pointing to the precedent of "shelf" Societas Europaea companies created as empty shells to circumvent worker participation rules.

In their current form, the EU Inc. insolvency provisions remain cautious. By restricting the simplified procedure to a narrow category of "innovative startups" defined by a non-binding Recommendation, the Commission has created a regime that will apply to only a fraction of the companies it purports to serve. The extensive fallback to national law on creditor ranking, subrogation and retention of title means that the very fragmentation the proposal was designed to solve will persist for the vast majority of cross-border transactions. Scholars have drawn uncomfortable parallels with the Societas Europaea, which attracted fewer than 4,000 registrations over two decades, a cautionary tale for ambitious but narrowly scoped EU corporate forms.

But the broader direction of travel is unmistakable. The Insolvency Harmonisation Directive establishes a genuine, if modest, baseline that will reshape national regimes by 2029, particularly on avoidance actions and pre-packs. The EU Inc. proposal, even if imperfect, has opened a door that was firmly shut just two years ago: for the first time, the EU has proposed a directly applicable insolvency procedure, however limited in scope. And the Commission's stated ambition to have the Regulation agreed by end-2026 suggests that political momentum is building, not fading.

The real question is whether the legislative process, through the JURI Committee, the Council negotiations, and ultimately the trilogues, can widen the aperture. If the European Parliament and Council broaden the scope of the simplified insolvency procedure beyond innovative startups, fill the gaps on creditor ranking and subrogation, and address the legal basis concerns that several scholars have raised, the 28th regime could yet become the game-changer that the single market needs. If they cannot, Europe will have added a twenty-eighth layer to its insolvency patchwork rather than replacing it. And Draghi's vision of a truly integrated capital market will remain aspirational. Either way, the status quo has shifted. The conversation is no longer about whether Europe needs a common insolvency framework, but about how far and how fast it is willing to go. For creditors, insurers and businesses in general: the message is clear: prepare for change, but do not stop learning national law just yet.

In Western Europe, most countries look set for a persistently high number of insolvencies, well above their pre-pandemic levels, despite some downside trend reversals. In 2025, Western Europe remained a key contributor to the global rise in insolvencies despite a slower rebound (+7% y/y from +11% in 2024) resulting from mixed outcomes: (i) a stabilization in the UK and Sweden; (ii) a noticeable deceleration in the two largest markets of the Eurozone, namely Germany (+10%) and France (+4%); (iii) a significant increase in Italy (+26%) and Switzerland (+38%) and (iv) a downside trend reversal in the five other countries (e.g. Denmark, Ireland, the Netherlands, Portugal and Spain). Looking ahead, we expect a prolonged increase in business insolvencies at the regional level (+3% y/y), with a similar tempo for the Eurozone (+3%). This represents slightly more cases than anticipated prior to the start of the war in the Middle East: +4pps and +2pps, respectively in relative terms, meaning that the direct toll from the Middle East represents +3,750 and +2,980 additional cases for 2026, for Western Europe and the Eurozone, compared to the modest rises expected previously (less than 900 and 500 cases, respectively). This would mark a fifth consecutive year of rising insolvencies. A majority of countries (10 out of 17) would be within the -4%/+4% range, including Germany (+2% to 24,650), France (+2% to 69,900), Belgium (+1% to 11,750) and the UK (-1% to 26,550), still indicating a prolonged high number of cases. The moderate decrease expected for 2027 (-3% and -1% for Western Europe and the Eurozone , respectively), would still lead most European countries to continue largely surpassing their pre-pandemic numbers of insolvencies. In 2027, Switzerland would lead the way (150% above the 2016-2019 average), followed notably by Finland (63%), Sweden (41%), Spain (38%) and several others to a lesser but still significant extent, including Austria, the UK, France, Germany and Belgium.

In **Germany**, business insolvencies are likely to prolong their upside trend that started in 2023 and saw another broad-based rise across sectors in 2025 – notably for the top six sectors that represent the national count, namely construction (+10%), trade (+15%), professional services (+10%), hospitality (+27%), administrative and support (+12%), and manufacturing (+24%), which recorded another batch of insolvencies of large/well-known firms. We expect the recovery to remain fragile despite the fiscal support, and the geopolitical uncertainties, US tariffs and higher energy prices to maintain the pressure on firms. Business insolvencies could increase by +2.4% in 2026 (i.e. +1.5 compared to prior to the war in Iran) to 24,650 cases, i.e. a record high since in 2012 – however still well below the levels posted during the GFC (32,000+). At this stage, a marginal reduction is projected for 2027 (-2%), when the ease of war-related pressures and the fiscal stimulus will drive up growth.

In **France**, business insolvencies are projected to hit a new record in 2026. The annual count already reached 68,625 cases in 2025, i.e. well above pre-pandemic levels (+25% above the 2016-2019 average), with most sectors contributing to the rise, in particular hospitality (+9%), professional services (+7%) and health/social work (+33%), or roughly stable at a high level, notably retail (+1%), with construction as key exception on the downside (-3%) but still accounting for almost one out of five insolvencies. We expect a prolonged high number of cases in 2026 in a context of sluggish growth due to higher inflation sapping the consumer recovery and continuous issues in the construction sector, along with sustained high interest rates. Business insolvencies would increase by +2% to 69,900 cases (compared to 0% prior to the war), before reducing by -3% to around +67,800 in 2027 as economic conditions likely improve.

In the **UK**, we expect business insolvencies to keep on plateauing in 2026, close to the high level reached in 2024 in 2025, with 26,550 cases i.e. roughly 30% above the levels observed before the succession of shocks and challenges that have impacted firms since Brexit. This would mask uneven trends across sectors, prolonging the disparity observed in 2025 when insolvencies moderately decreased in the top three sectors contributing the most to the national count (-6% for construction, -5% for hospitality, -1% for retail), but increased in manufacturing (+3%), wholesale (+7%), information/communication (+5%) and B2B services (+3%). As the UK's growth momentum is likely to weaken substantially, we expect the various challenges on the business front, notably regarding input costs, wages and rates, to maintain insolvencies high in 2026 (-1% compared to -3% prior to the war) before a larger relief for firms in 2027 (-5%) that would translate to around 25,300 cases in 2027.

In **Italy**, the acceleration in business insolvencies recorded over the past three years (+9%, +17% and +26% successively in 2023, 2024 and 2025) pushed the country to catch up with most European countries in returning to its pre-pandemic number of cases. Interestingly, all

sectors contributed to the rise in 2025, with double-digit increases across most of them, notably for the top four sectors in the national count, namely trade (+12% y/y), construction (+27%), manufacturing (+21%) and hospitality (+13%). We expect a prolonged rise in 2026 to 12,750 cases (+5% compared to +2% prior to the war) as the economy is to expand modestly, partly due to its structurally high dependence on imported energy and its impact for households and energy-intensive industries. 2027 could see a potential decrease to 12,300 cases

In **Benelux**, the great divide is not over between the Netherlands and Belgium. In Belgium the number of business insolvencies reached a 10-year record again in 2025 with 11,681 cases (+6%), after another noticeable boost from construction (+5%), professional services (+11%), transport/storage (+11%) and real estate (+24%) – but also signs of plateauing for manufacturing (+1%), hospitality (+1%) and trade (-1%). With constant but timid economic growth since mid-2022, the business environment is expected to remain too challenging to prevent a new record high number of insolvencies in 2026 with 11,750 cases (+1% compared to -1% prior to the war), i.e. slightly above the previous historical peak of 2013. A potential decline is projected for 2027 as economic conditions improve (-3% to 11,400 cases). In the Netherlands, business insolvencies remain well below the past records of 2013 (-62%) and 2009 (-54%) while they stood out in 2025 with a substantial decline (-15% following +31% in 2024) resulting from a broad-based trend across sectors, notably from the largest contributors to the national count – i.e. construction (-21%), wholesale (-11%), trade (-15%), professional services (-26%) and hospitality (-8%). At this stage, we anticipate the weaker economic environment for 2026 to renew the pressure on firms and lead to a rebound in business insolvencies to 3,850 cases (+6% compared +4% prior to the war).

Austria already posted a record-high number of insolvencies since 2009, with more than 6,800 cases in 2025 resulting from a prolonged rise (+3%) for the fourth consecutive year, despite uneven dynamics across sectors (double digit rises in transportation/storage and B2B services, moderate increase in trade and hospitalities/ food services, moderate decrease in construction, a noticeable decrease in B2C services and information/communication). We expect the fragile economic outlook, with a slow exit from recession combined with the weakness of the German economy – Austria's most important trading partner – to maintain the pressure, notably on industrial competitiveness and manufacturing. Austria is likely to end 2026 with another high of around 6,750 cases (-1%) before a broad improvement to 6,300 cases in 2027 (-7%).

Spain looks set to remain one of the few outliers compared to regional peers with a prolonged decrease in insolvencies in 2026 (-4%) albeit a softer one compared to 2025 (-6%) when the economy continued to expand faster than Eurozone peers – but without modifying the concentration of insolvencies in trade, construction, manufacturing and hospitality, rather than B2B and B2C services. We expect a contained number of insolvencies to less than 5,400 cases as Spain entered the Iran energy shock better insulated than most European peers (the structural shift toward renewables that reduced the exposure of households and industry to oil prices and the energy pass-through). The solid but softer economic outlook ahead for 2027 should however lead to a slightly higher number of cases, around 5,540 insolvencies (+3%), close to the annual average posted over 2023-2025.

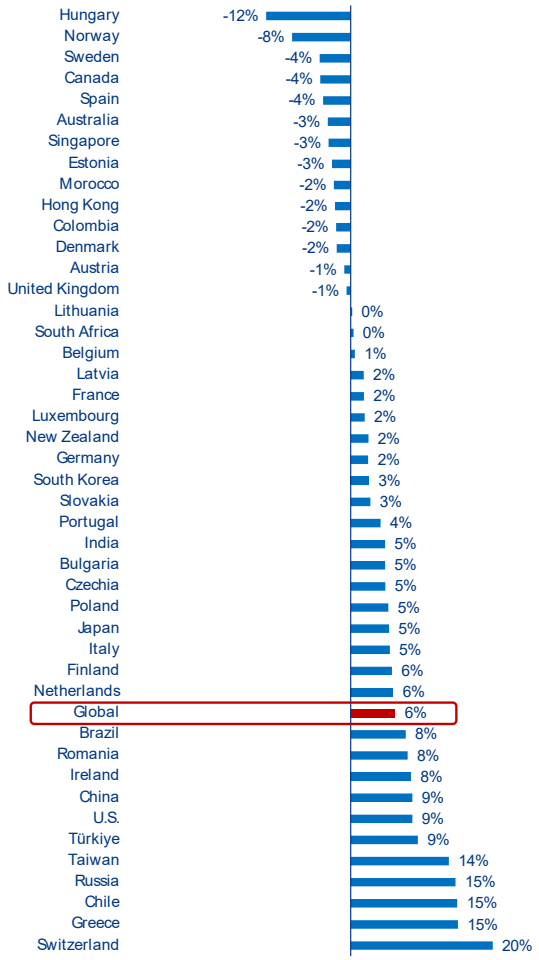
In **Portugal**, we expect business insolvencies to rebound slightly in 2026 and 2027. This would offset the decline posted in 2025 (-4% to 2,361 cases) despite prolonged disparities across sectors – with construction, retail and textiles posting decreases (-2%, -6% and -29%, respectively) but transportation and services on the upside (+46% and +2%, respectively), and across types of firms – with micro companies representing two out of three cases and leading the national trend while insolvencies continue to rise in small and medium firms. Portugal's economic outlook for 2026 has become more nuanced in the wake of the Iran conflict and the ensuing energy shock as energy price pass-through reduced our initial expectations for consumption and investment, leading to a stable pace of growth in 2026 before a moderation in 2027. This outlook should push up bussines insolvencies slightly to around 2,350 cases in 2026 and 2,460 cases in 2027, i.e. less than averaged in 2018-2020 (2,600).

A new historical record is projected in **Switzerland** for 2026, with a sixth consecutive year of increase to 14,000 cases, i.e. twice more than recorded in 2022 and almost three times more than averaged prior to the pandemic. The key factor at play beyond this spike is the new insolvency framework[12] in place since 2025 as the latter is mechanically pushing up the number of firms pursued through bankruptcy proceedings. Yet, the below-average economic outlook, with growth forecasts revised down due to higher energy prices and global uncertainties, is also contributing to the upside trend. At this stage, we anticipate the increase in insolvencies to reach +20% in 2026 from +38% and +17% in 2024 and 2023, respectively, before the start of a normalisation in 2027 (-3%).

[12] Since 1 January 2025, Switzerland has transformed its debt collection system by repealing paragraphs 1 and 1bis of Article 43 of the Federal Law on Debt Collection and Bankruptcy. Public law debts (VAT, taxes, social contributions) can now directly lead to bankruptcy for companies registered in the commercial register, replacing the previous seizure process. This reform affects all registered businesses, including self-employed individuals, aiming to increase financial accountability and combat unfair competition from delayed tax payments. For memo our dataset excludes the specific cases of dissolutions due to organizational deficiencies that refer to the article 731b CO.

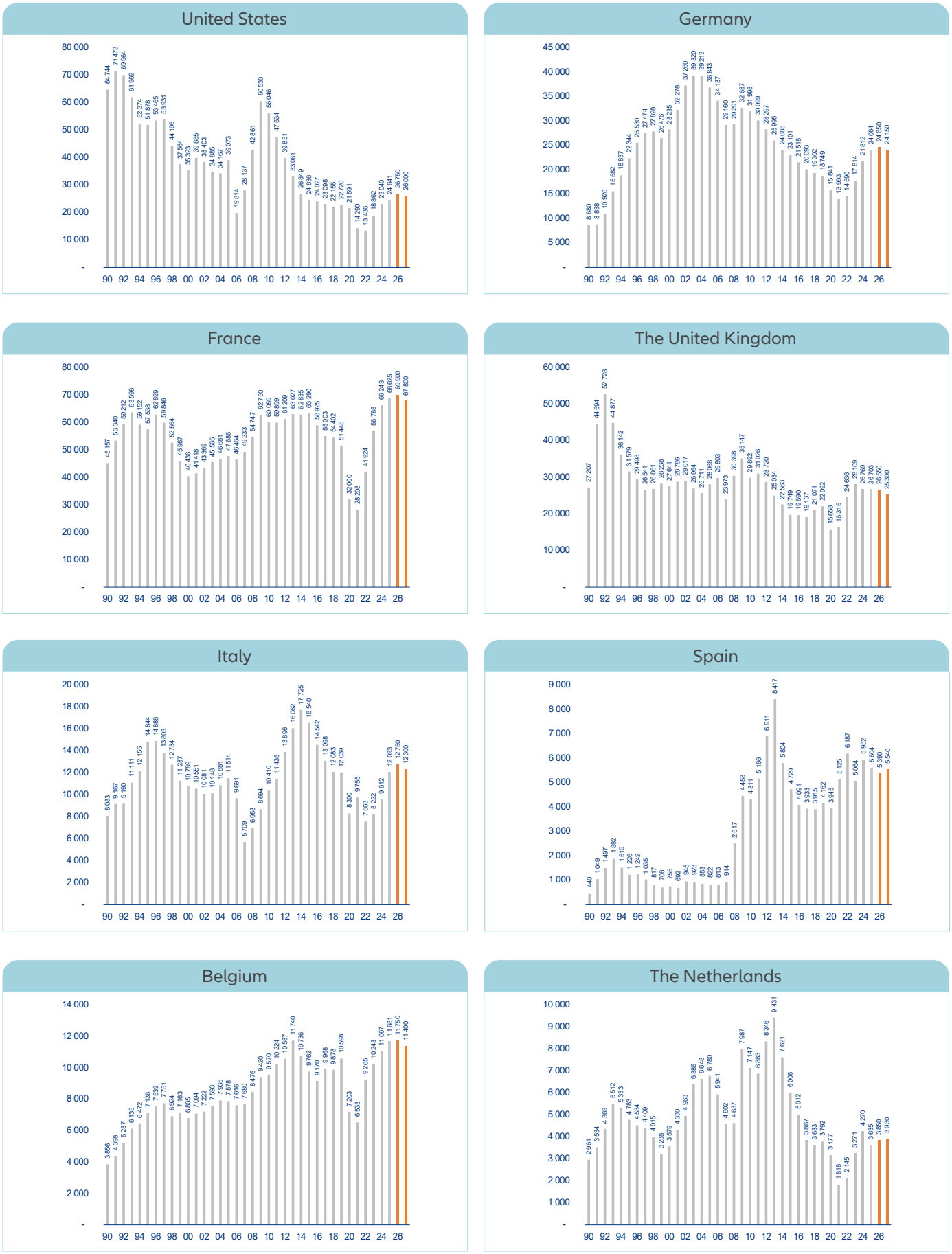
In Central and Eastern Europe, the regional picture of a gradual deceleration in business insolvencies from high levels overshadows a batch of uneven dynamics converging to the upside. Our regional index for Central and Eastern Europe recorded a noticeable increase for 2025 (+13%), confirming the trend in place in 2024 (+11%) and 2023 (+25%). We expect a softening in 2026 (+6%) before a widespread downside trend reversal in 2027 that would reduce the regional index by -2% but still mean a high level from a historical perspective. Yet, this regional picture results from uneven dynamics. On one hand, countries that should record a prolonged rise in insolvencies in 2026. These include Türkiye (from +57% in 2025 to +9% expected in 2026 and -9% in 2027), Poland (+13%, +5% and -2%, respectively) and Romania (+4%, +8% and -6%, respectively) – all to post a limited decline in 2027 – while Czechia (+18%, +5% and +4%, respectively) and Slovakia (+10%, +3% and +3%, respectively) would see a continuous rise in 2027. Poland is a special case as the legal environment is leading to a widespread use of simplified restructuring proceedings that often shift the financial burden onto business partners, primarily SMEs, as the latter effectively bear the cost of supporting struggling companies that are given preferential treatment over creditors. This contributes to a domino effect of insolvency, on top of the structural weakness of Polish SMEs. In Türkiye, we expect cautious monetary policy and higher-than-expected inflation (at around 28% on average) that would lead the Turkish lira on a slight appreciation path against the USD (in real terms) and export-prone companies to continue suffering from lower margins – except in sectors that benefit from high international demand, such as tech, defense, construction and pharmaceuticals. The Baltics and Russia would stand out. The former due to their uneven dynamics resulting from the limited number of cases (965, 280 and 150 cases expected in 2026 in Lithuania, Latvia and Estonia, respectively). The latter due the bounce-back that we anticipate in 2026 (+15%) from the massive drop posted in 2025 (-14%), which would result from the surge in cost of servicing debt and the fall in corporate profits, in particular for the firms not connected to the military-industrial complex.

Figure 16: 2026 business insolvencies, annual changes in %



Source: Allianz Research

Figure 18: 2025-26 expected number of insolvencies, selected advanced economies



Source: Allianz Research

Statistical appendix

	% of Global Index	Business insolvencies level					Business insolvencies growth					Comparison with 2016-2019 average				
		2023	2024	2025	2026f	2027f	2023	2024	2025	2026f	2027f	2023	2024	2025	2026f	2027f
GLOBAL INDEX *	**100**	**129**	**141**	**150**	**160**	**160**	**7%**	**9%**	**6%**	**6%**	**0%**	**2%**	**12%**	**19%**	**27%**	**27%**
North America Index *	**30,5**	**80**	**99**	**102**	**109**	**106**	**41%**	**23%**	**3%**	**7%**	**-3%**	**-14%**	**6%**	**9%**	**17%**	**13%**
U.S.	27,8	18 862	23 040	24 641	26 750	26 000	40%	22%	7%	9%	-3%	-18%	0%	7%	16%	13%
Canada	2,3	3 699	4 766	3 675	3 520	3 250	41%	29%	-23%	-4%	-8%	34%	73%	34%	28%	18%
Latin America Index *	**3,0**	**146**	**159**	**186**	**199**	**186**	**26%**	**9%**	**17%**	**7%**	**-6%**	**0%**	**9%**	**27%**	**36%**	**28%**
Brazil	2,6	2 588	3 169	3 939	4 240	3 950	39%	22%	24%	8%	-7%	-7%	14%	42%	53%	43%
Chile	0,4	1 145	722	723	830	800	6%	-37%	0%	15%	-4%	-6%	-41%	-41%	-32%	-35%
Colombia	0,5	1 411	1 699	1 735	1 700	1 600	16%	20%	2%	-2%	-6%	37%	65%	69%	65%	56%
Europe Index *	**26,9**	**90**	**102**	**113**	**118**	**116**	**19%**	**14%**	**10%**	**5%**	**-2%**	**12%**	**28%**	**41%**	**47%**	**44%**
EU27+UK+Norway Index *	**22,7**	**115**	**126**	**135**	**137**	**134**	**25%**	**10%**	**7%**	**2%**	**-2%**	**27%**	**40%**	**49%**	**52%**	**48%**
EU27 Index *	**18,3**	**110**	**125**	**136**	**139**	**137**	**28%**	**14%**	**8%**	**3%**	**-2%**	**25%**	**43%**	**55%**	**59%**	**56%**
Euro zone Index *	**15,3**	**82**	**97**	**104**	**106**	**105**	**17%**	**18%**	**7%**	**3%**	**-1%**	**-3%**	**14%**	**22%**	**25%**	**23%**
Western Europe Index *	**21,5**	**99**	**110**	**117**	**121**	**117**	**17%**	**11%**	**7%**	**3%**	**-3%**	**9%**	**21%**	**30%**	**33%**	**30%**
Germany	5,4	17 814	21 812	24 064	24 650	24 150	22%	22%	10%	2%	-2%	-11%	10%	21%	24%	21%
United Kingdom	3,9	28 109	26 769	26 703	26 550	25 300	14%	-5%	0%	-1%	-5%	37%	31%	30%	30%	23%
France	3,8	56 788	66 243	68 625	69 900	67 800	35%	17%	4%	2%	-3%	3%	21%	25%	27%	23%
Italy	2,8	8 222	9 612	12 093	12 750	12 300	9%	17%	26%	5%	-4%	-36%	-26%	-7%	-1%	-5%
Spain	1,9	5 064	5 952	5 604	5 390	5 540	-18%	18%	-6%	-4%	3%	26%	48%	39%	34%	38%
Netherlands	1,2	3 271	4 270	3 635	3 850	3 930	52%	31%	-15%	6%	2%	-20%	5%	-11%	-6%	-4%
Switzerland	1,0	7 238	8 475	11 694	14 000	13 520	7%	17%	38%	20%	-3%	34%	57%	116%	159%	150%
Sweden	0,8	8 842	10 748	10 711	10 250	9 500	30%	22%	0%	-4%	-7%	32%	60%	59%	52%	41%
Belgium	0,7	10 243	11 067	11 681	11 750	11 400	11%	8%	6%	1%	-3%	3%	12%	18%	19%	15%
Ireland	0,5	663	875	812	880	820	25%	32%	-7%	8%	-7%	-18%	8%	0%	9%	1%
Norway	0,6	4 517	4 543	4 245	3 900	3 800	22%	1%	-7%	-8%	-3%	-6%	-5%	-11%	-18%	-21%
Austria	0,6	5 380	6 587	6 810	6 750	6 300	13%	22%	3%	-1%	-7%	6%	30%	34%	33%	24%
Denmark	0,5	3 076	2 491	2 376	2 330	2 340	9%	-19%	-5%	-2%	0%	27%	3%	-2%	-3%	-3%
Finland	0,4	3 315	3 482	3 906	4 130	3 970	25%	5%	12%	6%	-4%	36%	43%	60%	70%	63%
Portugal	0,3	2 248	2 361	2 256	2 350	2 460	15%	5%	-4%	4%	5%	-26%	-22%	-25%	-22%	-19%
Greece	0,3	271	304	557	640	700	130%	12%	83%	15%	9%	193%	229%	502%	592%	657%
Luxembourg	0,1	919	1 159	1 187	1 210	1 100	-9%	26%	2%	2%	-9%	-17%	5%	7%	9%	-1%
Central & Eastern Europe Index *	**5,5**	**153**	**170**	**192**	**204**	**201**	**25%**	**11%**	**13%**	**6%**	**-2%**	**40%**	**55%**	**76%**	**86%**	**83%**
Russia	2,2	7 396	8 477	6 477	7 420	8 400	-18%	15%	-24%	15%	13%	-43%	-34%	-50%	-42%	-35%
Türkiye	1,1	932	1 357	2 131	2 330	2 120	-41%	46%	57%	9%	-9%	-55%	-35%	3%	12%	2%
Poland	0,8	4 467	4 839	5 492	5 780	5 650	70%	8%	13%	5%	-2%	387%	427%	499%	530%	516%
Romania	0,3	6 650	7 274	7 553	8 150	7 700	0%	9%	4%	8%	-6%	-18%	-10%	-6%	1%	-5%
Czechia	0,3	5 639	5 921	6 964	7 300	7 600	-4%	5%	18%	5%	4%	-25%	-21%	-7%	-3%	1%
Hungary	0,2	20 751	15 485	14 388	12 700	11 200	146%	-25%	-7%	-12%	-12%	225%	143%	126%	99%	76%
Slovakia	0,1	2 023	1 880	2 077	2 134	2 200	12%	-7%	10%	3%	3%	40%	30%	44%	48%	52%
Bulgaria	0,1	507	484	439	460	470	-7%	-5%	-9%	5%	2%	9%	4%	-5%	-1%	1%
Lithuania	0,1	1 037	1 089	963	965	990	0%	5%	-12%	0%	3%	-56%	-54%	-59%	-59%	-58%
Latvia	0,0	252	297	275	280	270	-18%	18%	-7%	2%	-4%	-59%	-52%	-55%	-54%	-56%
Estonia	0,0	141	160	154	150	145	41%	13%	-4%	-3%	-3%	-1%	13%	8%	6%	2%
Africa Index *	**0,6**	**125**	**128**	**126**	**125**	**124**	**0%**	**2%**	**-1%**	**-1%**	**-1%**	**17%**	**20%**	**18%**	**17%**	**16%**
South Africa	0,5	1 657	1 551	1 534	1 540	1 590	-13%	-6%	-1%	0%	3%	-14%	-19%	-20%	-20%	-17%
Morocco	0,2	14 245	15 658	15 307	14 950	14 300	15%	10%	-2%	-2%	-4%	77%	95%	91%	86%	78%
Asia-Pacific Index *	**38,9**	**181**	**187**	**197**	**210**	**217**	**-6%**	**3%**	**5%**	**7%**	**3%**	**1%**	**4%**	**10%**	**17%**	**21%**
China	18,7	6 481	6 653	7 138	7 750	8 150	-14%	3%	7%	9%	5%	-14%	-12%	-6%	2%	8%
Japan	6,8	8 690	10 006	10 300	10 850	11 200	35%	15%	3%	5%	3%	4%	20%	23%	30%	34%
India	3,7	1 095	855	649	680	710	-12%	-22%	-24%	5%	4%	-5%	-26%	-43%	-41%	-38%
South Korea	2,3	1 657	1 940	2 282	2 340	2 150	65%	17%	18%	3%	-8%	109%	144%	187%	195%	171%
Australia	1,9	7 008	10 729	11 774	11 400	10 500	42%	53%	10%	-3%	-8%	10%	69%	85%	80%	65%
Taiwan	0,8	174	139	132	150	160	-18%	-20%	-5%	14%	7%	-18%	-35%	-38%	-30%	-25%
Singapore	0,5	201	304	392	380	360	-7%	51%	29%	-3%	-5%	-5%	43%	85%	79%	70%
Hong Kong	0,5	354	443	644	630	570	17%	25%	45%	-2%	-10%	26%	58%	130%	125%	104%
New Zealand	0,3	1 968	2 760	3 123	3 200	2 800	20%	40%	13%	2%	-13%	-6%	32%	49%	53%	34%

(*) Index 100: 2015, GDP 2025 weighing at current exchange rates

Sources: national figures, Allianz Research (f:forecasts)

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Allianz Trade

Allianz Trade Global Survey 2026

Business as unusual

How exporters adapt to geopolitical shocks

8 April 2026

Allianz Research

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Executive Summary

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Early signs of disruption. The Middle East conflict has added a new layer of shocks to an already fragile environment shaped by tariffs, weakening demand and declining consumer confidence. We expect lower global GDP growth (+2.6% in 2026), higher global inflation (4.3% in 2026) and stronger fiscal pressure, with higher energy and input costs and weak demand adding to the pressure of 10.5% effective US tariffs on companies' margins. Even in the best-case scenario, a post-ceasefire recovery in the Strait of Hormuz would take time (reaching 15-30% of normal levels). Against this backdrop, for the 5th edition of the Allianz Trade Global Survey, we asked 6,000 companies in Brazil, China, France, Germany, India, Italy, Poland, Singapore, Spain, the UAE, the UK, the US and Vietnam about their outlook for 2026, before and after the outbreak of war.

- **Export confidence** has held up better than during the 2025 tariff shock - dropping only 6pps to 75% of exporters still expecting positive growth - compared to the 40pps collapse after "Liberation Day." However, the impact is uneven: Vietnamese, American and Spanish firms lost more than 10pps of confidence, while Chinese firms, already weakened by the trade war, lost 9pps to 51%.
- **Logistics and energy** are the most immediate concerns. 60% of firms are worried about supply-chain disruption and rising energy and commodity prices. In the wake of the war Iran, countries are faced with different challenges. Some are highly exposed and with low buffers (e.g. Vietnam, Thailand etc.), others are exposed but have buffers through reserves, alternative suppliers etc. (e.g. European countries, China etc.). Against this backdrop, Vietnamese (79%), Polish (76%), British (72%) and American (71%) firms show high levels of concern. In contrast, Indian and Chinese firms appear relatively less worried.
- **Operational adjustments have accelerated.** Over half of companies are now seeking alternative shipping routes or carriers – especially in Vietnam (60%), the US and India (55% each). Many are also working with customs brokers to expedite clearance (Vietnam 64%, India 56%) or adjusting delivery schedules. These operational responses are moving faster than contractual changes.
- **Trade finance conditions are tightening.** The share of firms expecting payment terms to deteriorate has rebounded to 43% (+5pps since the conflict began), with the sharpest rises in Brazil (+18pps), the UAE (+10pps), India and Vietnam (+9pps each). Non-payment risk fears have risen to 40% of firms (+6pps vs. pre-conflict), with the most exposed sectors being pharmaceuticals, construction, and computers/telecoms.

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- **Reshoring dynamics have shifted.** The conflict has accelerated reshoring intent, particularly in Europe – Poland, the UK and France lead this shift – while US and Vietnamese firms moved in the opposite direction. The UAE shows a bifurcated response, reflecting its dual role as both a logistics hub and a geography directly exposed to the crisis.
- **AI optimism has taken a hit.** The share of firms expecting AI to drive export growth of +10% fell 8pps post-conflict, from ~30% before the war.

Beyond the conflict, global trade has changed for good. We identify seven lessons from this year's survey:

1. Risk landscape: Geopolitics now dominates

The risk hierarchy has been reshuffled since 2025. Geopolitical and political risk - wars, tariffs, expropriation, social unrest – now tops the list for 65% of firms (+11pps), displacing supply-chain complexity, which fell to third place (45%, -30pps). Supply-related risks – supplier bankruptcies and input shortages – surged to second place (57%, +30pps), consistent with record-high global insolvencies running 24% above their pre-pandemic average. The economic cost of supply-chain complexity reached USD4.7trn in 2025, more than double its 2017 level, with 56% linked to US trade flows.

2. One year of US tariffs: Supply chains are shifting...

80% of firms have adjusted their trade and supply-chain routes since "Liberation Day" to avoid higher tariffs and geopolitical risk. Despite a Supreme Court ruling against IEEPA tariffs, Section 122 tariffs have kept the US rate stable at ~9% until at least end-July 2026. 43% of firms still expect a net negative impact from the trade war - higher than the 39% before the trade war began. Concerns are sharpest in China and Germany (50% and 49% respectively). Nevertheless, fewer firms (32%, -6pps) plan to raise prices due to tariffs, back to pre-"Liberation Day" levels, while companies appear more growth-oriented in their investment strategies: capex priorities have risen (28% vs. 20% in 2025) while cost-cutting has declined (26% vs. 31%).

3. ...and de-risking has become the norm

Seven out of ten firms have taken operational steps to adapt since the trade war began. The most common strategies remain inventory building and market diversification (64%), sourcing from new suppliers (63%) and rerouting through third markets (57%). China leads in rerouting (69%) and market diversification (75%), while Germany has the lowest diversification rate (52%). On Incoterms, DDP usage by exporters has dropped sharply from 25% to 16%, reflecting reluctance to absorb tariff liability, while FOB adoption by importers has grown (30%, +10pps) as buyers seek greater control over logistics.

4. Geographic reorientation: US loses ground, Europe and Asia gain

The US did not gain back any appeal: only 13% of firms now consider it a growth market (vs. 17% in 2025). Interest in Europe has grown, led by Singaporean (+10pps) and US (+9pps) exporters. Asia-Pacific excluding China is the clearest structural beneficiary of supply-chain realignment - Vietnam, India, Indonesia and Malaysia are gaining investment flows. China's appeal has collapsed: self-retention among China-based firms fell from 32% to 16%, while only 23% of firms

globally plan to increase their footprint there (-30pps from 2025). A new wave of FTAs - India-EU, MERCOSUR-EU - is capturing attention, with 93% of firms planning to use them to expand, though non-tariff barriers (licensing, certification) remain the dominant friction.

5. Payment terms and financial risk: Structural lengthening

Payment cycles are lengthening structurally. Only 7% of companies are now paid within 30 days (-4pps vs. 2025), while nearly one in four (24%, +7pps) are paid after 70 days. Larger firms are disproportionately affected: 42% of companies with turnover above EUR3bn face payment terms exceeding 70 days. The most exposed sectors for long payment delays are transport equipment, pharmaceuticals, and computers/telecoms. Bank loans (46%) and internal cash flows (44%) remain the dominant financing sources, while state support has declined in importance since last year's survey.

6. ESG: A fractured consensus

After years of convergence, the global ESG consensus has broken down. Overall ESG commitment fell 22pps to 62% (from 84% in 2025), with the sharpest drops in China (-42pps to 47%) and the UK (-29pps to 55%). European firms are holding firmer - Germany fell only 9pps to 76%. The divergence is driven by the US stepping back from federal sustainability frameworks while the EU advances, creating multiple incompatible regulatory regimes. Firms are prioritizing supply-chain measures (59%) over deeper internal reforms – governance (34%) and executive incentives (29%) lag. Despite this, climate ambition remains intact: 26% of firms target CO_2 reductions of 5–10% (+4pps), and 84% remain confident of reaching net zero.

7. AI: A two-speed adoption

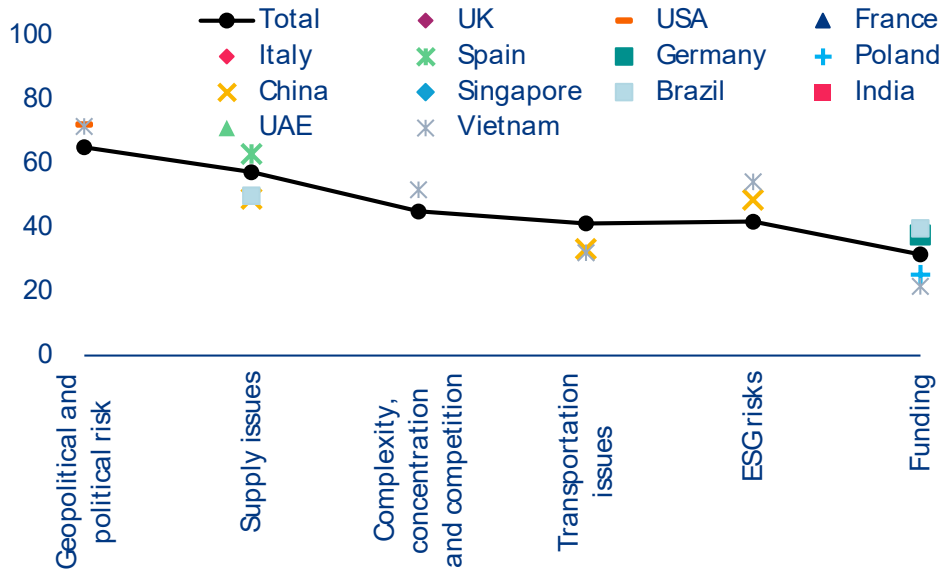
AI adoption is now near-universal - only 0.5% of exporters report not using it - but depth and strategic intent vary sharply. Emerging economies lead: UAE (86%), Poland (80%) and India (75%) report the highest scaled deployment rates, while the UK (57%) and US (63%) remain below 65%. The real divide is expectations: 61% of Indian firms anticipate AI will boost export turnover by 10%+, against just 18–22% in Europe. High adoption does not always translate to growth optimism - UAE firms deploy AI at scale but remain cautious on impact (22%), suggesting efficiency-focused rather than growth-oriented use. The universal barrier is not cost or skills but ROI uncertainty, cited by 28% of firms globally.

A new layer of shocks in an already fragile environment

War and military conflicts were named the larger threat to companies' export activity and supply chains over the next two years (35%) than the trade war and protectionism (28%). For the 5th edition of the Allianz Trade Global Survey, we asked 6,000 companies in Brazil, China, France, Germany, India, Italy, Poland, Singapore, Spain, the UAE, the UK, the US and Vietnam about their outlook for 2026. Since the start of the conflict, 60% of firms have raised concerns surrounding the logistics consequences of the war for supply chains and the rise of energy and commodity prices. In the wake of the war Iran, countries are faced with different challenges. Some are highly exposed and with low buffers (e.g. Vietnam, Thailand etc.), others are exposed but have buffers through reserves, alternative suppliers etc. (e.g. European countries, China). Against this backdrop, our survey reveal that Vietnam and Poland are the most worried closely followed by firms in the UAE (68%). Furthermore, British (71%) and American (72%) firms also appear particularly worried by the aftermath of the conflict. In contrast, Indian (36%) and Chinese (39%) firms appear relatively less worried. While Indian and Chinese imports are largely dependent on the Middle East region (nearly 50% for each), the reliance on coal in their energy mix and their ability to negotiate with Iran have allowed them to remain slightly more shielded from the aftermath of the closure of Hormuz than other countries of the sample.

Geopolitical and political risks have emerged as the largest threat to offshore production and supply-chain stability, cited by 65% of surveyed firms and now ranking as the leading concern overall (figure 1). Compared to the 2025 edition of the survey, geopolitical and political risks, such as conflicts and tariffs but also internal vulnerabilities such as expropriation and social unrest, rose by +11pps, displacing supply-chain complexity and concentration as the top-ranked threat, with the latter falling by -30pps to 45%. Simultaneously, supply-related risks, such as supplier bankruptcies and input shortages, climbed to second place, identified by 57% of firms and up +30pps from last year. This rise is consistent with our own analysis of global business insolvencies, which have reached record highs, running 24% above their pre-pandemic average. Following a +10% increase in 2024, insolvency levels remained elevated with a further +6% rise in 2025. Looking ahead, we expect this pressure to persist throughout 2026, with our baseline forecasting a +5% increase, +2pps since the escalation of the Middle East, before stabilizing in 2027.

Figure 1: Geopolitical and political risks have become the largest threats to companies' business



Sources: Allianz Trade Global Survey 2026

Notes: Geopolitical and political risks refer to war, tariffs, confiscation, expropriation and social unrest. Supply issues refer to bankruptcy of suppliers and shortage of inputs. Only countries deviating by more than 5pps compared to the sample average are shown.

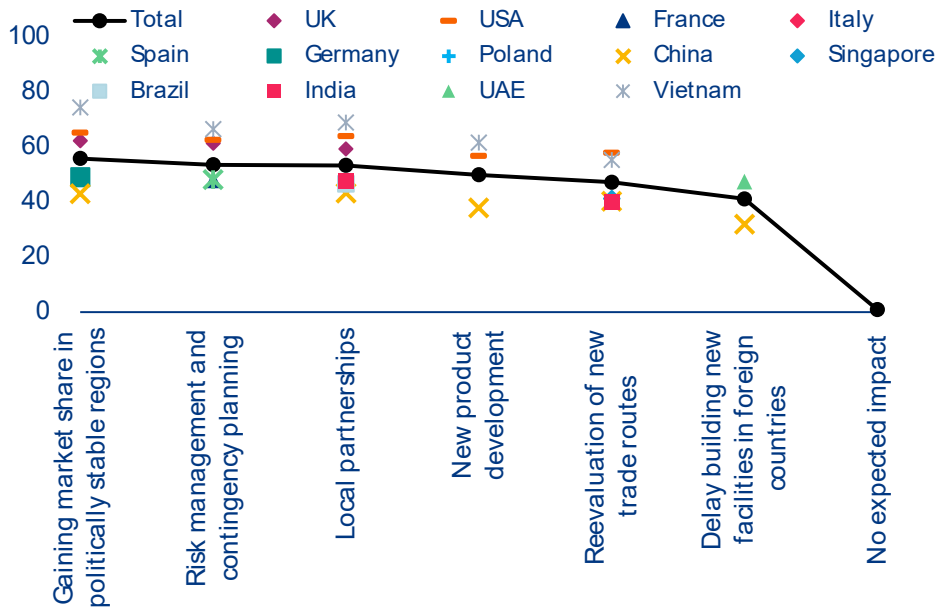
We estimate that the economic cost of supply-chain complexity has surged to USD4.7trn in 2025, more than twice its 2017 level, with 56% attributable to trade flows linked to the US. Our proprietary index indicates that global supply-chain complexity continued to intensify in 2025, more than doubling compared to 2017 and reaching its highest level since 2014. The index captures weighted bilateral trade flows, adjusted for geographical and geopolitical distance, as well as infrastructure quality and connectivity, climate vulnerability, growth prospects and trade openness.

At the country level, geopolitical and political risks weigh most heavily on firms in the US and Vietnam (for 72% of firms for each country). Brazilian firms sit modestly below the global average at 60%. Worries around supply disruption are most acute in Spain (63%), while firms in China (49%) and Brazil (50%) appear comparatively less exposed on this dimension. On complexity, concentration and competitive pressures, firms in Vietnam register the highest level of concern in the sample at 52%.

Nevertheless, companies still expect positive turnover generated through exports, though Chinese firms are more downbeat. Before the escalation in the Middle East, 80% expected an increase of at least +2% in turnover generated through exports. But since the crisis broke out, firms' expectations have only fallen by -5pps to 75%. This is a much brighter outlook than right after "Liberation Day", when only 40% of firms expected an increase. Across countries, the results are broadly similar, with expectations of turnover growth above +2% generally ranging from 70% to 85%, and expectations of lower turnover ranging from 3% to 10%. Indian and German companies are the most upbeat (82-83%). China and Vietnam stand out as the show a significant deterioration of turnover expectations since the start of the war in Iran. In China, only 51% of firms surveyed have an upbeat outlook on their turnover generated by exports (turnover growth > 2%), significantly lower than just before the Middle East conflict (-9pps), though improving from post "Liberation Day". Furthermore, 8% of Chinese firms expect negative turnover – similar to their Brazilian counterparts (9%) – though less than Vietnamese companies (13%). Beyond the impact of the war in the Middle East, one explanation for the pessimism of Chinese companies could be the widespread strategy of aggressive price cuts, notably amid elevated US tariffs.

Geopolitical threats are prompting firms to focus on their local markets, stay closer to home or prioritise gaining market share in politically stable regions (56% of respondents). Virtually all firms are adapting to the ongoing geopolitical risks, using all tools in hand from risk management to more active strategies. Enhanced risk management and contingency planning (54%) is among the preferred options, especially by Chinese firms. Meanwhile, other more active strategies including new product development and new markets and routes are being considered by at least half of the surveyed firms. Reconsideration of investments and expansion is the least preferred option, though 40% of firms are still considering this.

Figure 2: Companies' priorities to operate and grow internationally despite geopolitical risks



Sources: Allianz Trade Global Survey 2026

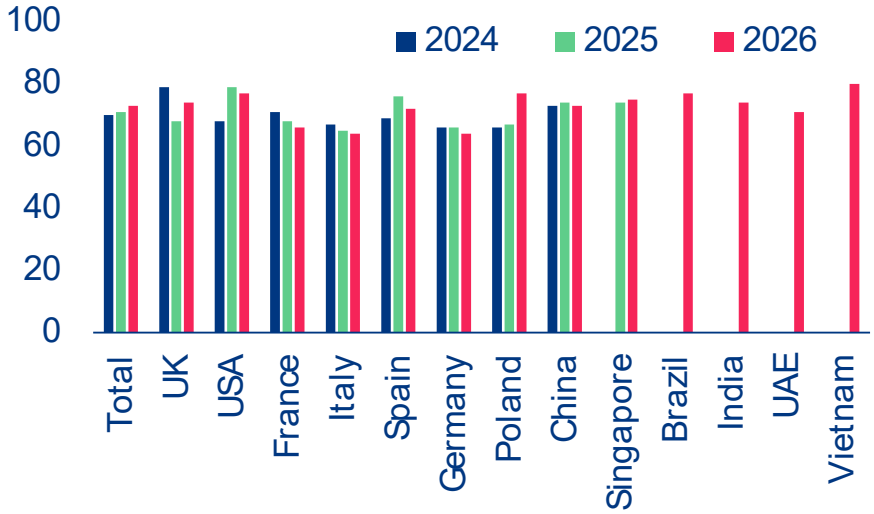
Notes: Only countries deviating by more than 5pps compared to the sample average are shown.

Since the start of the conflict, firms have intensified operational adjustments, particularly in logistics and trade execution, however patterns vary across different geographies. More than half of companies are seeking alternative shipping routes or carriers especially in Vietnam (60%), the US (55%), India (55%) and Brazil (52%), while many are working with customs brokers to expedite clearance or adjusting delivery schedules especially in India (56%) and France (53%), indicating that operational responses are accelerating faster than contractual changes.

Vietnam stands out as the most proactive economy, showing among the highest readings across virtually every strategic priority, with a pronounced preference for capturing market share in politically stable regions (74%). The only exception to this is the decision to delay or reconsider foreign facility construction, where Vietnam records the second-lowest score (38%). At the other end of the spectrum, Chinese firms display a more cautious posture, consistently registering the lowest or near-lowest response rates across categories. Their most frequently cited priority, namely enhanced risk management and contingency planning (49%), points to a defensive rather than opportunistic strategic orientation in the face of geopolitical disruption. Similarly, the UAE (47%), Italy (46%), Poland (46%) and the US (45%) emerge as the most inclined to pause capital commitments. Yet the US picture is more nuanced with firms simultaneously ranking as the second most likely to accelerate new product development (57%), behind Vietnam (62%), and leading the sample in reevaluating trade routes (58%), ahead of Vietnam (55%) and the UAE (52%).

While reshoring dynamics have remained strong, with 72% confirming, the Middle East crisis has caused the sharpest increase towards reshoring acceleration, especially in Europe, where Poland, UK, and France lead the reshoring boost. China and Singapore also pointed towards an acceleration of reshoring caused by the war. While the US and Vietnam moved in the opposite direction. Vietnamese firms had the highest pre-war acceleration expectations because they are the primary China-decoupling beneficiary, but the Middle East conflict complicated their position by introducing geopolitical risk. The UAE shows an unusual bifurcation: acceleration and reverse of the trends jumped reflecting the country's contradictory position as both a logistics hub benefiting from supply chain restructuring and a geography directly exposed to the Middle East crisis.

Figure 3: Share of firm expecting the reshoring trend to accelerate in the coming years



Sources: Allianz Trade Global Survey 2026

However, structural constraints continue to limit the pivot towards domestic suppliers and full reshoring. Most pressing issues across all geographies continue to be limited access to competitive domestic suppliers (around 83%). Production costs and tax incentives form the second tier of constraints. The UK and Brazil record the highest production cost concern, while India and Poland highest tax incentive concern. A notable shift caused by the Middle East crisis has been US firms concern about ESG, with a drop in production cost concerns as Middle Eastern supply-chain disruption risks making offshore sourcing more expensive and reputationally complex, enhancing the compliance and reputational risks of supply-chain exposure.

Paying the price in payment terms

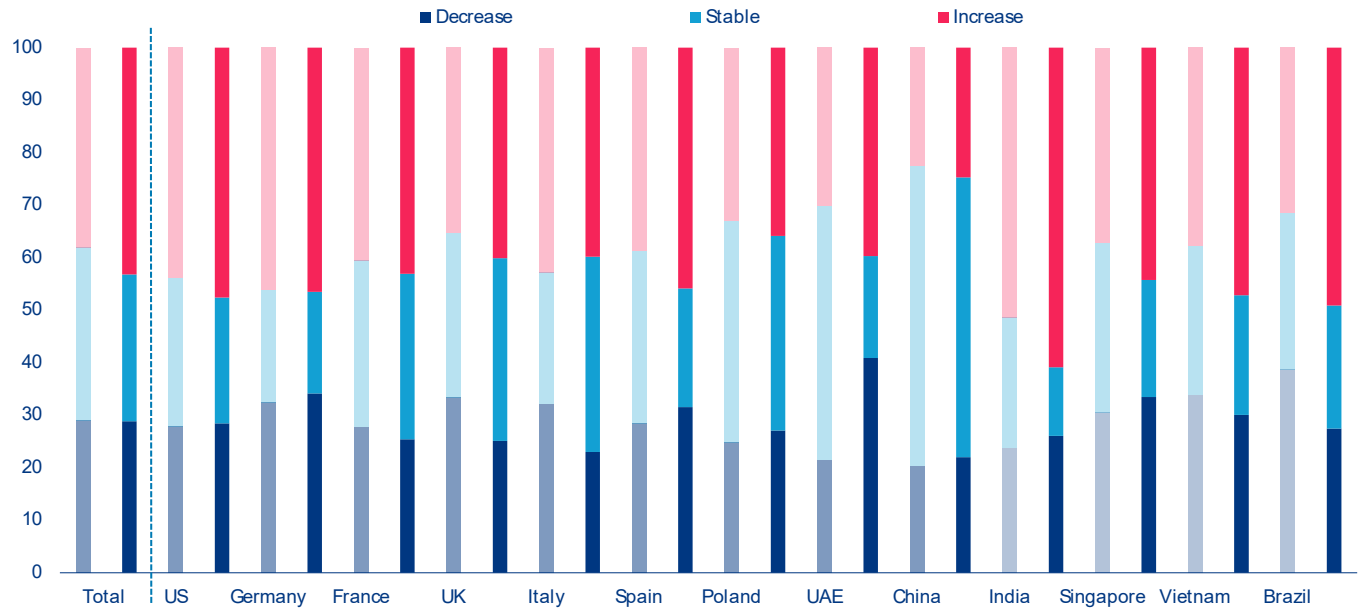
The war in the Middle East has reversed expectations in payment terms among exporters but more moderately and unevenly than after the start of the trade war last year. Prior to the start of the war in the Middle East, just 38% of respondents were expecting export terms to increase in the next 6 to 12 months and 31% said they would remain stable, an improvement compared to the last year survey after "Liberation Day" (53% and 23% in 2025, respectively) and almost a return to the pre-"Liberation Day" sentiment (37% and 31%, respectively). Germany was the one exception, with a deterioration compared to both references. However, the war has changed the picture, with the overall share of exporters worried that the length of payments will increase rebounding to +43% (+5pps), though this is still below the 53% recorded last year after "Liberation Day". This rebound comes from mixed dynamics, with (i) the largest rises in Spain, Singapore, India, Vietnam, the UAE and Brazil (+7, +7, +9,+9, +10 and +18, respectively); (ii) noticeable increases in China, France, the US and the UK (+2, +3, +4 and +5, respectively) and (iii) roughly unchanged expectations in Poland and Germany.

Overall, companies are more pessimistic than last year (41% versus 36%), notably in Western Europe. In most countries, exporters are mostly fearing a rise in payment terms. This is in particularly the case in India (56%), Germany (46%), the US (46%), Spain (44%) and France (42%). In Poland and China, most firms are expecting a stable outlook in payment terms (40% and 55%, respectively). All in all, exporters anticipating a decrease in payment terms never exceed one-third of the panel, with the highest share in Vietnam and Germany, and the lowest share in France and India. This deterioration in payment terms is widespread across all company sizes, especially those with fewer than 250 employees: 45% of them expect export payment terms to rise in the next six to twelve months, compared to 70% for the firms with 250+ employees. It is also widespread across sectors, with a majority (11 out of 15) mostly bracing for an extension in payment terms, notably in paper, construction, pharmaceuticals, agrifood and computers/telecom (61%, 59%, 51%, 50% and 47%, respectively). In addition, this extension in payment delays is expected to be significant, exceeding seven days in almost half of the cases, notably for computer telecom (55%), pharmaceuticals (52%) and transport equipment (50%). At the same time, a larger share of respondents in the automotive and machinery equipment sectors expect the length of payment terms to remain stable (47% and 39%, respectively). Three sectors stand out with a relatively more equal distribution of expectations in the length of payment terms (increase/stable/decrease): metals, household equipment and trade. Interestingly, energy and transport equipment both post great divide among their firms, with the same and a large proportion of companies expecting either an increase or a decrease (roughly 40%).

The perception of export non-payment risk has also deteriorated with the war in the Middle East, with fears of higher non-payment risks up by +6pps – despite varying reactions across sectors. 40% of companies are now anticipating more non-payment risk over the next six to 12 months – compared to 34% prior to the start of the war in the Middle East and 38% in 2025 prior to "Liberation Day". The deterioration is most visible in Brazil (higher non-payment risk: from +33% to 54%) and the UAE (from 23% to 43%), followed by India, Vietnam and China, while the US and European countries have shown relatively more stability since the start of the war. Both Brazil and the UAE experienced a regime switch, with expectations in stable non-payment risk collapsing (from 54% to 38%, and from 69% to 44%, respectively). India, the US and Brazil now record the highest share of firms expecting a rise in non-payment risk (54%, 47% and 45%, respectively) while France and Germany stand out with higher numbers than post "Liberation Day" (41% and 40%, from 34% and 37%, respectively). Overall, a majority of firms still expect the risk of export non-payment to remain stable in the next six to twelve months (52% versus 56% prior to the start of the war in the Middle East).

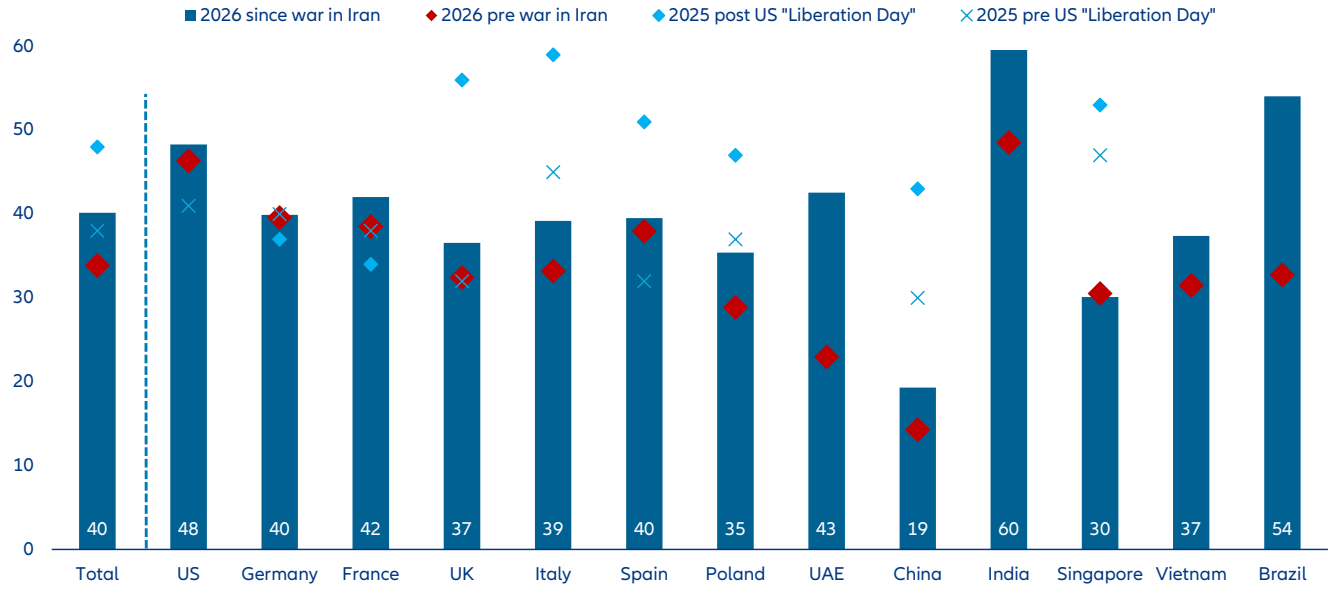
Meanwhile, companies in Italy, the UK, Singapore and Poland (55%, 57%, 60% and 61%, respectively) but also, and above all, in China (73%) expect a stable risk of non-payment. The flip side of this picture is that in all countries a minority of firms, most often below 10%, expect a decrease in non-payment risk. Interestingly, exporters in pharmaceuticals (55%), construction (52%), computers/telecom (44%) and transport equipment (44%) are more worried about the risk of non-payment increasing than exporters in machine equipment (31%), trade (33%), household equipment (33%) and textiles (34%). The war in the Middle East has however contributed to deteriorate expectations (i.e. higher risks) in a majority of sectors, in particular energy (+22pps to 42%), household equipment (+13pps to 33%), computers/telecoms (+12pps to 44%), and machinery equipment (+10pps to 31%). Chemicals, construction, transport equipment and pharmaceuticals are the exceptions. All sectors combined, the larger (lower) the turnover, the higher the share of greater (lower) non-payment risk – but the gap has reduced noticeably since the start of the war in the Middle East.

Figure 4: Expectations of change regarding the length of export payment terms in the next six to 12 months, % of total companies, before and after the start of the war in the Middle East



Sources: Allianz Trade Global Survey 2026

Figure 5: Share of respondents expecting the risk of export non-payments risk to rise in the next six to 12 months, % of total companies, 2026 vs 2025



Sources: Allianz Trade Global Surveys 2025 and 2026

Only 7% of companies continue to be paid within 30 days. The share is even lower in Italy and Singapore (4% and 5%, respectively), and to a lesser extent Brazil and Germany (6% each), but Vietnam and the UK report a higher share (10% and 11%). This outcome represents a decrease compared to last year's survey (-4pps), with strong decreases for Italy (-8pps from 12% to 4%) and Singapore (-10pps from 15%), as well as declines in the US (-1pp), China (-2pps), Germany (-3pps), France (-4pps), Poland (-4pps) and Spain (-5pps) – and the UK as main exception (+1pp).

Roughly 70% of companies are paid between 30 and 70 days (68%), with the share slightly higher in Poland (76%), the UK (75%) and the US (75%), while China and India stand out on the opposite side (59% and 46%, respectively). This second outcome also results from a drop compared to the previous survey, for our extended panel (-3pps) as well as for most countries such as China, Singapore, Germany and France (-4, -2, -2 and -2, respectively) – despite some exceptions for Spain, the US, Poland and Italy (+1, +2,+3 and +4, respectively).

At the opposite end of the spectrum, longer payments have gained traction. Almost one out of four export companies are paid after 70 days (+7pp to 24%), with a better situation for firms in advanced economies (20%) than in emerging markets (30%). But the latter displays large discrepancies from India to Vietnam (46% and 22%, respectively). The longest export payment delays increased in most countries, compared to 2025, with 5% of companies paid after 90 days (i.e. +1pp), notably in India, Brazil and Spain (16%, 8% and 6%, respectively) – and noticeable rises in Germany, France and Spain (+3pps each to 4%, 5% and 6%, respectively). Firms in transport equipment, pharmaceuticals, computers and telecom, household equipment and automotive often wait the longest to be paid, with a noticeable share of them paid after 90 days (23%, 17%, 8% and 7%, respectively).

Overall, roughly 70% of companies are paid between 30 and 70 days, with a stronger concentration for firms in the paper, textiles and construction sectors (89%, 81%, and 78%, respectively). Firms in the agrifood, retail and computers and telecom sectors see shorter export payment terms, with the highest share of respondents reporting less than 30 days (9%, 8%, and 8%). All sectors combined, the larger (lower) the turnover, the higher the share of longer (lower) export payment terms, with 42% of surveyed companies having a turnover above EUR3bn facing payment terms exceeding 70 days. This hides a wide dispersion, with a higher share of firms in this situation in transport equipment (83%), machinery equipment (51%), automotive (55%), construction (53%). 54% of surveyed companies with a turnover above EUR5bn face payment terms exceeding 70 days, compared to 25% for the overall sample average and 21% for the companies with less than EUR3bn in turnover.

Bank loans (46%) and internal cash flows (44%) remain the dominant sources of financing for companies. Reliance on bank lending is particularly strong in China (56%) and Vietnam (53%), consistent with their bank-centric financial systems and the prominent role of state-backed credit. In contrast, internal financing is more prevalent among UK, Singaporean (51%), US and Polish (49%) firms, reflecting deeper capital markets and stronger corporate balance sheets. State support is most frequently cited by UAE (38%) and Singaporean (41%) companies, highlighting a significant government role in supporting economic activity. Compared to last year's survey, the overall ranking of financing sources remains broadly unchanged at the top, with bank lending and cash flows still leading, while state support has declined from the third to the sixth most cited option. More sophisticated financing solutions, such as private equity, are used by 35% of firms and are particularly popular in emerging economies, including Vietnam (43%), India (44%), and Brazil (38%).

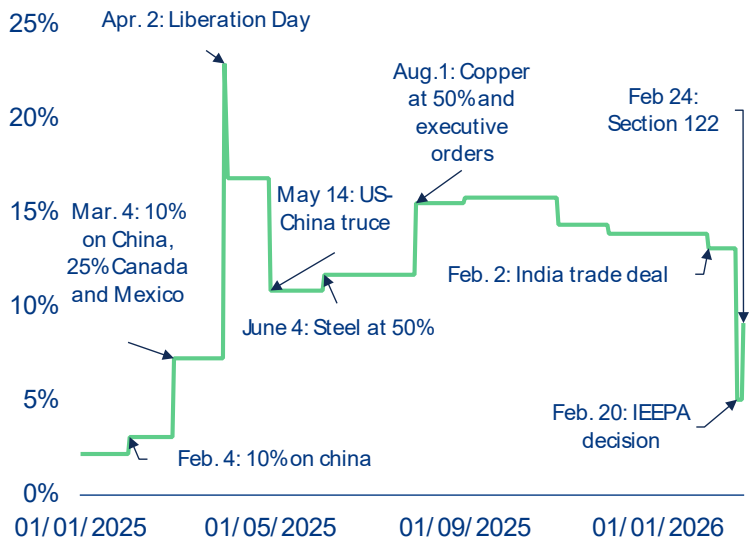
In terms of foreign exchange risk management, improving forecasting and internal risk management processes remains the primary strategy (58%), followed by FX hedging (48%) and the use of common currencies for payments and receipts (48%). These preferences have remained broadly stable since the onset of the conflict in the Middle East, suggesting limited short-term adjustment in corporate FX practices. Cross-country differences nevertheless stand out. Indian firms show a stronger preference for using local currencies in transactions, likely reflecting persistent depreciation pressures on the rupee. At the other end of the spectrum, Chinese (36%) and UK (33%) firms make less use of local currency payments. Despite increasing discussions on the internationalization of the renminbi, Chinese exporters continue to rely heavily on the USD. This is reflected in the relatively low share of Chinese firms increasing non-dollar transactions (28%, compared to a 37% sample average).

The consequences of a year of US tariffs

Over the past year, US trade policy has undergone a large shift, defined by the tariff offensive initiated on "Liberation Day". At its peak, the US applied a global tariff rate of 23%. Subsequent developments have brought meaningful, if partial, relief: we estimate the US tariff rate now stands at 9%, following the Supreme Court ruling in February 2026 and the imposition of Section 122 tariffs in its wake

The impacts of US tariffs continue to reshape global trade and supply-chain routes, with 80% of firms having introduced new routes to avoid higher tariffs, geopolitical risks and/or improve capacity. Firms in Vietnam (88%) and India (87%) have been the most reactive, followed closely by French and American exporters (85%). 68% of Chinese exporters have adjusted routes, though they were already doing so since the first Trump administration in 2017. In addition, Chinese exporters that did not yet make significant changes to their existing supply chains and trade routes are the most numerous across the sample to consider doing so in 2026 (16%, above the global average of 10%).

Figure 6: Evolution of the global tariff rate applied by the US



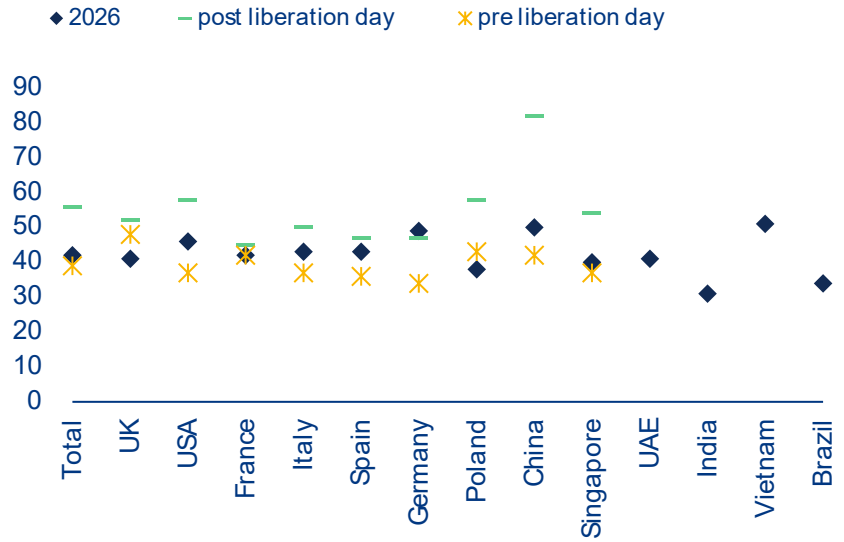
Sources: Allianz Reserach

43% of firms anticipate a net negative impact on their business, still higher than the 39% before the start of the trade war in 2025. Despite the recent Supreme Court decision to declare IEEPA tariffs illegal, Section 122 has reimposed tariffs on countries across the board for 150 days (until end-July 2026), which keeps the US average tariff stable at 9%. Concerns are most acute in China and Germany, where close to half of all firms (50% and 49% respectively) expect negative effects given their high dependency on exports to the US (15% and 10%, respectively), which is their top export market. The US (46%) and Vietnam (48%) also record a higher share of firms that expect a negative impact from the trade war compared to the overall sample. Furthermore, when comparing to firms' expectations for 2025, German companies' expectations for 2026 are slightly more negative than they were after "Liberation Day" (+2pps to 49%), while Poland (-5pps to 38%) and UK (-7pps to 41%) expect a less negative outlook compared to pre "Liberation Day". In contrast, firms in Brazil, India and Poland seem to be slightly less worried, with around one-third expecting further negative impacts.

One year on, fewer firms (32%, -6pps) expect to raise their prices due to higher tariffs or trade barriers, back to similar levels seen before "Liberation Day". The firms most likely to raise their selling prices are in the UK (42%, + 4pps from post "Liberation Day"), the US (39%, -6pps) and Spain (35%), whereas only 20% of Chinese firms are considering doing so, -25pps from post "Liberation Day" and -9pps from pre "Liberation Day". The share of firms planning to cut their prices in response to the trade war remained unchanged, with only 14% of firms favoring this option. Vietnam (9%) and Poland (10%) recorded the lowest shares, while Italy and Spain appear to have a relatively stronger foundation, with 19% and 18% appearing to be able to withstand a price cut, respectively. Among companies that declared that they would not change their prices, absorbing the cost remains the least favored option alongside exporting to other markets (24% each) while sourcing from other markets remained the preferred option (25%), though it has lost some of its appeal compared to post "Liberation Day" (-6pps).

Companies appear more ambitious in their investment strategies, with fewer focusing on cost-cutting and more prioritizing capital expenditures in strategic areas. Compared to 2025, fewer firms report holding off investments (15% vs. 22%). Cross-country differences remain relatively modest. Firms in China and Brazil are somewhat more likely to delay investments, whereas firms in Vietnam are the least likely to do so (10%). Overall, responses are fairly balanced across the three main strategies: 26% of firms focus on cost-cutting and operational efficiency, 28% on increasing capital expenditures and 31% on expanding into new business lines. The overall mix is more growth-oriented than in 2025, when cost-cutting was more prevalent (31%, +6pps) and capital expenditure less so (20%, -8pps). At the country level, firms in Vietnam stand out as the most expansionary, with 37% planning to increase capital expenditures and only 10% holding back. This aligns with Vietnam's growing role as an industrial hub within "China+1" supply-chain diversification strategies. Finally, expansion into new business lines is gaining traction among Italian firms (38%, +8pps), and remains the dominant strategy for companies in China (37%, -2pps).

Figure 7: Share of respondents expecting a negative impact from the trade war over the next year



Sources: Allianz Trade Global Survey 2026

Digital transformation and AI adoption clearly emerge as the leading investment priority, cited by 26% of respondents, well ahead of sustainability and carbon reduction initiatives (20%) and supply-chain resilience (18%). More traditional levers such as talent acquisition and upskilling (16%), mergers and acquisitions (12%) and reshoring (8%) rank lower, highlighting a decisive shift toward technology-driven competitiveness. This confirms that AI deployment is no longer experimental but has become a core strategic imperative, with firms increasingly viewing it as critical to productivity gains, cost optimization and long-term positioning.

Cross-country patterns provide additional nuance. US-based firms are relatively less likely to prioritize AI investment (18%), despite operating at the global frontier of innovation and adoption. Instead, they place significantly greater emphasis on talent acquisition (24%), pointing to a maturing digital cycle: with foundational infrastructure already largely in place, the binding constraint is now access to skilled labor capable of deploying and scaling AI effectively. In contrast, China-based firms most frequently cite AI as their top priority (37%), reflecting both the rapid pace of adoption and a continued focus on building out technological capabilities at scale.

Since the start of the trade war in 2025, seven out of 10 firms have taken operational steps to face the tariff increase. The responses cluster into three tiers of adaptation. Inventory building and diversification to new markets (64%), sourcing from new suppliers (63%) and rerouting through third markets (57%). Incoterms changes (36%), the most technical and least visible adaptation, typically reflecting shifts in who bears tariff liability at the border, is the least chosen reaction. As one could expect as the two countries were the most predominant actors of the trade war, the US (27%) and China (31%), followed by Vietnam (30%), were the most likely to have reacted in some way. On the other end of the spectrum, Poland and Singapore both had 40% of their firms conducting business as usual.

Companies in China (69%) were most likely to reroute their products through third markets, followed by the UAE (63%). This is in line with our assessment that 21% of usually US-bound Chinese exports were rerouted through India and ASEAN in 2025. On the other hand, the cost of rerouting seems to have deterred companies in Italy (48%) and Germany (50%). Overall, China also records the highest market diversification rate of any respondent country (75%), followed by the UK and Poland (74% each) and Vietnam (71%). Germany, by contrast, records the lowest diversification rate (52%), alongside the UAE (56%) and India (58%). Furthermore, Chinese companies (75%) have been the most proactive in looking for new suppliers over the past year, once again alongside the US (71%), the UK and Brazil (70% each). Chinese firms with long supply chains are most likely to go towards rerouting to new markets or diversifying to new markets, rather than sourcing from new suppliers. Finally, UAE firms (45%) were most likely to change their Incoterms throughout the past year, while only 26% of the UK firms declared having done so.

In 2026, and as has been historically the case, CIF [1] (31% of importers and 25% of exporters) and FOB[2] (30% and 36%) dominate maritime shipping, continuing to be the most preferred INCOTERMS[3] in the global trade universe, particularly used for B2B transactions. CIF is preferred by buyers seeking convenience, as the seller assumes greater responsibility for shipping logistics – covering freight costs (and any associated rates volatility) and providing insurance up to the destination port – thereby simplifying international transactions, particularly in today's high-risk chokepoints. In other words, the seller streamlines trade for the buyer, especially suitable for those less experienced with international shipping. Companies in Vietnam in particular have shown a strong preference for CIF (45% of importers and 43% of exporters), indicating that Vietnamese firms favor assuming greater control over a larger portion of the logistics chain. Meanwhile, FOB is favored when buyers wants more control over the logistics, as the risk is transferred earlier (at the loading port or port of origin), allowing the buyer to optimize its logistics and negotiate shipping costs. This option was particularly favored by importers in Germany (38%).

1 CIF : Cost, insurance, and freight

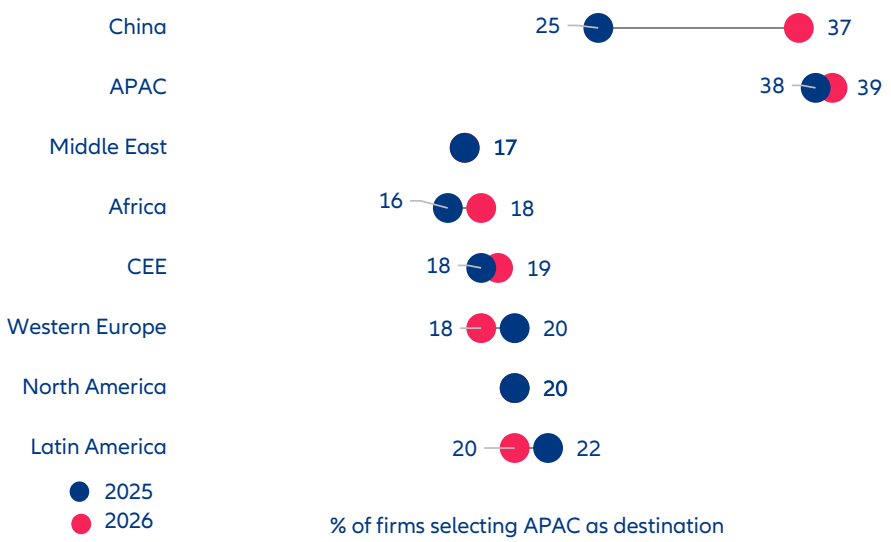
2 FOB : Free on board

3 INCOTERMS stands for International Commercial Terms. They are a set of standardized rules published by the International Chamber of Commerce (ICC) that define the responsibilities of buyers and sellers in international trade

This year's results show clear shifts compared to last year, mainly driven by US tariff policy. Among all 11 INCOTERMS, DDP[4] is unique in placing responsibility for import duties, taxes, and customs clearance on the seller. This helps explain the marked decline in DDP usage by exporting companies, from 25% in 2025 to just 16% in 2026. The shift is understandable, given the trade war environment experienced throughout 2025, which made exporters increasingly reluctant to assume exposure to volatile duties. From the importers' perspective, our global survey shows that the biggest change was observed in more adoption of the FOB term, from 20% in 2025 to 30% in 2026. This shift suggests that importers are increasingly seeking more control over their supply chains, possibly to optimize costs and reduce dependency on suppliers' shipping arrangements.

The Asia-Pacific region excluding China is the clearest structural beneficiary of the current realignment in global supply chains, recording the largest net inflow of any region in the survey. Firms already established in the region show strong conviction in maintaining their presence while firms relocating from elsewhere – most notably from China and North America – identify Asia-Pacific as their primary destination. The pull factors are well understood: competitive labor costs, improving logistics infrastructure, deep regional trade integration under RCEP and maturing supplier ecosystems in Vietnam, India, Indonesia and Malaysia. Singapore's dominant within-region score reinforces its role as the logistical and financial anchor of these value chains.

Figure 8: Firms considering growing in Asia Pacific (excluding China) continue to grow year over year



Sources: Allianz Trade Global Survey 2026

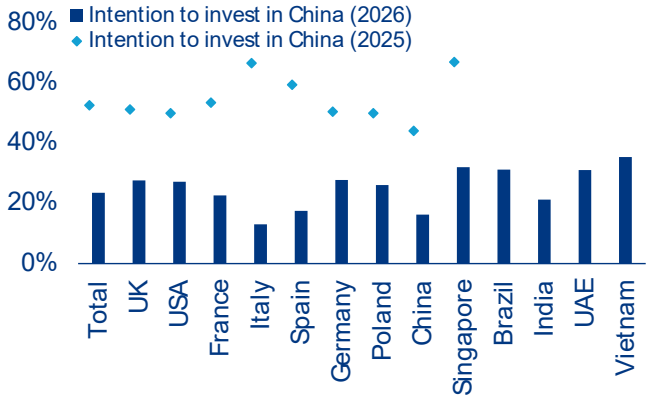
4 DDP : Delivered duty paid

Europe has experienced the largest improvement from last year's survey, while retaining the most within-region stickiness. Interest in Europe as an export destination has grown across the board with Singaporean (+10pp to 19% of firms) and US (+9pp to 29%) exporters showing the strongest increase in appetite, while companies seeking new production sites have also raised their interest in both China and Europe following the Middle East escalation and the start of the trade war in 2025. Notably, the European region records the highest within-region stickiness of any geography in the survey, with approximately 37% of firms currently operating there indicating a preference to remain. Germany and Poland remain the Western European countries most anchored in the CEE region, while Italy is the country with the largest concentration of growth in Western Europe.

The US leads the supply-chain retreat as tariff barriers reduce its attractiveness for businesses. This is not a 2026 phenomenon: Last year's survey already saw a drop in interest in expanding in the US market. This year, only 13% of firms are considering the US as an export growth platform, from 17% the previous year. In parallel, the attractiveness of the US as a potential future location of offshore production sites has continued to deteriorate as the trade war consequences remain. The exceptions are US firms which in this year's survey have turned inward and indicated a higher preference to grow in their own market.

Together, China and the US have suffered the most from the loss of potential future investments, showing how global businesses, as well as Chinese ones, are retreating from the Asian giant. Self-retention among China-based firms collapsed from 32% to 16% while the share of those firms targeting Asia-Pacific as their next location jumped from 25% to 37%, making China towards Asia Pacific the dominant bilateral flow in the survey. Simultaneously, China is losing traction as a destination across almost every non-US region: Middle Eastern firms' interest in China fell from 12% to 4% (-8pps), CEE from 11% to 3% (-8pps), Western Europe from 11% to 5% (-6pps) and Latin America from 8% to 4% (-4pps). In parallel, investment intentions towards China fell from 53% to 24% in a single year — a 29-point collapse that represents the sharpest directional shift in the entire survey. What makes this finding structurally significant is that it is not a Western-led decoupling story: even Chinese firms themselves reduced their pro-China investment intentions by 28 percentage points over the same period, signaling that the reassessment of China as a production base is coming from the inside out, not just driven by geopolitical pressure from abroad.

Figure 9: Investment intentions towards China experience a strong drop



Sources: Allianz Trade Global Survey 2026

While the shift away from China is structural, the Middle East crisis could have introduced some stabilization effects for certain markets that were previously considering to offshore elsewhere. German and UK firms shifted towards a pro-China stance since the beginning of the war, and anchored Singapore's stance even more, most likely as a result of a geopolitical substitution.

Regional cultural gravity continues to shape relocation intent at the bilateral level. Beneath the aggregate trends, the survey reveals persistent home-region bias that cross-regional flows alone do not capture. Spanish firms disproportionately flag Latin America as a preferred destination, reflecting language, legal tradition and historical investment ties. China-based firms, while pivoting to APAC broadly, retain notable interest in Africa and Latin America – destinations where Chinese state-linked investment has built commercial footholds over the past two decades. These gravitational patterns were already visible in last year's survey and have remained stable, suggesting they are durable features of firm-level decision-making rather than responses to the current macro environment, linked to cultural, linguistic and historically established investment corridors.

Companies in countries with recently established FTAs are seeking expansion to new markets, especially in India, Brazil, France and Spain. The sharpest outlier is India, where 40% of respondents want to use FTAs to access fully new markets – the highest of any country by a wide margin. Brazil, France and Spain follow India, pointing towards higher interest to expand to new markets for businesses of those countries actively signing FTAs. China's profile reinforces its defensive posture identified in the relocation data: 13% report no FTA impact – the joint highest alongside Poland – and only 14% are targeting new markets.

Non-tariff barriers remain a challenge but there is a clear split between the difficulties faced by developed and emerging markets. While EMs especially Vietnam (41%) India (37%), China (34%) and Brazil (27%) aim to target and expand in DM markets, the actual barriers remains market-access restrictions: technical standards, anti-dumping duties, phytosanitary requirements, local content rules and import licensing. The EU-Vietnam FTA was built almost entirely to dismantle these for Vietnamese exporters. DM-headquartered firms show a different profile depending on the market. The UK (27%) leads on customs procedures, a consequence of Brexit, while France (24%) also skews customs-heavy, reflecting similar friction for its extra-EU exports. Germany distributes more evenly across state aid/competitive distortions (19%) and quotas (32%). This split is not coincidental as it maps directly onto the direction of trade ambition.

The consensus that broke: sustainability in a globally fragmented world

Although sustainability is increasingly shaping global trade, countries are taking divergent paths, creating uncertainty for businesses. For much of the past decade, ESG appeared to be converging towards a unified global standard. This was driven by milestones such as the Paris Agreement, the EU's Sustainable Finance Disclosure Regulation, the launch of the International Sustainability Standards Board and the EU's far-reaching Corporate Sustainability Reporting Directive. A harmonized disclosure architecture was still considered plausible in 2023. However, this changed in 2025 when the US diverged sharply while other regions continued to advance their own frameworks. Sustainability did not disappear but rather fragmented into multiple regulatory regimes with no common baseline. Today, sustainability is increasingly shaping global trade, albeit along divergent national paths that create growing uncertainty for businesses. The incorporation of environmental criteria into trade policy, most notably through border carbon pricing, as exemplified by the EU's Carbon Border Adjustment Mechanism (CBAM), which came into effect in January 2026, is directly linking market access to emissions intensity. This signals a strong regulatory push without any corresponding global alignment. Meanwhile, the US is scaling back certain sustainability-driven trade measures at the national level, while the EU is softening or delaying aspects of its own rules, further widening the gap. Supply chains are at the center of these developments as sustainability requirements now extend across entire value chains, demanding verified ESG data from suppliers. For firms operating globally, this convergence of regulatory fragmentation and trade-linked sustainability increases complexity, raises compliance costs, encourages selective decoupling and heightens trade frictions. The result is an increasingly uneven competitive landscape with risks of regulatory arbitrage and inconsistent market access, making the long-term trajectory of green trade uncertain.

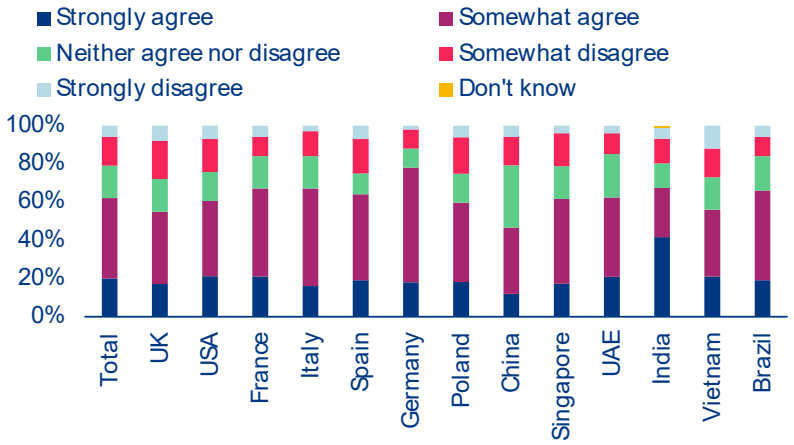
Amid geopolitical risks, firms are scaling back their sustainability ambitions in 2026, focusing on supply-chain measures while deeper internal reforms lag. While sustainability initiatives are being postponed rather than abandoned, firms are prioritising addressing liquidity, geopolitical risk and weaker demand. If cost pressures ease or financing conditions improve, the metrics of the

agreement are likely to recover rather than continue to fall. Overall, the results suggest that, compared to 2025, sustainability-related actions will be moderated in 2026, driven less by disengagement than by waning conviction. Although the proportion of respondents who agree that sustainability actions are being pursued remains high, the distribution has shifted, resulting in a net reduction of -22pps in total agreement, from 84% in 2025 to 62% in 2026. This pattern is evident in most countries, though there is significant variation: China has dropped particularly sharply, from 89% in 2025 to 47%, followed by the UK, which has dropped by -29pps, from 84% to 55%. European economies show the least pullback: Germany by -9pps, France by -10pps and Italy by -13pps. Regarding priorities for sustainability measures in business, efforts are primarily driven by supply chains, while deeper internal changes lag behind. On average, supply-chain measures are considered the most important, scoring 59%, particularly in Spain, India and Vietnam (62%), the US and France (61%), compared to 54% in Brazil and Germany, and 53% in the UAE. Logistics and green product investments (39%) are prioritised most highly in Germany for logistics (44%) and in the UK for green products (44%). Governance and compliance actions, such as reporting (33%), regulation (32%) and carbon reduction (31%), remain secondary priorities. The lowest emphasis is placed on structural change, with executive compensation (29%) and workforce diversity (27%) performing poorly across the board.

Global intentions to cut CO_2 emissions are on the rise in 2026, driven by new survey participants and strong gains in India, Vietnam, Poland, Germany and China, while some traditional markets like France, Italy, and the US show slight pullbacks. The intention to reduce CO_2 emissions increased in 2026, with 26% of respondents aiming for a reduction of 5-10% (+4pp compared to 2025). This was driven by ambitious targets in new survey countries such as India (54%) and Vietnam (34%). There were gains in Poland (+8%), Germany (+5%) and France (+5%), while Italy (-7%) and the US (-2%) prioritised sustainability less. Companies' confidence in reaching net zero remains high at 84%, with notable increases in Poland, China, Singapore, the UK and Germany, but declines in France, Spain, the US and Italy. Newly surveyed countries also show strong agreement: Brazil (90%), Vietnam (84%), India (82%) and the UAE (82%).

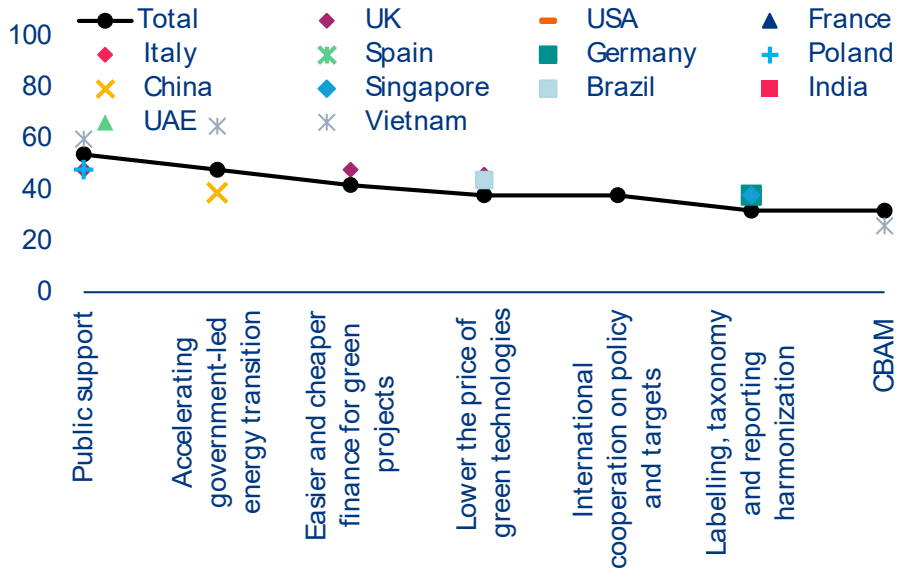
Public support could help firms reduce their carbon footprints. Survey results show that businesses consider public support, such as price subsidies, removal of duties for green products, tax breaks and procurement rules, would have the greatest positive impact on reducing their carbon footprint. This is the most important measure in the US, France, Italy, Spain, Germany, China, Singapore, the UAE and India. This is followed by accelerating government-led energy transitions (e.g. improving the electric grid) with 48% support, leading in the UK (51%), Poland (51%), Vietnam (65%) and Brazil (50%). In contrast, the EU's CBAM is considered to have the least impact, selected by only 32% of companies.

Figure 10 :My company and our senior management implement ESG actions that have significant consequence on our business (i.e. new products, restrictions on clients and suppliers etc.)'



Sources: Allianz Global Trade Survey 2026

Figure 11: Priorities of ESG measures for your business currently, deviation from the mean in pps



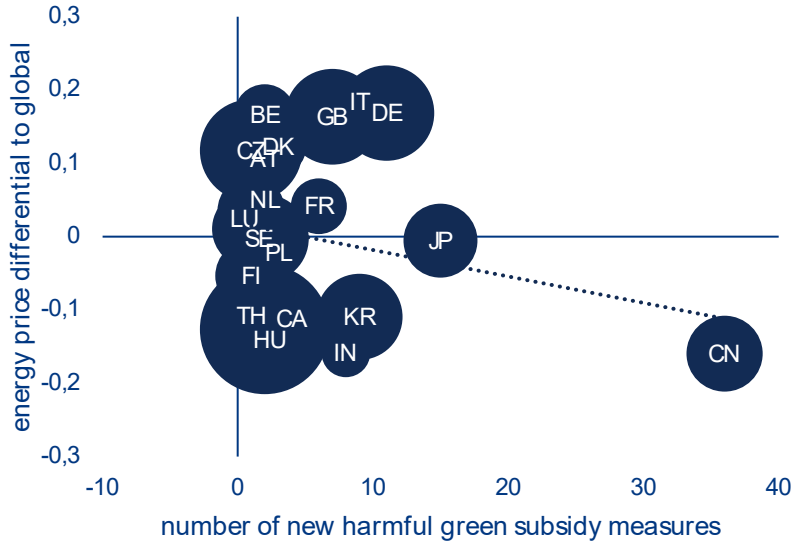
Sources: Allianz Global Trade Survey 2026

Notes: only countries deviating by more than 5pps comapred to the sample average are shown. Public support corresponds to price subsidies, removal of duties for green products, tax breaks and procurement. CBAM stand for Carbon Border Adjustment Mechanism.

Sustainability is becoming central to industrial policy and competitiveness as governments align trade and climate tools, such as subsidies, tariffs and procurement, to support domestic clean industries. However, uneven ambition and shifting regulations, particularly in the EU and US, risk distorting competition. This is especially critical for Germany, where energy-intensive sectors depend on clear policy support during the transition. While about 71% of green goods trade was covered by subsidies in 2025, up from 66.3% in 2024, the number of new measures has dropped from the peak of 367 in 2023 to 235 in 2024 and 190 in 2025. Countries with more new subsidies for green products show a lower energy price differential to global energy prices, while at the same time gaining green export shares. But European countries are holding up strongly in this, despite generally higher energy prices and lower industrial policy support.

Supply chains in the crossfire. Supply chains are where ESG fragmentation is felt most acutely, particularly by mid-tier exporters and Tier 1 and Tier 2 suppliers caught between customers and regulators operating under incompatible frameworks. Firms with deep exposure to the US and Asian markets face disproportionate pressure. A single exporter with operations across the EU, US and Japan must now navigate three non-interoperable systems simultaneously: the EU's CSRD, California's SB 253 and Japan's ISSB-aligned regime. Their underlying logics differ, with double versus single materiality, inconsistent Scope 3 treatment and divergent disclosure formats, forcing firms to maintain parallel data architectures and reporting processes. The cost burden is substantial: Official estimates place annual CSRD compliance for large firms at around EUR740,000, with significant upfront investment, while real-world figures vary widely and can reach into the tens of millions for complex multinationals. Crucially, US competitors often face no equivalent federal requirements, creating a structural cost asymmetry in globally competitive B2B sectors such as machinery, chemicals and automotive supply chains. This gap translates directly into margin pressure, regardless of the underlying quality or strategic value of sustainability data, and embeds a persistent disadvantage for firms operating across multiple regulatory jurisdictions.

Figure 12: Number of new green industrial subsidies relative to energy cost differential to global in costs per kWh



Sources: LSEG Workspace, Allianz Research

At the same time, the EU's attempt to push ESG requirements upstream through supply chains has been weakened, disrupting what was intended as a transmission belt for sustainability standards. The Omnibus reform introduced a value chain cap that limits the ability of large firms to require detailed ESG data from smaller suppliers, many of which form the backbone of Germany's industrial base. This creates a legal and operational gap: companies remain responsible for reporting Scope 3 emissions, which make up a large share of their incorporated emissions in total, but lack enforceable mechanisms to obtain the necessary data. Firms that had already invested heavily in supplier data systems now face uncertainty over the relevance of those investments, highlighting the cost of regulatory instability. More broadly, sustainability has entered a new political economy in which compliance is no longer just a matter of meeting standards but of managing competitive exposure. While cost asymmetries with less regulated markets, particularly the US, can disadvantage European firms in price-sensitive sectors, investor expectations for sustainability performance remain high, and in some markets ESG capability still confers financial and strategic advantages.

The gap between regulatory expectations and operational reality is widening, but the global ESG baseline is rising not falling. Geopolitical fragmentation, driven by US tariff policy, EU supply-chain resilience strategies and a broader de-globalization trend, is prompting European firms to diversify their supply chains, moving them away from China and towards ASEAN, India, Eastern Europe and parts of Africa. This process is creating a new ESG gap. As firms move into supplier markets with weaker, less audited disclosure regimes, they must rebuild ESG data systems for partners who often cannot meet the standards of existing suppliers. This widens the gap between regulatory expectations and operational reality, particularly for companies that are still subject to CSRD reporting. The irony is acute: efforts to increase supply-chain transparency are colliding with geopolitical pressures that are redirecting sourcing towards jurisdictions with less-developed ESG infrastructure, just as EU enforcement mechanisms have weakened. However, this gap may not be permanent. Around 40 jurisdictions representing approximately 60% of global GDP are adopting or aligning with ISSB-based disclosure frameworks, including Japan, Singapore, Hong Kong, Australia and the UK. Meanwhile, China's 2026 CSDS adopts double materiality, which is more closely aligned with the EU. This suggests that the global ESG baseline is rising, not falling, even as the US backs away from federal-level action. For supply chains, this implies a complex transition involving near-term fragmentation and compliance risk, but also a medium-term opportunity to rebuild more consistent and scalable ESG data architectures across increasingly regulated supplier

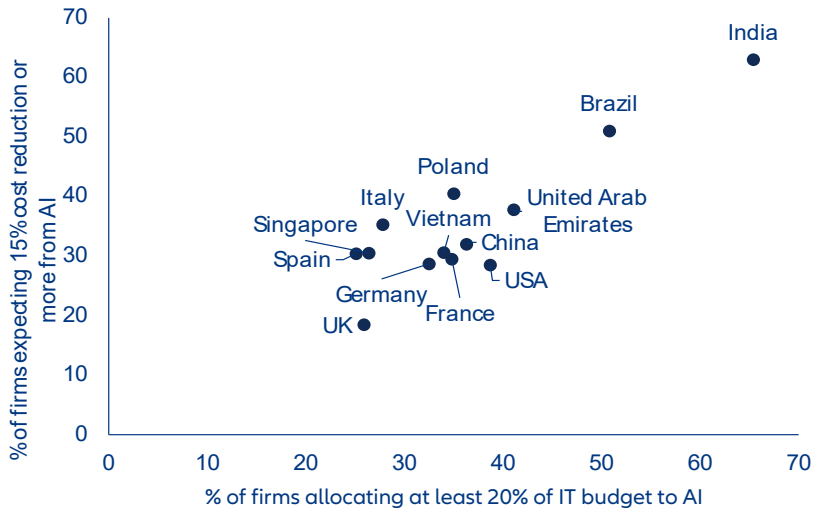
AI adoption among exporters: a two-speed revolution?

AI adoption is now effectively universal among exporters but the depth and strategic weight varies sharply across markets. Only 0.5% of surveyed exporters report not using AI at all, confirming that the technology has crossed the threshold from innovation to daily operations. But while 43% of firms have already deployed AI at scale across multiple functions, only 32% consider it fully embedded in core strategy. The leaders are not where conventional wisdom might expect: China (41%), the UAE (40%) and Brazil (36%) top the rankings for strategic integration. By contrast, advanced economies appear more cautious – only 22% of companies in the UK and 21% in Singapore define AI as central to strategy. Singapore stands out operationally, with 51% of firms achieving scaled deployment, while Vietnam leads globally at 53%, underscoring a growing cohort of emerging-market players that excel in execution even if they remain under the radar.

The real divide is not adoption but belief: emerging markets are far more bullish on AI's near-term impact. The most striking asymmetry lies in expectations, where emerging markets are placing far larger bets. In India, a decisive 63% of exporters expect AI to deliver cost reductions of at least 15% within 12 months – a level of confidence unmatched globally. Brazil follows at 51%, while developed markets lag sharply behind, with just 18.5% in the UK, and Germany (29%), France (30%) and the US (29%) forming a cautious middle ground. The same pattern holds for growth expectations. A sizable 61% of Indian firms anticipate AI will boost export turnover by 10% or more within a year, compared with 30% in Brazil and 29% in the US. At the other end of the spectrum, Spain's 18% signals deep skepticism. This widening expectations gap suggests that emerging-market exporters view AI not as incremental efficiency, but as a leapfrog technology capable of compressing development cycles and reshaping competitive hierarchies.

Spending patterns reflect conviction, but structural barriers – especially ROI uncertainty and talent shortages – continue to constrain expansion. Unsurprisingly, capital allocation follows optimism. In India, 65% of exporters dedicate more than 20% of their IT budgets to AI, a level of commitment that dwarfs most developed markets. Brazil (51%) and the UAE (41%) also demonstrate strong financial backing, reinforcing their strategic intent. Europe, by contrast, remains more restrained: Spain (25%), the UK (26%), and Italy (28%) sit at the lower end of investment intensity. Yet even where spending is robust, scaling AI remains uneven. In advanced economies, the dominant constraint is not access but proof: ROI uncertainty is cited by 35% of firms in the UAE, 31% in Singapore and Germany and 30% in the US, indicating that deployment has outpaced measurable returns. Elsewhere, the bottleneck is human capital. Skills shortages affect 31% of firms in China and India, 30% in Vietnam and 28% in France, highlighting a global scramble for AI talent. Poland stands apart, with 33% citing high implementation costs – a reminder that capital constraints still matter in certain markets.

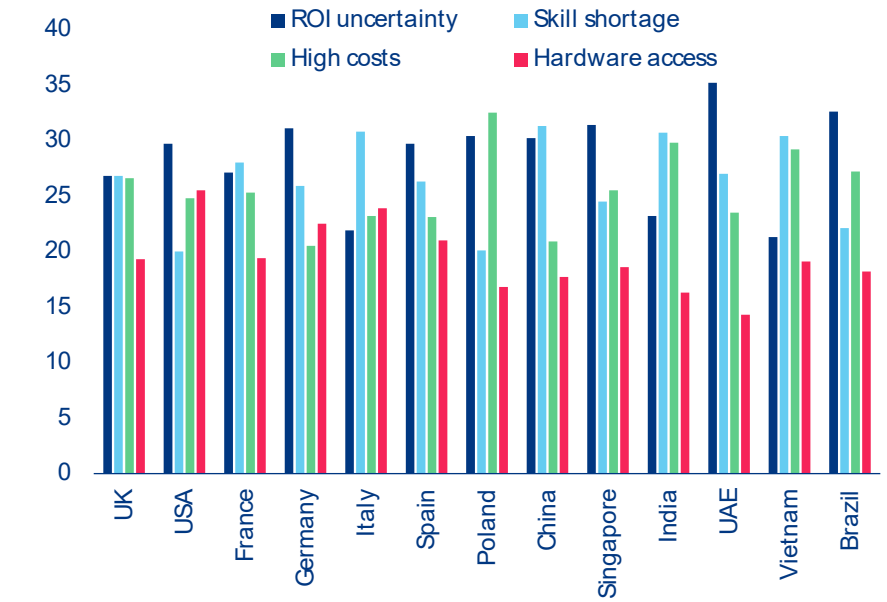
Figure 13: Expectations from AI vs budget allocations



Sources: Allianz Trade Global Survey 2026

A two-speed AI economy might be emerging, with aggressive adopters potentially accelerating ahead – if their expectations materialize. Taken together, the data points to a bifurcated global landscape. Exporters in India, Brazil and the UAE are not only adopting AI – they are committing capital, embedding it strategically and expecting rapid, tangible returns. Their counterparts in Europe and North America, while equally engaged in adoption, are advancing with greater caution, constrained by stricter return thresholds and more incremental expectations. This divergence may reflect differing competitive pressures, baseline productivity levels or institutional risk tolerance. For investors and policymakers alike, the implications are significant: markets exhibiting both high investment intensity and high expectations could deliver outsized productivity gains – or face sharp recalibration if those expectations prove overly optimistic. The next 12 months will be decisive, serving as a real-world stress test of whether emerging-market confidence in AI is prescient – or premature.

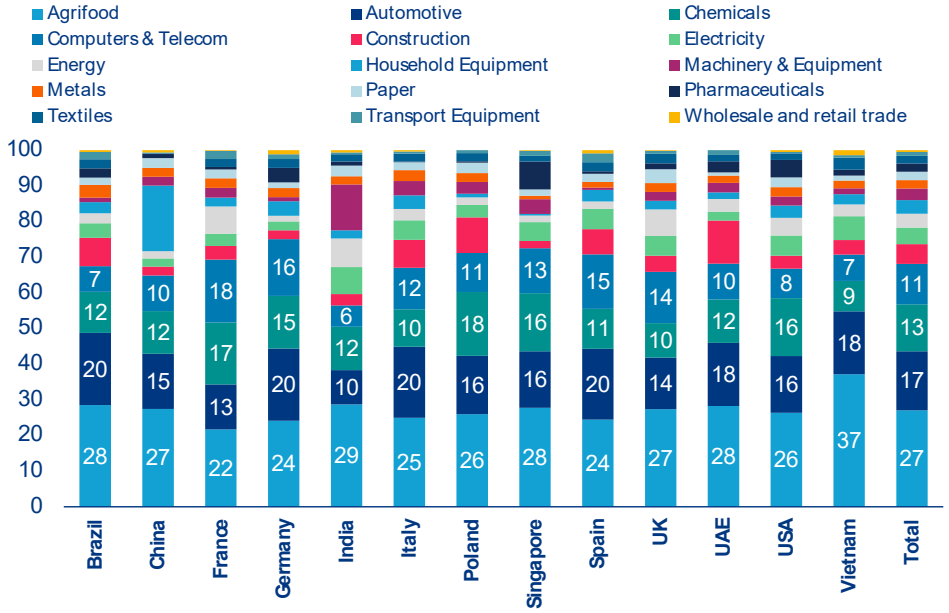
Figure 14: Main hurdles to AI adoption



Sources: Allianz Trade Global Survey 2026

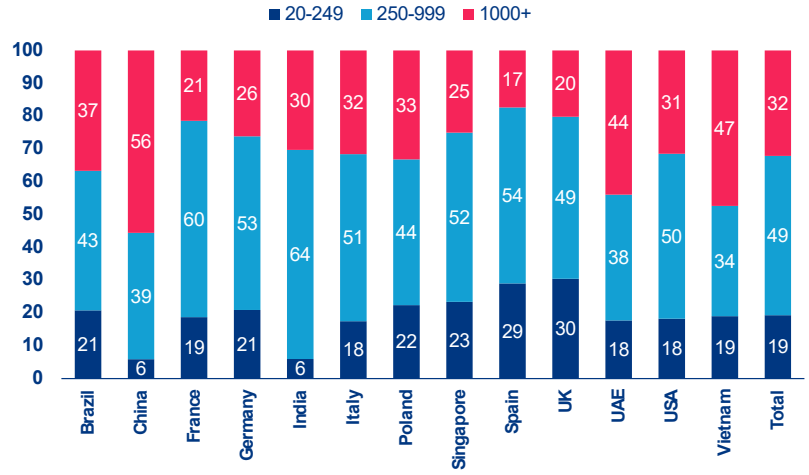
Appendix

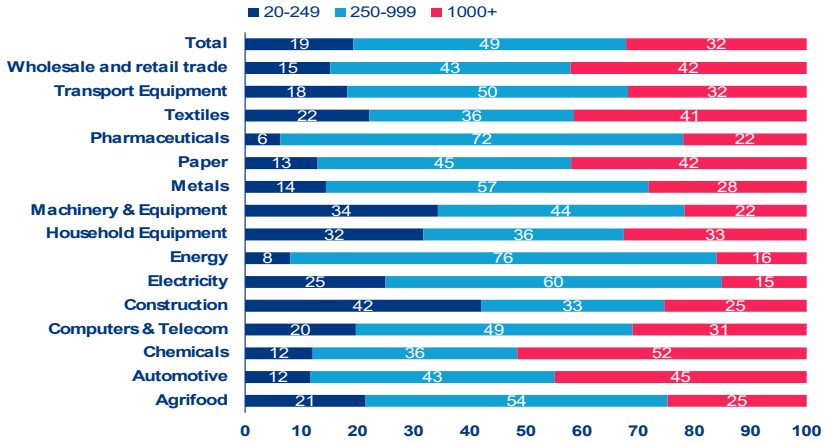
Industry distribution across respondents, % of surveyed companies



Sources: Allianz Trade Global Survey 2026

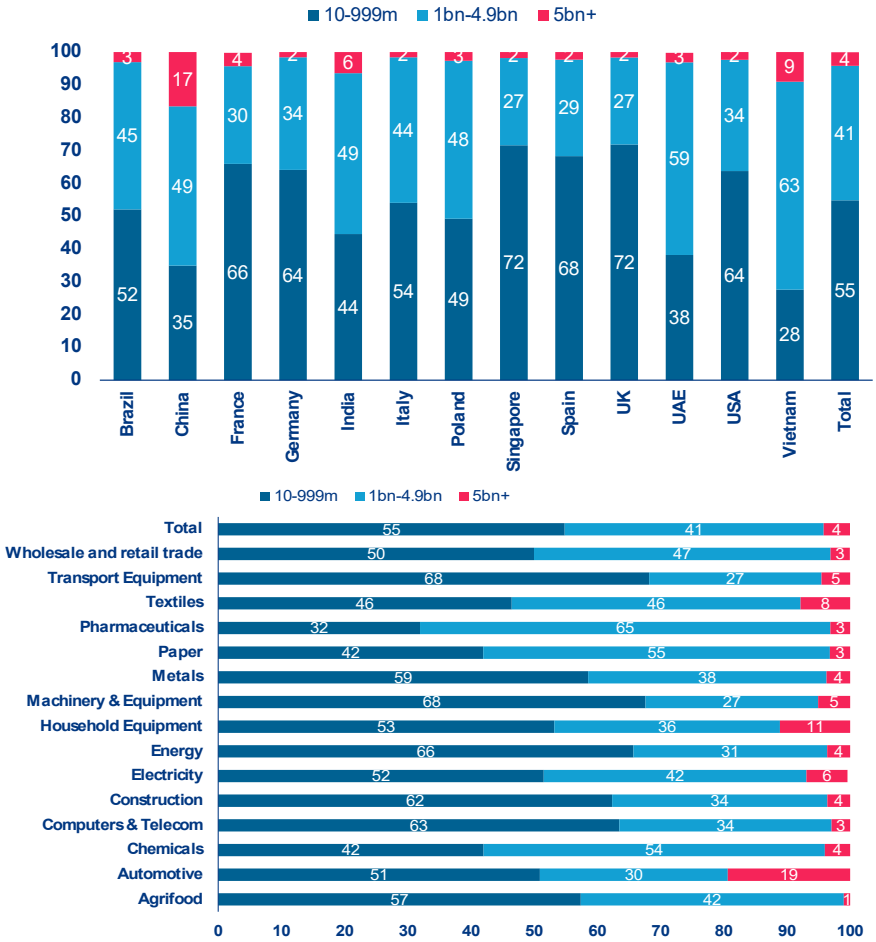
Organization's size distribution by country and sector, in number of employees, % of respondents





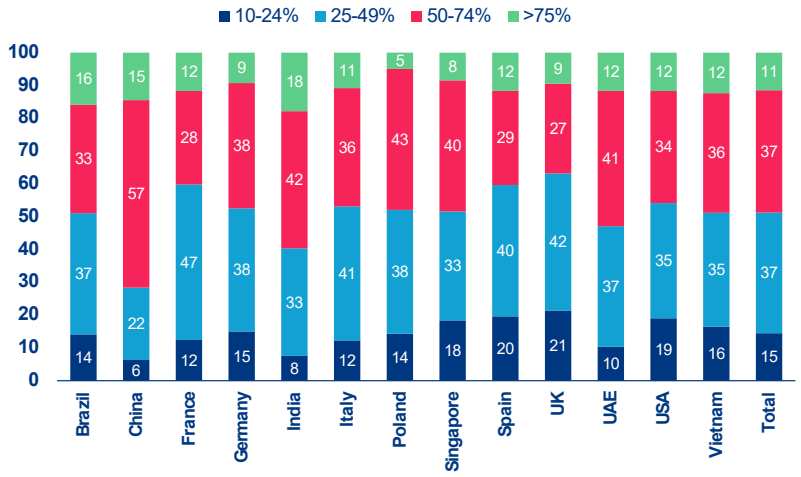
Sources: Allianz Trade Global Survey 2026

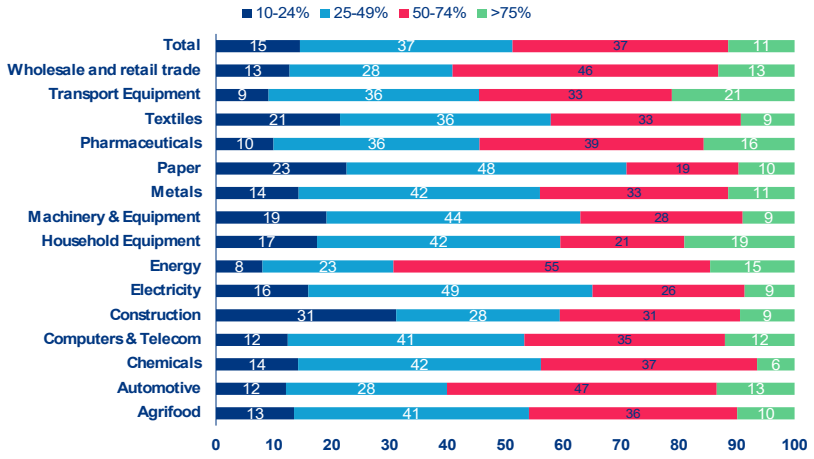
Organization's turnover distribution by country and sector, % of respondents



Sources: Allianz Trade Global Survey 2026

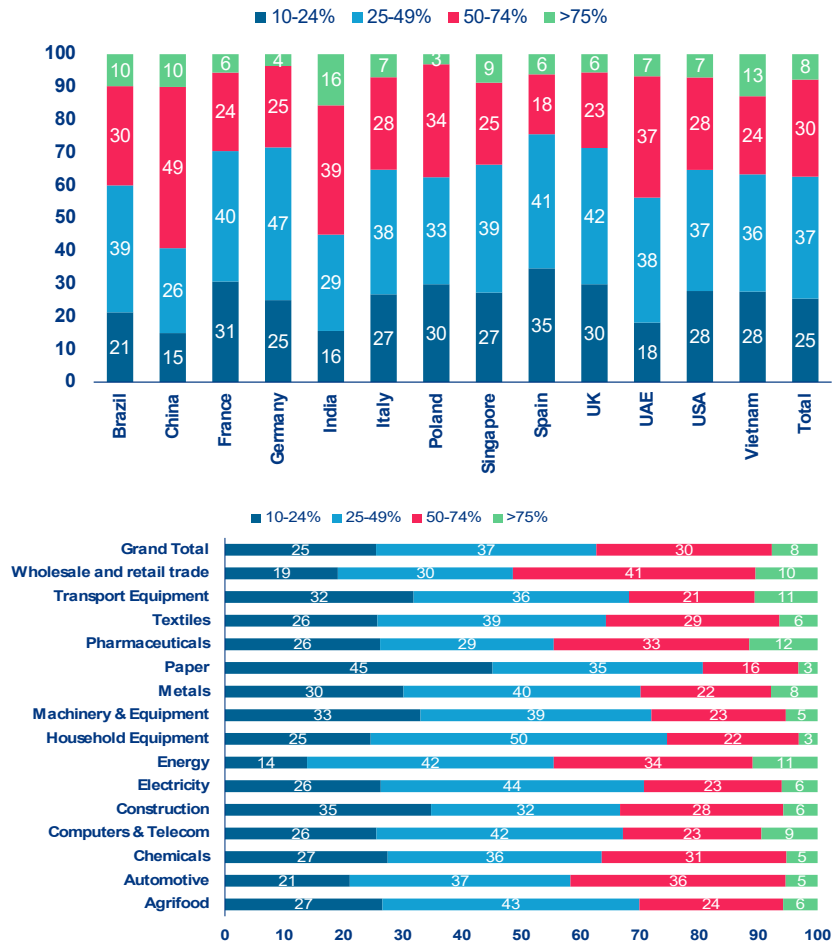
Distribution of companies based on the percentage of turnover generated outside of their company's 'main location', % of respondents





Sources: Allianz Trade Global Survey 2026

Distribution of companies based on the percentage of production (including components) done outside of their company's 'main location', % of respondents



Sources: Allianz Trade Global Survey 2026

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